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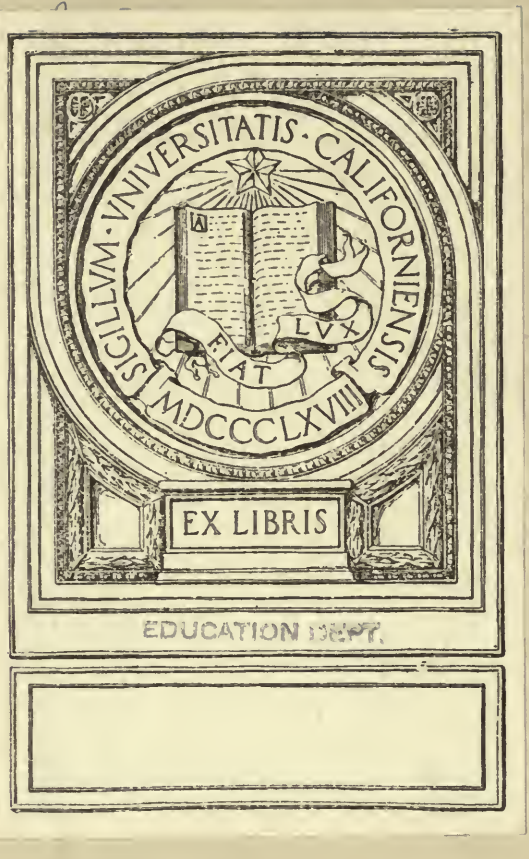
Business Practice

OR

How Business is Done.

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UNIV. OF
CALIFORNIA

A TREATISE ON

BUSINESS PRACTICE

OR

HOW BUSINESS IS DONE

Powers

DESIGNED AS A TEXT-BOOK IN ALL SCHOOLS WHERE ANY INSTRUCTION FOR BUSINESS LIFE IS GIVEN,
AND AS A

BOOK OF REFERENCE FOR ALL CLASSES.

J. A. LYONS & COMPANY
CHICAGO NEW YORK

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EDUCATION DEPT.

PREFACE.

THE plan of this book has been upon the author's mind for several years. Much of the information contained herein, has not heretofore been accessible, so far as he knows, in any form, yet he has been and still is of the opinion, that it is all matter with which the young person about to enter the office should be familiar. The business colleges have been doing much for such young people, but their efforts have largely been directed along the line of accounts, with such incidental training in business methods as was possible. This book deals with the transaction of business itself, and for that reason should be of interest to all, as it is the primary thing and the record of the transaction secondary. Every teacher knows the difficulty he has in directing the attention of his pupils to the "little things," and yet the knowledge of the "little things" is what makes their advent to an office easy. This book is a treatment on the "little things."

The author claims that there is nothing in this book which should not be familiar to every such person. There are also many facts contained herein which cannot, from the nature of things, be incorporated in a series of transactions intended to illustrate business practice. These things the instructor may intend to point out incidentally, but without some regular time being set apart for them, and some previous study of the question being required, the opportunity will often pass and the student go uninstructed.

Further experience may suggest some changes in the plan, and the addition of other matter, or a more extended treatment of some topics treated herein. To this end, criticisms and suggestions are solicited, that future editions may be better suited to the wants of all.

The author takes this opportunity of acknowledging his obligation to the numerous friends, who were so kind in giving him information peculiarly within their knowledge. Of the many on whom he found it necessary to call, not one but received him most cordially, and if necessary, went to personal inconvenience to comply with his request for forms and information. If there was no other satisfaction in the preparation of this book than the author has had in his association with business men, in their quick appreciation of his wants, and in their cordial sympathy with his object, it would be sufficient.

J. A. L.

CHICAGO, December 1, 1896.

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BUSINESS PRACTICE

OR

HOW BUSINESS IS DONE.

INSOLVENCY technically exists when one's liabilities exceed his resources but it does not necessarily follow in this case that business must be suspended. If his credit be good he may still continue and in the end may again become solvent.

Sometimes one is forced into insolvency when his resources far exceed his liabilities. This usually occurs in a depression or stagnation of business when one or more creditors demand an immediate settlement of their claims in cash, while most of his resources consists of other forms of property that are not readily convertible into cash. Thus he may have no cash but a large stock of merchandise or a large amount of notes and these the banks refuse to accept as collateral security. In this case nothing remains but to make an assignment of all property to a third person, who will convert the assets into cash as rapidly as possible with as little sacrifice as possible, and from this fund pay the creditors. If the assets be large enough the creditors will be paid in full, if not each will be paid such a percentage of his claim as the assets will justify. In any case the creditors are all treated alike. But in some states the law permits the debtor at the time of the assignment to name certain creditors that are to be paid in full before the remaining creditors are allowed anything. Whether preferred creditors are allowed or not will be taken into account by the credit man in estimating the amount of credit to which a debtor may be entitled. So a man might be granted more credit in one state than if he were in another, because the laws in that state make the collection of accounts easier. The object of the assignment is that all the creditors or a certain class of them may receive equal treatment. If no assignment were permitted the first creditors to enforce their claims would be the first to be satisfied while others might get nothing. An assignment is thus eminently the fairest to all. The conservative business man is careful to avoid investments in such resources that he cannot protect claims that may be urged against him.

Goods when sold at a forced sale never bring so high a price as when disposed of at private sale. Consequently though one may be solvent when forced to assign the forced sale may so reduce his assets as to render him in fact insolvent.

WHOLESALERS AND JOBBERS.

The distinction between wholesalers and retailers is one in the size of their respective sales. A wholesaler buys of importers and manufacturers, but in large quantities, and sells to retail dealers in smaller quantities. He deals in regular stock, staples; while a jobber deals in job lots. A jobber is constantly on the lookout in the market for goods in his line that are "broken lots," "seconds," "off sizes," slightly soiled or remaining lots to clear up the stock that can be bought at a bargain. He will sell to either the retailer or the wholesaler. Sometimes a dealer may be both a wholesaler and a jobber.

An importer is one who purchases goods in a foreign country and imports them to this country for sale. He may also be a wholesaler or jobber or both.

WRITTEN CONTRACTS.

The well posted business man knows that certain contracts must be in writing in order to be valid.* Such contracts when making he will not fail to commit to writing. He also knows that all contracts that are made in writing are supposed to mean just what they say. That neither party will be permitted to explain orally, add to, or contradict what is stated. Be careful then how all your written contracts are worded. See that they exactly and fully express your meaning.

Though you are not legally required to commit a contract to writing, yet if it is long and has many details, or may not be performed for a long time, it should be in writing as an act of prudence. You might be your only witness to your verbal contract, and in case of your death your estate might suffer severely from your lack of prudence.

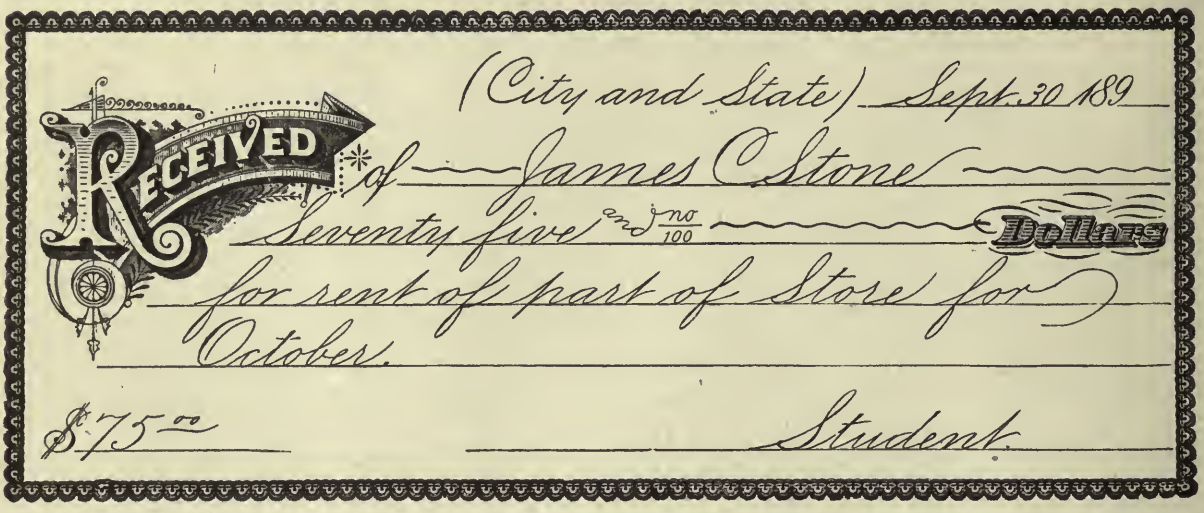
When the general terms of a contract have been agreed upon, and all that remains to be done is to commit it to writing which is to be done by you or the other party thereto, do not hesitate to do it either yourself or by your attorney. You can often then incorporate many details into it that will be to your advantage. You can in this way often secure many minor concessions from the other party, concessions that in the end may be worth much to you.

* See Commercial Law page 39, also section 139.

RECEIPTS.

The importance of taking a receipt in some form for all money paid out cannot be overestimated. It is also prudent in many cases to take a receipt for personal property when delivered, and especially is this true when you are only the custodian of the property and not its owner. When the receipt is for money, it should be dated and the amount of money paid should be stated as well as the purpose for which it is paid, as: "on account," or "in full of account," etc.

RECEIPT.



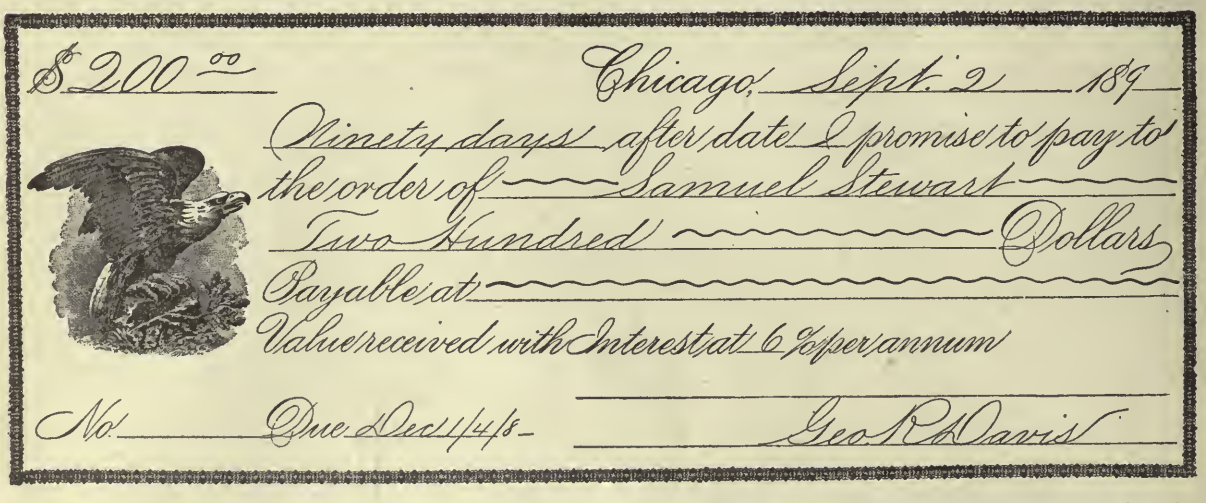
All receipts taken should invariably be preserved, and never destroyed, for witnesses may die or memory may fail, and you or your representative may be put to much trouble and inconvenience, if not loss.

It must be remembered, however, that receipts are an exception to the rule of law stated in the previous section. They may be disputed by oral evidence.

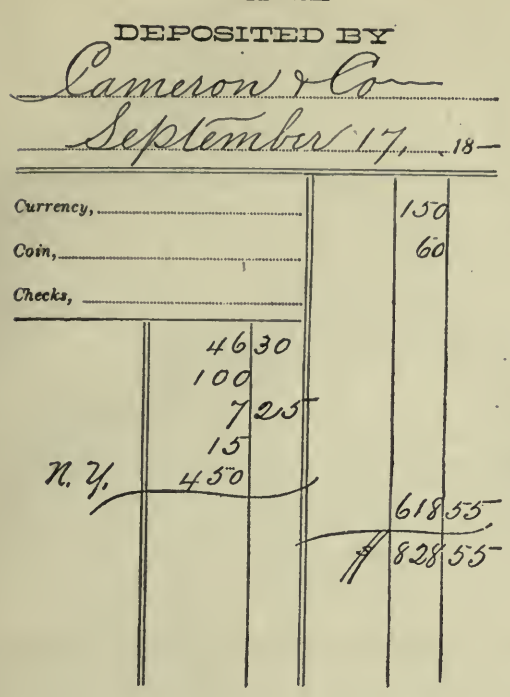
PAID NOTES AND DRAFTS.

What has been said about preserving receipts will apply equally well to your notes and acceptances which you have paid. These should invariably be marked paid or cancelled by the holder of them when he receives his pay, and returned to you. Do not destroy them nor mutilate them by even tearing off your signature, but file them away for future reference.

PROMISSORY NOTE.



In case they are given for real estate and are secured by a trust deed, the trustee will insist on seeing the cancelled notes before you can secure his release.



HOW TO DEPOSIT.

Having received a proper introduction to the bank with whom you wish to open an account, and having received their consent to it, you are ready to make your deposit. The bank will supply you with deposit tickets free of charge. First fill in your name in the ticket and date it. Opposite "Currency" put the amount you will deposit of it, and the same of coin. Under "Checks" if a check is drawn on a city bank write the name of the bank but if an out-of-town check, write the name of the city. Any other form of remittance, such as express orders, should be included here and the total placed in the second column, opposite the word "Checks." It is your business to fill out this slip. Do not expect the bank clerk to do it. As a voucher for your deposit you may get a cashier's check, a certificate of deposit, or a bank book. If a bank book, an entry will be made of the amount of the deposit by the bank official who receives your deposit, and on the left hand side; when you wish your account checked up with the bank, which is usually at the end of the month, you will hand in your book to the bank who will enter your checks which they have paid on the right hand side, and balance the book. When your book is returned to you it will contain these paid or canceled checks.

ABOUT DEPOSITING.

Bear in mind that the bank may not be as anxious for your business as you may imagine. In Chicago the best banks do not care to open an account with a customer unless the monthly balance will average about $500. They claim that anything less than that does not pay the cost of clerk hire and other expenses incidental to the care of the account. Be as little trouble to the bank as possible. Always have your deposits properly and orderly arranged before presenting them to the receiving teller. See that your figures on the deposit ticket are absolutely correct. Arrange the bills all right side up, small bills on top. Separate the coin, each kind by itself, and as far as possible each denomination by itself. Do not deposit your small coins, such as pennies, nickels and dimes, until you have, say, at least a dollar in nickels or fifty pennies; then roll these tightly in a package, each denomination by itself, and place in ink on the wrapper the denomination, amount and your name. The teller will verify your count of these coins at his leisure.

ADVANTAGES OF A BANK ACCOUNT.

There are several advantages to a business man in keeping an account with a bank:

1. The average business man cannot properly protect his funds from fire and burglars.
2. It enables him to pay his bills by check.
3. It gives him an acquaintance with a bank where he can go in time of need and secure accommodation in the way of a loan.
4. It saves him the trouble of presenting all checks and money orders that he might receive in the course of business.
5. It enables him to use the bank as a means of collecting his drafts on customers.

CHECKS.

The practice many business houses have of paying all bills by check is to be earnestly recommended. The check shows the date of payment, and the amount thereof, and when paid by the bank will be returned to the drawer bearing the endorsement of the payee. It then operates as a receipt, and should be religiously preserved.

Another advantage in a payment by check over currency is that there is never a contention over the amount paid or that a part of the payment was in a worthless or depreciated currency or coin.

Deposit your currency as it is received, and draw your checks to pay all bills that it is possible to pay in this manner. *Checks should never be signed, nor an endorsement made until needed.* Checks should usually be made payable "to order" and not "to bearer," for aside from the danger from the loss or theft of such a check the payee might in some states transfer it without endorsing it, and in that case you lose its value as a receipt.

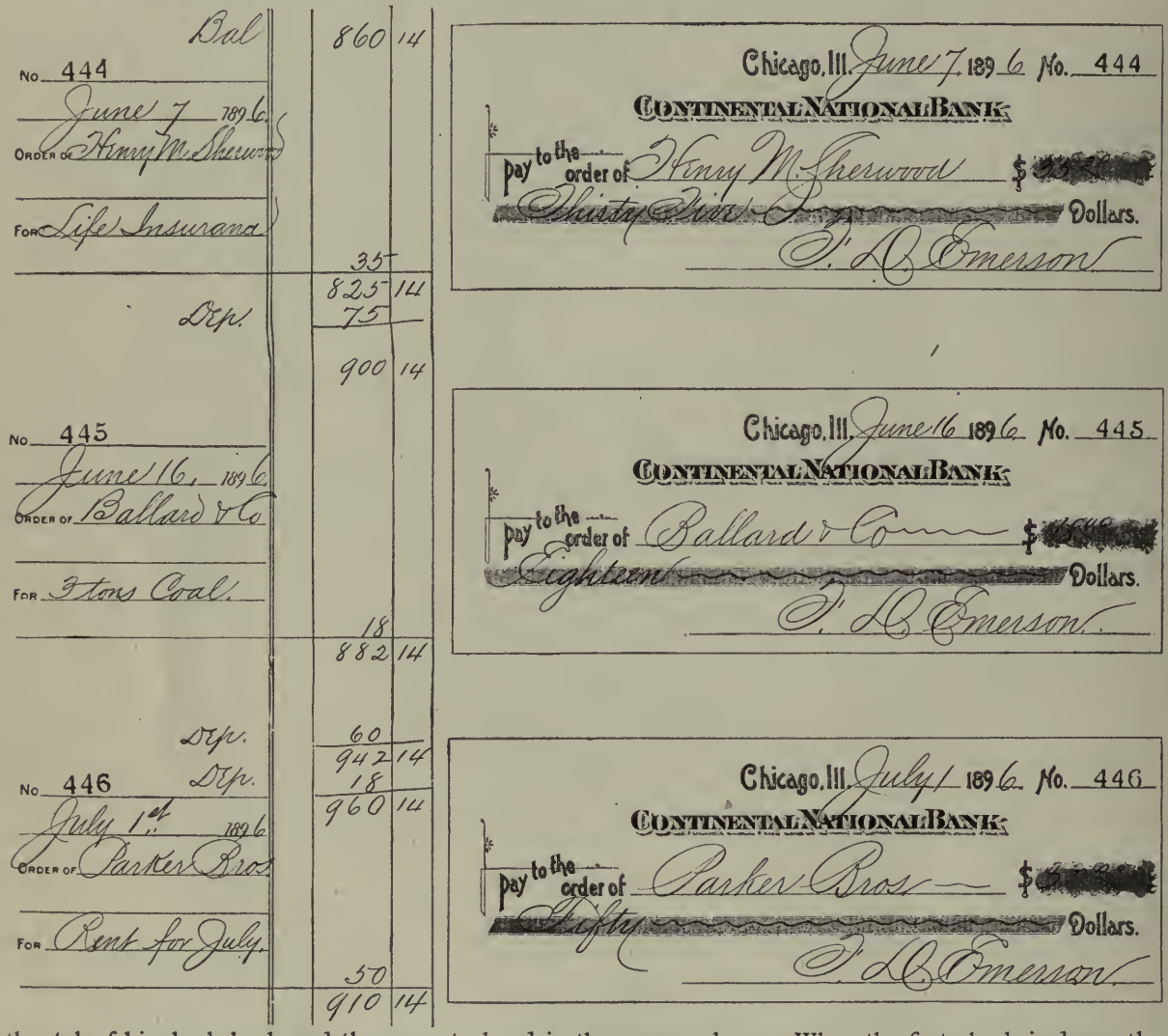
Always remember that personal checks should be presented at least on the next business day after their receipt, or in case of failure of the bank you may be the loser.

A personal check should not be sent as a remittance a long distance from home, for it is subject to a fee for collection. Banks near large cities often have arrangements made by which their checks may be cashed at a certain bank in the city. This is a great convenience to its customers, for its checks will then pass at par.

See page 39.

KEEPING A BANK ACCOUNT.

When a bank account is kept subject to check, it becomes important for the depositor to know the best means of keeping an accurate tab on the amount he has to his credit in the bank. Some bookkeepers keep an account in the ledger with the bank, debiting it for deposits and crediting it for checks. In case a bill of goods is bought, and a check given in payment, the above method necessitates two entries. For this reason a large number of bookkeepers prefer to treat the balance in the bank the same as cash in the drawer. This saves, as we will see, one entry on the books of account. Most check books are made with two columns for dollars and cents between the check and the stub. When the first deposit is made, the amount is entered by the depositor on



the stub of his check book, and the amount placed in the money column. When the first check is drawn the amount is placed in the money column, as shown in the cut, and deducted from the balance. This takes but a moment's time, and the depositor has the satisfaction of knowing just what his balance is at any moment. When the account is kept in this manner, a check given is the same as cash paid from the drawer.

As all the writing in the pass book is done by the bank official, it will, at first, only show the deposits which will be found on the left-hand side.

Whenever he wishes, the depositor may hand in his pass book to be balanced or written up. The bank will then enter on the right-hand side, all his checks paid by the bank, and inserting the balance, rule up the book. Care should now be taken to see that this balance agrees with the balance shown on the stub of the check book.

If all the checks issued have been presented, these balances should agree, and if they do not, the point of difference should be ascertained at once. When the bank returns the pass book, balanced, it also returns the depositor's canceled checks. From these it can be ascertained whether all checks issued have been presented or not. Those that are still outstanding should be noted, and a list of them made on the stub of the check book.

DRAWING CHECKS.

Checks of the most approved form provide for stating the amount, both in words and in figures. If these do not agree the bank will pay the amount stated in words. In drawing a check be careful to write it so that it cannot be easily raised. If you are careless in this regard, and the bank should pay your check which had been raised, you would be the loser. In writing the amount begin back to the extreme left of the line, and if the words do not completely fill the space allotted, draw a wavy line to fill out the space.

1	1	1	1
2	2	2	2
3	3	3	3
4	4	4	4
5	5	5	5
6	6	6	6
7	7	7	7
8	8	8	8
9	9	9	9
0	0	0	0

There are many devices for preventing the raising of checks and bank drafts. One is to use a paper having on it fine tinted lines; any erasure on the lines readily showing. Another is a fine perforator composed of numerous dies that almost, if not quite perforate the paper; this is stamped over the amount and makes it almost impossible to change it. Another is to cut out of the paper itself figures indicating the amount of the check or draft. Still another method is to have printed on one end of the check a design like the cut. The right hand column is units the next tens, and so on. Then, with a common punch the drawer will indicate the amount of the check by punching the proper figures in the various columns.

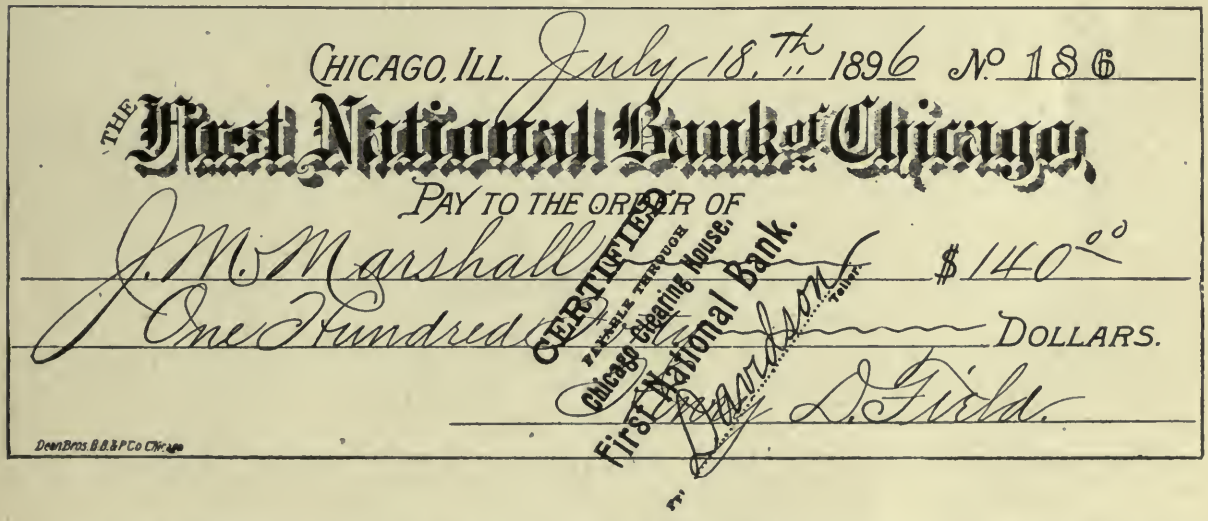
STOPPING PAYMENT ON A CHECK.

A check may have been obtained from the drawer through duress or fraud, in this case the drawer may notify the bank to refuse payment on the check when it is presented and the bank will be bound thereby. Only the drawer of a check and not a subsequent holder can stop payment. If you are the holder of a check and lose it, find the drawer if possible and get him to notify the bank.

CERTIFIED CHECKS.

The holder of a check may take it to the bank on which it is drawn and have it "certified" as being good. The bank does this by stamping something like the following across its face:

CERTIFIED CHECK.

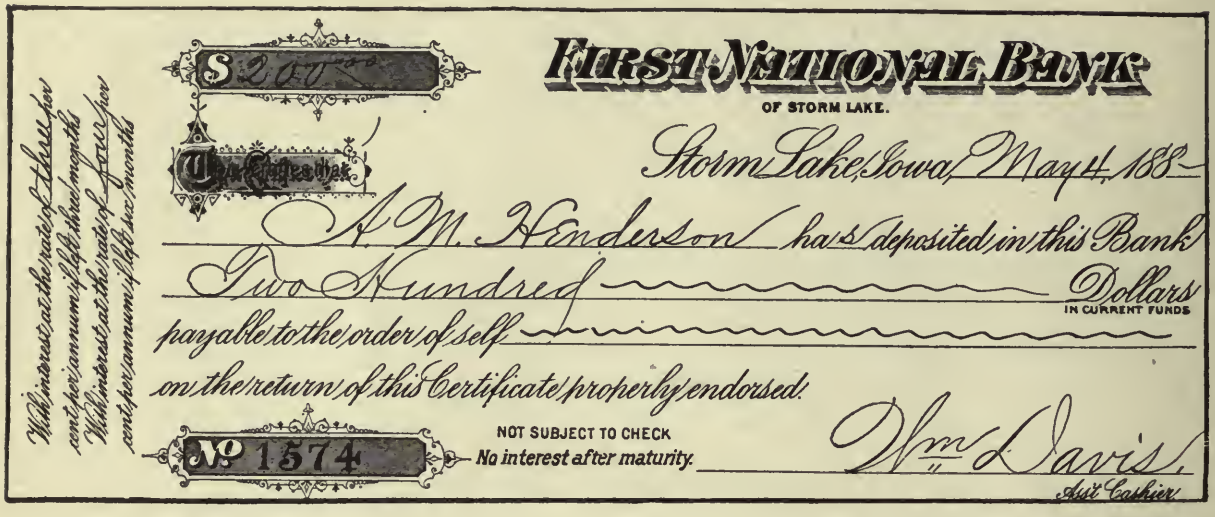


The bank immediately deducts the amount of the check from the drawer's account so that he cannot withdraw his entire funds from the bank and leave nothing with which to meet this check. There are many reasons why it is desirable to have checks certified. A bank holds for collection your note. They will not give up the note until payment has been made in a form that is satisfactory. There may be so far as this bank knows no funds in your bank with which to meet your check. Have your check certified and the check is then accepted and your cancelled note is returned to you without hesitation. Or you receive a check for $15000 on a bank other than yours. You want to use a large part of this check at once. Your bank would not feel satisfied to have you deposit the check and immediately draw against it to the amount of say $10000 before it had had time to ascertain whether the check were good or not. If the check were certified it would have no hesitation in doing so.

CERTIFICATE OF DEPOSIT.

One form of voucher given by a bank to a depositor is a certificate of deposit. It is not adapted to an account that fluctuates daily for an account so evidenced cannot be checked against but when money is to be drawn the certificate must be taken to the bank and either an indorsement of the payment made on it or as is more commonly done the old certificate is taken up and a new one issued for the smaller amount. A certificate of deposit is negotiable and may be used the same as a bank draft. Some banks pay a low rate of interest on money that is left with them for a certain length of time.

CERTIFICATE OF DEPOSIT.



DO NOT.

Never try to hand in your deposit before those in advance of you, but wait patiently your turn.

Do not draw a check unless you have the money in bank or in your possession to deposit. Don't test the courage or generosity of your bank by presenting, or allowing to be presented, your check for a larger sum than your balance.

Do not draw a check and send it to a person out of the city, expecting to make it good before it can possibly get back. Sometimes telegraphic advice is asked about such checks. Always consider a check paid when issued.

Do not exchange checks with anybody. It is is soon discovered by your bank. It discredits you. It is called kiting.

Do not give your check to a stranger. This is an open door for fraud, and if your bank loses through you it will not feel kindly to you.

Do not leave your check book exposed to the view of strangers. Such carelessness has led to forgery.

Never attempt to pay a note with an uncertified check.

Do not commit the folly of supposing that because you trust the bank with your money, the bank ought to trust you by paying your overdrafts.

Do not attempt to palm off an exaggerated story on your banker as to your assets and business. Your account will tell the true story.

Don't quarrel with your bank. If you are not treated well go somewhere else. Don't think it unreasonable if your bank declines to discount an accommodation note.

If you want an accommodation note discounted tell your bank frankly that it is not, in their definition, a business note.

If you take a note from a debtor, with an agreement, verbal or written, that it is to be renewed in whole or part, and if you get that note discounted and then ask to have a new one discounted to take up the old one, tell your bank all about it.

Don't commit the folly of saying that you will guarantee the payment of a note which you have already endorsed.

When you have paper for collection which is payable abroad, deposit it in sufficient time for proper entry and transmission to the place where it is due.

TO BUY A BANK DRAFT.

When you wish to purchase a bank draft on, for instance, New York, fill out a requisition on a blank which will be furnished you by the bank. This will be something like the following:

REQUISITION FOR BANK DRAFT.

UNION TRUST COMPANY.

Chicago, July 28 1896

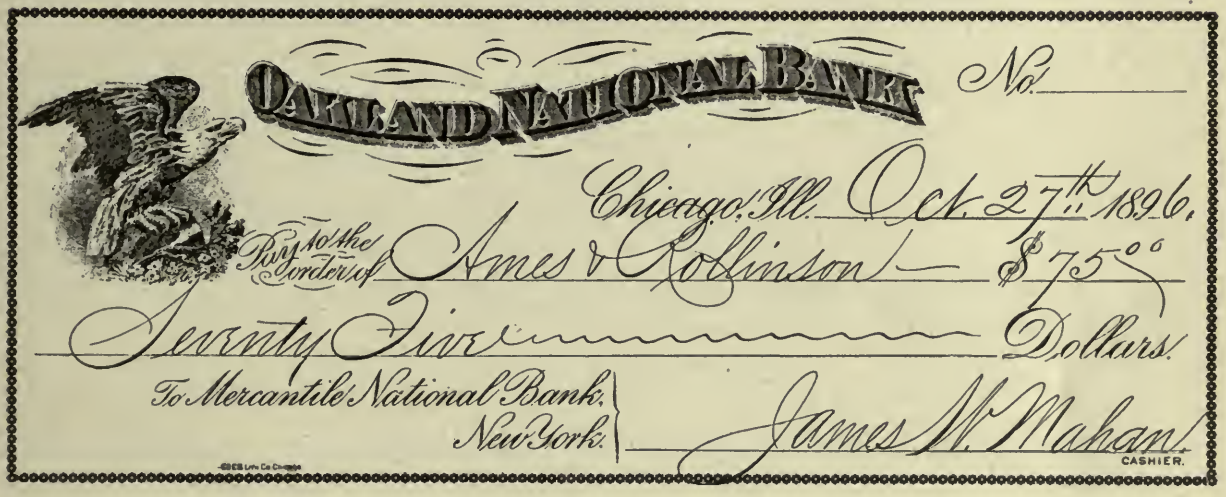
Draft Wanted on New York, ORDER OF

A. R. Whitmore.	1365
Geo. P. Lord.	208
Self	65 10
N. Y. Blair	1 25
	$1639 35

Bought By 2-16-95 S M. Exchange

It is in most cases preferable to have the draft drawn to your own order and then endorse it to the party to whom you wish to send it, for it will then serve as a receipt. Such drafts are periodically returned to the bank drawing them, and you can call there and examine it for its endorsements.

BANK DRAFT.



ENDORSEMENTS.

It is important that the business man should know what form of endorsement to use in a given case.

When sending a negotiable paper requiring an endorsement through the mail a full endorsement is to be preferred to a blank one. If you expect to hand the paper over to some person a blank endorsement will do.

If you are depositing it in a bank, the usual form is:

For Deposit
in the
HOME NATIONAL BANK
for credit of
(your name or firm).

(As this is a form in daily use, most firms have a rubber stamp made for it. It is then the work of but a moment to make the endorsement.)

(New form).
Pay to
UNION TRUST CO.,
Chicago, Ill.
OR ORDER
O. M. POWERS.

If it is a note or draft which you wish the bank to collect endorse as follows:

Pay to
CORN EXCHANGE BANK
or order
For Collection.
(Your name.)

This does not transfer the title to the paper, but only gives power to collect it.

'The purport of the late decisions of the Courts is that when a draft or check is endorsed for collection or for account of, the form of endorsement carries notice that the party collecting is a mere agent of the endorser to collect, hence the agent is under no liability to repay the amount collected after he has paid the same over to his principal.

The members of the Chicago Clearing House Association have unanimously agreed that "on and after July 1st, 1896, members of this Association shall not send through the Clearing House exchanges any checks, drafts, notes, bills of exchange, or other items having thereon such endorsements as 'for collection,' or 'for account of,' or any other qualified or restrictive endorsement, but that all endorsements shall be in the following form:

'Pay to CHICAGO NATIONAL BANK, CHICAGO, or order,'

or endorsed in blank, stamped or signed in the usual manner."

(*Extract from circular letter issued by members of Chicago Clearing House to their customers.*)

From the above it will be seen that in Chicago paper deposited must bear a full endorsement instead of the restrictive ones in use heretofore. The fact that the Clearing house rules require this of their members will naturally compel country banks to do the same, especially on bank drafts.

An endorser may relieve himself from a portion of his liability in making an endorsement by adding to the endorsement the words "without recourse;" as:

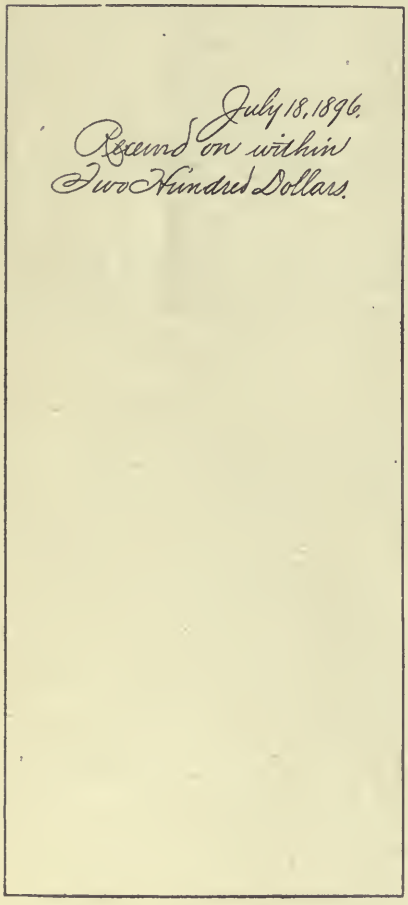
Pay to L. MITCHELL
without recourse to me.
CHAS. BROWN.

Sign your name in an endorsement in the same form as it appears on the face. If "P. Smith," write "P. Smith;" if "Jas. C. Smith," write "Jas. C. Smith." If erroneously spelled or not written as you write it on the face endorse both ways, first as it is already spelled or written, then as it should be.

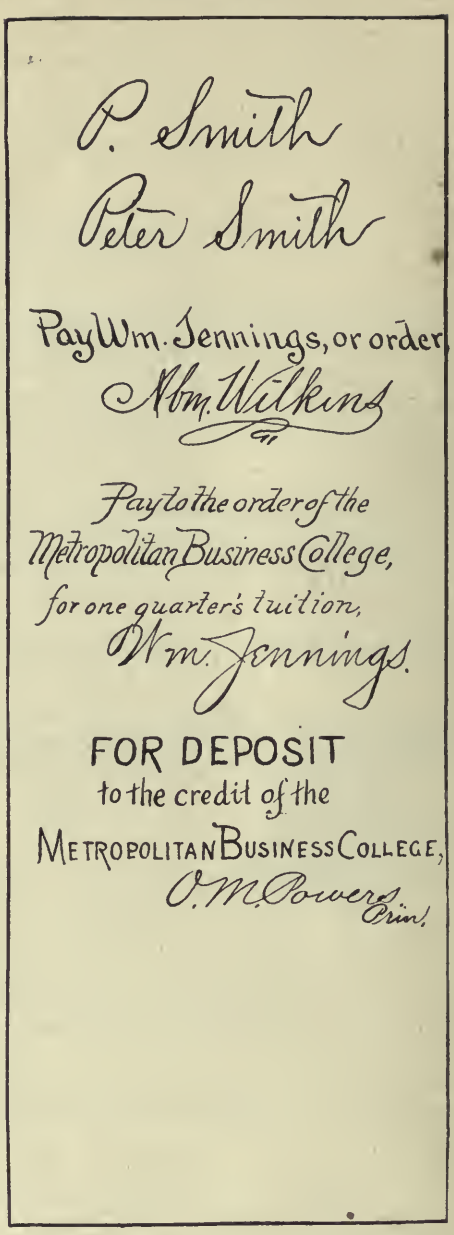
If you receive a paper with a blank endorsement on it you have the right to insert above the name the words necessary to change it to an endorsement in full, and this it would be prudent to do if you expect to retain it for a time.

Never endorse a paper until you are ready to use it.

ENDORSEMENT OF PAYMENT.



ENDORSEMENTS.



In making endorsements write across the back, not lengthwise. The left hand side will be the upper end of the back. When a partial payment is made on a note an endorsement of the payment should be made on the back, and should state the date and amount of the payment.

If the instrument is itself negotiable the endorsement need not contain the negotiable words "or order," or "or bearer," for these will be understood. Thus: "Pay to M. FOSTER —J. B. LYONS" is a full endorsement, and not a restrictive one.

GUARANTEEING OTHERS' PAPER.

Avoid endorsing or guaranteeing paper for others. Many a one has been financially ruined by being suddenly called upon to pay an obligation thus incurred. It is a course of action that under no circumstances promises any return, and you run many chances of suffering a loss thereby. What you will not do yourself you cannot consistently ask

another to do. Therefore do not ask another to endorse or guarantee your paper, for he will then have a claim on you for a like favor. So careful is the man of good business judgment to avoid the possible, yet probable, consequences of guaranteeing paper for others that it is often a provision in an agreement of copartnership that neither party shall endorse in his own name the paper of another and thereby indirectly endanger the solvency of the firm.

Politely, but nevertheless firmly, refuse.

Neither is the practice of exchanging notes to be advised altogether, though it is often done by good business men and proves to be an accommodation to both parties concerned.

COLLATERAL NOTES.

One of the chief sources of profit to a bank is the loaning of, not alone its own capital, but a portion of that which is left on deposit with them. These funds they will loan on approved security. Short time loans are preferred, because they enable the bank to turn its money often, and in case of necessity they are more readily converted into cash. If one has valuable stocks or bonds or ordinary promissory notes, but no cash, he can use them as "collaterals" at his bank. He will endorse his collaterals over to the bank, and make out and sign a collateral note on the face of which his collaterals are listed. Of course, the nominal value of the collateral will far exceed the amount of his loan, for on a forced sale they would not probably sell for par. If the note be paid the collaterals will of course be returned, and the endorsements can be stricken off.

COLLATERAL NOTE.

$ 800.00 CHICAGO, ILL., Aug 16 1899

Sixty days after date I promise to pay to the order of

Union Trust Company, at their office in Chicago,

Eight Hundred **DOLLARS,**

for value Received, with interest at the rate of 7 per cent per annum, after maturity until paid.

C. A. Bailey

I have transferred and delivered to said **Union Trust Company,** *as Collateral security, for the payment of this and of any other liabilities of the undersigned to said payee, due or to become due, or that may hereafter be contracted, the following property, value of which is* One Thousand *Dollars, viz:* One certain promissory note dated March 5, 1896 for $1000.00 due six months from date at 6% per annum and signed by F. H. Wheeler

And the undersigned hereby give the said payee and assigns authority to sell the said property, or any part thereof, or any substitutes therefor, and all additions thereto, on the maturity of the above note, or any time thereafter, or before, in the event of the said security depreciating in value, at any public or private sale, without advertising the same, or demanding payment or giving notice, with the right to said payee and assigns themselves to be the purchasers, when sale is made at any brokers' board or public sale. And after deducting all costs and expenses, to apply the residue to the payment of any, either or all liabilities as aforesaid, as said payee or assigns shall elect returning the overplus to the undersigned; and in case the proceeds of the sale of said property shall not cover the principal, interest and expenses, the undersigned engages to pay the deficiency forthwith after such sale, with legal interest.

C. A. Bailey

JUDGMENT NOTES.

A judgment note is an ordinary note to which is added a power of attorney, authorizing the holder to confess a judgment for the amount thereof when due, and in favor of the holder. In this way a man may have a judgment rendered against without knowing anything about it. Indeed the first he might learn of the judgment would be when the sheriff enters to make a levy on his goods. It will thus be seen to be a very severe contract, and the prudent business man will avoid, if possible, making such a contract. They are not legal in some states.

It also provides for payment of attorney fees in case suit is brought for its collection. Many such notes waive the exemption of homestead.

FORM OF JUDGMENT NOTE.

$100.00 Chicago, Date 189

Five days after date I promise to pay to the order of Your Name

One Hundred Dollars,

IN COLLEGE CURRENCY.

Payable at College Office

Value received with interest at ~ per cent. per annum after ~ until paid (and Twenty-five Dollars additional as Attorney's fees.) Provided, however, that if this note is paid without Suit or Judgment, then no Attorney's fees are to be paid.

NOW, THEREFORE, in consideration of the premises, I do hereby make, constitute and appoint JOHN D. ODELL, or any Attorney of any Court of Record, to be my true and lawful Attorney, irrevocably, for me and in my name, place and stead to appear in any Court of Record, in term time or vacation, in any of the States or Territories of the United States at any time before or after the said note becomes due, to waive the service of process and confess a judgment in favor of the said, Your Name or his assigns, upon said Note for the sum above, and interest thereon to the day of the entry of the said judgment, together with costs and damages, and also said Attorney's fees; and also, to file a cognovit for the amount thereof, with an agreement therein that no writ of error or appeal shall be prosecuted upon the judgment entered by virtue hereof, nor any bill in equity filed to interfere in any manner with the operation of said judgment and to release all errors that may intervene in entering up said judgment or issuing any execution thereon; and also to consent to immediate execution on said judgment; also to waive all benefit or advantage to which I may be entitled by virtue of any Homestead or other exemption law, and all laws authorizing the redemption of lands after sale under execution, now or hereafter in force, in this or any State or Territory of the United States, where judgment may be entered by virtue hereof; hereby ratifying and confirming all that my said attorney may do by virtue hereof.

C. W. Lewis [SEAL.]

[SEAL.]

ACCEPTANCE.

A draft drawn for a certain time after sight, and in some states a sight draft must be presented promptly for acceptance. The drawer signifies his acceptance of a draft by a memorandum written across the face of the draft, as follows:

Accepted.
July 31, 1896.
C. R. DUTTON.

If he wishes to make the draft payable at a certain place, as at his office or at his home, he should so indicate in his acceptance.

Making a draft payable at your bank, as is the one on page 15, has the effect of making it your check upon it. They will pay it on presentation when due. While this is not an uncommon thing, yet it is not considered as good a practice as giving your check for your acceptance.

DRAFT.

$420.50 Chicago July 28, 1896

At ten days sight Pay to the order of O. P. Root & Co.

Four Hundred Twenty & 50/100 Dollars

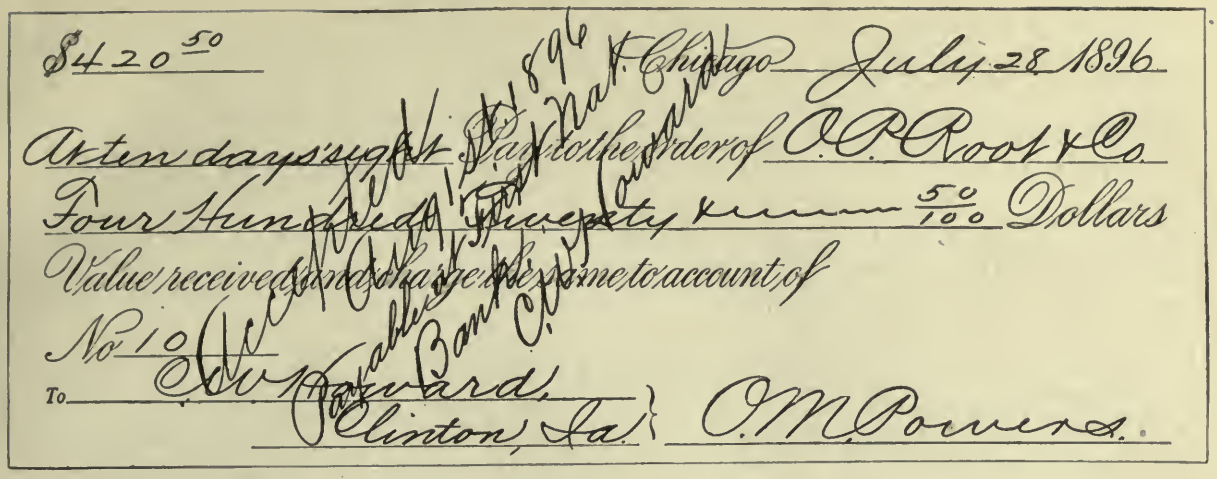
Value received and charge the same to account of

No. 10

To C. W. Howard. O. M. Powers.

Clinton, Ia.

THE SAME DRAFT AFTER BEING ACCEPTED.



HOW COLLECTIONS ARE MADE BY DRAFT.

One of the most common methods of collecting a delinquent account is by means of the draft. A owes you an account now past due and has paid no attention to your monthly statements nor to your polite dunning letters. In your last letter you probably stated that if you did not receive his remittance by a certain date you would feel at liberty to draw on him for the amount of his account. On the date mentioned you have not heard from him. Draw your draft on him in your own favor and for the amount of the account. Make the draft "at sight" or "at three days' sight" or for any other time you may deem best. Endorse it "For Collection" to a bank doing business as near to your debtor as possible and enclose it in a letter of instructions to the bank who will present it for you and endeavor to secure its collection. Instruct the bank in such case not to protest the draft in case of non-payment for nothing would be gained thereby. This instruction is usually conveyed by means of the words "Do not Protest, take this off before presenting" printed on the end of the draft. If the draft be paid the bank will deduct only a small fee, usually only large enough to cover postage and cost of the bank draft they must use in remitting the proceeds. If your debtor does not accept or pay the draft it will be returned to you by the bank with a memorandum stating the reason if any given by the debtor for his refusal to accept or pay. To continually or repeatedly refuse payment of drafts leaves one open to the suspicion that he is financially embarrassed or captious in his dealings with others; either one of which soon brings him into disrepute with his banker whose good opinion he should covet and cultivate. If then there is no especial reason why he should not pay the draft he will be apt to do so.

If you wish, instead of sending this draft yourself, you can endorse it to your own bank for collection who will attend to forwarding it.

In most cases a debt is due at the office of the creditor and all costs of getting payment to the creditor should be borne by the debtor. Drawing the draft as we have described throws the cost of transmission on the creditor for the bank deducts its fee from his proceeds. To avoid this and place the burden where it properly belongs, add in the draft, in connection with the amount, the words "with exchange" then the bank will collect the face of the draft and in addition its fees.

When the draft fails of its mission the account may be placed in the hands of an attorney or of a collection agency according to the emergency of the case.

HOW TO DRAW THROUGH A CERTAIN BANK.

Sometimes an order is given for goods with instructions to draw "at sight" or for a certain time and through a certain (his) bank for the amount of the bill. In this case the debtor will not remit but thereby notifies you that he will await your draft. The object in instructing you to draw through his bank is that all his business may come through the one bank and he may leave instructions there to pay it when presented or due and to deduct it from his account retaining the draft as their voucher. While such instructions are common yet it is considered better to have the draft presented and paid by a check regularly drawn.

In drawing this draft should you endorse it to your bank and have them forward it for collection they might send it to any bank in the place where the debtor resides, so, to follow the instructions of the debtor you must draw the draft in your own favor and then endorse it "for collection" to the bank named in his advice and forward it to them directly. Or draw the draft in favor of the bank named and send it to them direct.

HOW TO REMIT MONEY.

Let it be emphatically stated again that it is the duty of the debtor, unless the contrary be expressly agreed upon, to lay down the full amount of his debt at the creditor's place of business free from discount, exchange, or deduction of any sort. In all cases then the remittance, no matter in what form it may be made, should be in a form or in funds that are current and without discount or exchange in the creditor's place of business.

The risk of loss incidental to remitting in any form rests with the debtor unless the creditor has instructed him to remit in a certain manner, then if his instructions be followed strictly the loss is on the creditor.

I.—IN STAMPS.

Stamps are not legal tender and should never be sent except the amount be very small or the creditor has instructed you to remit in that manner.

II.—IN CURRENCY OR COIN BY MAIL.

This is a proper form in which to remit, but it is not safe and the government does not guarantee the safe delivery of any letter or package delivered to it for transmission. Should it be lost the loss would be yours and not the creditors, unless the creditor had instructed you to remit in that manner, when the loss would be his.

III.—BY REGISTERED LETTER.

This is a legitimate form of remittance and comparatively safe. Though the government does not guarantee its safe delivery, it takes every precaution to protect it, and of the thousands of remittances so made in a year but a small proportion are lost. The loss, if any, falls of course on the debtor. The registered remittance, doubtless, finds most favor in localities where other and simpler forms of remittances cannot be had. The receipt which the receiver must sign and which is returned to the sender also commends it in many cases. The fee for registering is eight cents in addition to the postage. Packages may also be registered.

IV.—PERSONAL CHECK.

It is perfectly proper to send your personal check to a creditor residing in the same town or to a place where the banks are in daily correspondence and exchange with your bank but not otherwise, for in that case such a check is subject to a fee for collection. A check on a Metropolitan bank may properly be sent farther than on a small bank. Thus a check on a Chicago or New York bank may be sent to any town where the bank is a depositor with the Chicago or New York bank, and will pass at par at the bank while a check on that bank would not pass at par in the Chicago or New York bank. See pages 8 and 17.

It is not presumed that personal checks are drawn for circulation but for presentation and payment; so as a rule they should not be used for that purpose unless they are drawn for enough more than the debt to pay the cost of collection.

One of the most annoying incidents of the wholesale business is to have a customer, residing say two or three hundred miles away remit his check to balance his account. Nothing so quickly stamps a man as either ignorant of the ways of business or as intentionally endeavoring to take a mean and small advantage as this. The receiver may accept the check in full satisfaction, pocket his loss and swallow his chagrin, but rest assured the remitter has gained nothing in the end.

V.—PERSONAL DRAFT.

A personal draft on a third person whether accepted or not is not a legal tender and is not a proper form of remittance. It should never be sent except by previous arrangement.

VI.—BANK DRAFT.

This is doubtless the most common and the best form in which to make ordinary remittances, but not even all bank drafts will pass without discount in all places. A bank draft on Chicago or New York would probably so pass anywhere in the United States, and for that reason they are to be preferred. A bank draft on San Francisco would probably not pass in Pittsburg without discount. A fee is usually charged by the bank for its trouble regardless of the course of exchange; what this fee is depends on the banks.

VII.—CERTIFICATE OF DEPOSIT.

It cannot be said that either this instrument or Cashier's Check is in common use as a means of remittance, but both being negotiable instruments they are frequently called upon for this duty. All that has been said in reference to Bank Drafts applies equally to them.

VIII.—POSTAL ORDER.

This is a safe and convenient method, but cannot be used for amounts exceeding $100.00, unless more than one order be purchased. They can be transferred once and may be deposited in your bank along with other instruments. The bank will require you to sign the order as if you had received the money from the P. O. instead of indorsing it to them. They should not be sent except to the town where they are made payable for they are drawn on a particular office. But one endorsement is permitted.

IX.—EXPRESS ORDERS.

These are growing rapidly in popularity. They are cheap and reliable for the express company guarantees their payment. They may be deposited the same and in the same manner as a postal order. The maximum amount that can be so sent in one order is $50.00. Unlike Postal Orders, they can be sent anywhere and then re-sent, for they are not drawn on a particular office.

X.—EXPRESS.

This method providing for the transfer of the actual money is of course proper in any amount though it may prove somewhat expensive.

XI.—BY TELEGRAPH.

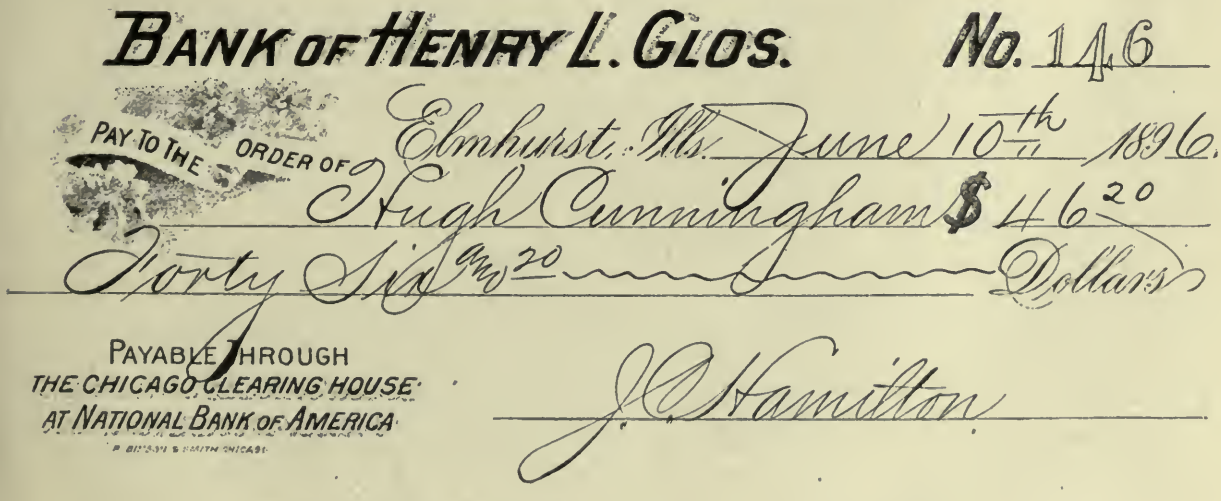
This may be done either through the express companies or through the Western Union Telegraph Co. If through an express company, the money is paid to an agent who telegraphs the order to an agent at the point to which remittance is to be made. This method is only applicable to large cities and towns, for not every express or telegraph office would have at all times sufficient funds to meet these orders on demand. The charges by the express companies are in addition to cost of telegraph service:

$100.00 or less, 1 %.		
Over $100 to $200	$1 25	
" 200 " 300	1 50	No charge less than 50 cents.
" 300 " 400	1 75	
" 400 " 500	2 00	

SUBURBAN BANKS.

Many of the depositors in banks adjacent to large cities have occasion to use their checks in paying bills in the city. These checks naturally find their way into the banks of the city, but being personal checks on banks not members of the clearing house they are subject to a collection fee. To avoid this the suburban bank arranges with a member of the clearing house to "clear" its checks for it. That is, this city bank takes up the suburban bank's checks from the other members as its own. Such suburban banks frequently have a notice on their checks that they are also payable through the clearing house at a certain bank.

CHECK OF A SUBURBAN BANK.



DRAWING CASH ON YOUR OWN CHECK.

If you would draw money from your bank account for your personal use write the check "Pay to the order of Currency." If you draw it "Pay to the order of Myself," you will be obliged to endorse it.

KITING.

This is a technical term made use of by bankers to describe a sort of pirating practiced by some depositors. To illustrate: Suppose that the clearing house meets at 11 A. M. At 12 M. a depositor is in need of cash, but has none in bank. He goes to a friend and exchanges checks with him. The check received he endorses and pays over to his customer. His check may be deposited at once or next morning in his friend's bank. This bank will pass it through the clearing house and it will reach the bank on which it is drawn twenty-four hours after it was issued. By this time the drawer has been able to make a deposit sufficient to cover the check. He has thus been able to secure the use of this money without charge for twenty four hours.

It is considered bad practice by bankers, and the account of a depositor guilty of it is watched with care.

VALUE RECEIVED.

The words "value received" are not necessary to the validity of a note or draft. It is presumed that value was given whether so stated or not.

JOINT NOTE.

Notes are either joint, or joint and several. A note written, "We promise to pay," and signed by two people is a joint note. If "I promise to pay, etc.," it is joint and several.

COMPUTATION OF TIME.

If the time of commercial paper is stated in months, calendar months are used. If the time is stated in days, count actual days.

SAFETY DEPOSIT VAULTS.

Many banks in the larger cities have large vaults especially constructed and fitted with safe deposit boxes or drawers. These boxes they rent to persons who wish to store valuable papers, jewelry or money. The rent of the boxes depends on the size. This is a great convenience to those who have no secure place for valuables. The vaults are carefully guarded and many vaults are provided with private rooms where a person may examine his securities or valuables at pleasure.

LEGAL TENDER.

A may owe B a sum of money which draws interest and which is due, but B knowing A to be perfectly responsible, prefers to have him keep the money and pay the interest. A wishes to pay and stop the interest. He should therefore make a legal tender or offer of the money to B. Only certain kinds of money can be used for this purpose. Such money is called "legal tender." When making a tender to free oneself from payment of further interest and costs, he must offer certain kinds of money. These are:

I. Gold coin and silver dollars in any amount.
II. Silver coins smaller than one dollar in amounts not exceeding ten dollars.
III. Copper and nickel coins up to twenty-five cents.
IV. Greenbacks for any amount and for any debt except duties and interest on the public debt.
V. Treasury notes in any amount.

National bank notes, silver and gold certificates, are not legal tender when objected to.

When a tender is legally made it stops further interest, and in case suit is brought on it the costs will be on the creditor.

ADVANTAGES OF TAKING A NOTE.

There are a number of advantages in having an obligation in the form of a promissory note rather than in an account. The note cannot be so easily disputed. It can be more readily negotiated or used as a collateral on which to raise money. It can also be more easily enforced in a suit of law. The accuracy of an account must be verified by oath, while a note is prima facie evidence of its own veracity. It is also a fact that a debtor is more likely to pay his note than his account, for the note may be protested and his credit thereby be impaired. Of course if a creditor accepts a note he thereby postpones the collection until the note matures; in this respect the note might be a disadvantage.

NATIONAL BANKS.

These are corporations organized by act of congress, hence are all called National. They may if they wish purchase U. S. bonds with their capital, or a part of it, and deposit the same with the Treasurer of the United States. Against the bonds so deposited they may issue in national bank notes, not more than ninety-per cent. of the face value of the bonds. These banks are called banks of issue because they issue these notes or bills which pass as money. National banks are required to report under oath to the controller of the currency whenever he demands it, their financial condition in detail. They are also visited periodically by bank examiners who check over their books and report the condition to the controller. National banks are not permitted to hold real estate except for bank purposes, and when taken to secure a debt. Such property must, however, be disposed of within five years. A national bank is not permitted to certify to a check for more than a depositor's account.

National banks in Albany, Baltimore, Boston, Cincinnati, Chicago, Cleveland, Detroit, Louisville, Milwaukee, New Orleans, New York, Philadelphia, Pittsburg, St. Louis, San Francisco and Washington are required to have constantly on hand in lawful money at least twenty-five per centum of the aggregate amount of its notes in circulation and its deposits. Banks in other cities are required to keep fifteen per centum on hand.

The stock holders in a national bank are held to a double liability, that is, in case the bank becomes insolvent the stock holders may be assessed an amount equal to the amount of stock held by them.

They are required to keep at all times on deposit with the treasurer of the United States 5% of their circulation to be used in the redemption of their notes.

Each bank is required to set apart one tenth of its net profits until this sum shall equal 20% of its capital stock. This is designated as a surplus fund and is to be used to meet any losses.

To be eligible as a director a stockholder must be a citizen of the United States and own in his own right at least ten shares of the capital stock which must not be pledged in any way for a debt. At least three-fourths of the directors must have resided in the state in which the bank is located for a year or more immediately preceding their election and must continue their residence there during their term of office.

Each bank must have a capital of at least $100,000, but if the population of the city where it is located be 50,000 or more then the capital stock must be not less than $200,000. If the population of the city or town be less than 6,000 a bank may be organized with a capital of $50,000 by securing the special authority of the controller of the currency.

SAVINGS BANKS.

These are institutions organized not for the convenience of the business man but for the benefit of the poor. They are to enable the latter class by combining their nickels and dimes to aggregate such a sum that it can be loaned to good advantage.

Savings Banks are always creatures of State Statutes and they must therefore differ as these statutes differ. But two general plans are however usually followed in their organization, to-wit:—the purely mutual and the corporate. The former is the plan in general use throughout the eastern states and is undoubtedly the more rational and successful plan of the two. In most of the western states, Illinois included, the corporate plan is in vogue.

By the mutual plan all net profits made by the institution are at stated intervals returned to the depositors in proportion to the amount of their deposits. The trustees or directors serve without pay, only those employees giving daily attendance at the institution receiving any remuneration. The expenses are reduced to the minimum and a correspondingly larger dividend returned to the depositor. In those states where this is the plan of organization the large amount of deposits per capita is evidence of its popularity with the masses.

FORM OF RECEIPT USED BY A SAVINGS BANK.

$\$$..... Chicago, ... 189....

Received of **DIME SAVINGS BANK**

..... DOLLARS,

to be charged to my account.

No. .....

.....

From the fact that the depositors in savings banks are the poor the state exercises a supervision over them and limits the nature of their investments. They are usually restricted to mortgages on real estate, and to stocks and bonds. Such security being the very best they do not afford as high a rate of interest. For this reason savings banks are more noted for their stability than for large profits. It is a class of security that is not so readily convertible as that handled by national banks, who must be ready to produce the money of a depositor on a moment's notice. The rules governing a savings bank usually require the depositor to give notice (from thirty to ninety days) of his intentions to withdraw his deposit. Though advantage is not usually taken of this rule, it serves a good purpose in cases of emergency, when the bank has its funds invested in a manner that they are not readily convertible.

These institutions bring into circulation the few dollars that are usually hoarded away by the poor and middle classes and encourage a spirit of thrift in all classes. They are not only in this manner indirectly useful to the community where they are located, but when the local municipality is seeking a subscriber for its obligations in the shape of bonds its best and most reliable friends are the savings banks, and thus the people themselves, who are the most interested in their government, become more intimately connected with it as its creditors.

When money is to be deposited in a savings bank a ticket is made out similar to that in case of a commercial deposit.

A book is given the depositor and the amount of his deposit entered therein. When he wishes to withdraw money he must present his book and sign a receipt for the amount withdrawn, which amount will also be entered in the withdrawn column of his book.

It will be noticed that such a deposit cannot be checked against, but the book must be presented either in person or otherwise.

TRUST COMPANIES.

These companies are becoming more numerous every year. They are state institutions and not national, and are usually organized under a special act referring to such companies, and it defines their limitations. They receive deposits subject to check, and in general do a banking business. In addition to this they are authorized to act as guardians, administrators, executors and bondsmen. They are often recognized depositaries of the courts. They also act as agents for corporations in selling and transferring stocks and bonds, and in the payment of dividends. They are authorized to act as receivers and assignees in case of insolvent debtors.

CARE OF TRUST FUNDS.

You are almost certain sometime in your business career to be called upon to act as a treasurer for a society or as a guardian or administrator, and the proper care to take of trust funds in your possession will concern you.

To avoid as much responsibility as possible money should be deposited not in your name, but in your fiduciary capacity as "John Smith, Treasurer for ———," or "John Smith, Guardian for ———," as the case may be. This may not relieve you from personal responsibility in case the bank fails, but you should make it a rule to keep trust funds separate and apart from your own. You should also keep accurate accounts with the trust, so that in case of your absence or death it would be an easy matter to determine what had been done.

KINDS OF PAPER MONEY.

There are at the present time in general circulation five forms of paper money, viz.:

I. Greenbacks.
II. Treasury Notes.
III. National Bank Bills.
IV. Silver Certificates.
V. Gold Certificates.

I.—THE GREENBACK.

This is simply a promissory note of the Government made payable to bearer and its value is to be determined in the same manner that you determine the value of an individual's note; that is by the ability of the maker to pay. There are now (1896) about 346,000,000 dollars of them in circulation. They are payable on demand and do not bear interest. A demand may be made on any of the U. S. sub-treasuries. To provide for these demands which are being constantly made the law requires the Government to keep on hand a "Reserve" of $100,000,000 in gold. Greenbacks are legal tenders for all debts except duties on imports and interest on the public debt. When they are redeemed the law requires them to be re-issued.

II.—TREASURY NOTE.

This was created by law in 1890. The words "treasury note" appear on the face and it further states that they are payable "in coin" without stating which coin. It is legal tender for all debts both public and private except when otherwise expressly stipulated in the contract. There are now about $129,000,000 in circulation. When redeemed they are cancelled.

III.—NATIONAL BANK BILLS.

Upon the organization of a National Bank it may invest its capital in U. S. Bonds and deposit them with the treasurer of the U. S. who will then issue to the bank in proper denominations bank bills to the amount of not more than 90% of the face value of the bonds. The bills after being signed by the officers of the bank may be put in circulation as money. The face of the bill reads: National currency. Secured by United States bonds deposited with the treasurer of the United States. The ..... National Bank will pay the bearer on demand .....Dollars." On the back: "This note is receivable at par in all parts of the United States in payment of all taxes and excises and all other dues to the United States except duties on imports; and also for all salaries and debts owing by the United States to individuals, corporations and associations within the United States except interest on the public debt." No bank bill is now issued of a denomination lower than $5. It will be observed that the bank bill is not a legal tender if objected to on that account.

IV.—SILVER CERTIFICATES.

Silver dollars are heavy and for this reason people prefer to receive payment of a large sum in a more convenient form of currency. To satisfy this demand and yet provide a currency exactly as stable and valuable as the metal itself, the silver certificate was created. A person having silver dollars may take them to a sub-treasury and receive for them an equal amount in silver certificates. The government retains these coins in its vaults to redeem, when called upon to do so, that same amount of silver certificates. So for every dollar of silver certificates issued the government holds a silver dollar to redeem it. The face of this certificate reads: "This certifies that there have been deposited in the Treasury of the United States.....silver dollars payable to the bearer on demand." The back reads: "United States Silver Certificate. This certificate is receivable for customs, taxes and all public dues, and when so received may be re-issued." They are issued in denominations of $1, $2, $5 and upwards to $10,000.00. There are now about $336,000,000 of them in circulation.

V.—GOLD CERTIFICATES.

These are similar to the silver certificates except that they are based on gold instead of silver. They are yellow in color and are issued in denominations of $20 and upwards.

KINDS OF METALLIC MONEY.

I —GOLD.

The basis of our currency is the gold dollar. This has 23.22 grains of pure gold. The pure metal is too soft to make a practical coin so it is combined with an alloy of nine parts gold to one part of alloy. This makes the actual weight of a gold dollar 25.8 grains. The gold coins now issued by the government are the 2½-dollar, the 3-dollar, the 5-dollar, the 10-dollar or eagle and the 20-dollar or double eagle. All our gold coins are intrinsically worth their face and will pass at par anywhere in the world. In 1890 the coinage of 1-dollar and 3-dollar gold pieces was discontinued by law.

II.—SILVER.

Our silver dollar contains 371¼ grains of pure metal, but the gross weight is 412½ grains, owing to the alloy that is added to the silver to harden it. At present the pure silver in a dollar does not nearly equal the value of gold in a gold dollar. If the gold in a gold dollar be taken as the standard the silver in a silver dollar is worth only about 53 cents. For this reason our silver dollars will not pass at par anywhere outside of this country. The silver dollar is $\frac{3}{2}$ of an inch in diameter and $\frac{80}{1000}$ of an inch thick. It is a legal tender in any amount.

The subsidiary coins are the half-dollar, quarter-dollar, and dime, all of silver; and the 5-cent nickel and the copper cent. None of these is intrinsically worth its face. The silver subsidiary coins are legal tenders in amounts not exceeding ten dollars, while coppers and nickels are legal tenders in amounts up to 25 cents.

If one has gold alloyed in the proper proportion for coining, the government mint will coin it for him free of charge.

HOW TO DETECT COUNTERFEIT COIN.

Throw the coin upon the counter and if it gives a clear metallic ring it is genuine. A counterfeit will give a dull sound. A counterfeit coin if a little worn will present a dull appearance. Again, most counterfeits are not well moulded, the milling on the edge and the lines on the sides are not clear cut. Much can also be told by feeling the coin. A counterfeit coin has an unctious or oily feeling, quite different from the genuine.

HOW TO DETECT COUNTERFEIT BILLS.

In detecting counterfeit bills notice the clearness of the geometric lathe work about the denominational figure. If the lines are clear, uniform and exact it is evidence of genuineness.

Notice the shading to the letters and figures and other ruling engine work. If the lines are smooth and parallel it is evidence of genuineness. In counterfeit notes these lines are engraved by hand and are more or less imperfect, while in genuine bills they are engraved by machinery and are mathematically correct.

Notice the quality of the portraits and vignettes on the bill. In the genuine these are clear, distinct and full of expression, while in the counterfeit they are usually dull, expressionless and more or less imperfect. The government employs a very superior class of artists for this work, and counterfeiters are usually unable to equal them.

The texture and fibre of the paper is another test, although not an infallible one. The paper of genuine bills is made to the order of the government and is pliable but tenacious, while the paper of the counterfeiter is usually of a cheaper grade, with more stiffness and easily torn.

The ink on a counterfeit bill is usually of an inferior quality to that used by the government, and presents a dull and cheaper appearance, while the ink on a genuine bill is of a brighter and richer hue, and gives to the bill more of a cheerful appearance.

Bills have been "raised" by scraping off the denominational number and pasting thereon a counterfeit number of a larger denomination. Thus a $5 bill may be changed to $20, and several clever forgeries have in this way been committed. By close inspection such forgery may be detected in the geometric lathe work around the figure as the lines will be broken and show the patch work. In this case the counterfeit relies on the genuineness of the other parts of the bill to carry it through. If you are in doubt about the genuineness of a bill, if possible examine it under a magnifying glass.

Lastly, always remember that the Statutes of the United States make it a penitentiary offence to knowingly pass counterfeit money, or even to have it in your possession, unless innocently.

HOW TO MAKE CHANGE.

It is universally conceded that it is preferable to make change by the process of addition rather than by subtraction. Start in your mind with the amount to be paid you and add to it enough to make even dollars and from that up to the amount that was handed you. Repeat this aloud in the hearing of your customer throwing the change down before him as you do so. When another pays you always count it again in his presence before leaving him.

HOW TO COUNT CURRENCY.

In the counting of currency there is both a physical and mental process. The first has to do with the manipulation of the bill itself and the second with the counting proper.

Bank tellers usually take the bills in the left hand, the palm of the hand being up, and the thumb on top of the pile and used as a lever to push the bills away, the right hand being used to draw the bill out of the left. At the same time the thumb and ends of the fingers of the left hand are gently pressed together so that the operator may get the feeling of the bill, and also to prevent drawing two bills from the hand at the same time. In all cases the bills should be arranged with the face up. Another way used by many good tellers and said to be equally as rapid and reliable, is to hold the bills down on the desk with the left hand and wrist, and pinch them up with the forefinger and thumb of the right hand, the fingers being moistened by a saturated sponge kept near. The latter is the only method possible when the bills are in packages and are to be left intact.



In counting the bills the teller begins with the first bill on top which we will say happens to be a five-dollar note. This bill he counts as one. Next comes a $10 bill, which being equal to two fives, he counts as two. This makes the total count three. Then comes, we will say, a $20 bill which is equal to four fives and adds four to his count which makes it seven. Now comes another five which adds one to the count and brings the total to eight. Next is a $50 bill which is equal to ten fives and is counted as ten. This brings the count to eighteen. Then comes a $1 and a $2 bill which he throws aside and does not count at present. The next is a $100 bill which adds twenty to his count and brings the total to thirty-eight, that is thirty-eight times $5 which is $190. In other words, the $5 bill is taken as the unit and if any smaller bills are in the package, they are counted separately and added to the total. In counting smaller bills, the one-dollar bill is used as the unit.

HOW TO COUNT COIN.

In counting coin, the pile is thrown on the counter. The left hand is placed against the breast slightly below the level of the desk, and with the right hand the coins are scraped off from the desk into the hand, and the counting is done as they drop into the hand. It is considered best to sort each kind first by itself and count each kind separately. In counting gold, the mental process is the same as when counting currency, but in counting mixed silver, the quarter is used as the unit. In handling gold great care must be observed to see that the coin is full weight or nearly so as otherwise a discount will be charged at the bank of deposit receiving the coins.

ABRASION OF COINS.

If one takes gold coin to his bank and offers it for deposit, the chances are that each coin will be carefully weighed before credit is given for them. The law on this subject reads as follows:

"Which coins shall be a legal tender in all payments at the nominal value when not below the standard weight and limit of tolerance provided in this act for the single piece, and when reduced in weight, below said standard and tolerance, shall be a legal tender at valuation in proportion to their actual weight; and any gold coin of the United States, if reduced in weight by natural abrasion not more than one-half of one per centum below the standard weight prescribed by law, after a circulation of twenty years, as shown by its date of coinage, and at a ratable proportion for any period less than twenty years, shall be received at their nominal value by the United States Treasury and its offices, under such regulations as the Secretary of the Treasury may prescribe for the protection of the Government against fraudulent abrasion or other practices; and any gold coins in the Treasury of the United States reduced in weight below this limit of abrasion shall be recoined."—*Extract from U. S. Statute.*

As the value of a grain of gold is between four and five cents it is the custom to deduct four cents for every grain or fraction of a grain that the coin is short in weight.

EXCHANGE.

The great financial center of the world is London. The financial center of this country is New York. Here is controlled a large amount of wealth that is invested in all parts of the country. Surrounding these centers like satellites, are smaller centers each a center of a smaller circle. Thus Chicago is the financial center of a large territory immediately surrounding it. San Francisco is another for the Pacific coast. But these lesser financial centers form a community whose center is New York. A western merchant goes to New York to purchase goods. He does not take with him the actual money he expects to need in the purchase of his bills. His money he leaves on deposit in his home bank. He buys $10,000 worth of goods on 10, 15, 30 or 60 days time as the case may be, and they are shipped. The result is that at the end of his term of credit he has $10,000 to pay in New York for his debt is due there and not at home. His money is in his home bank but due in New York. How shall he get it there? He could of course send it by express, but that would be expensive for so large a sum. The best method considering the expense is doubtless the bank draft. He draws his check payable to "New York draft," takes it to his bank and gets for it their draft on a New York bank for the amount wanted. But how does the Western banker have the right to draw on the New York bank? As has been said New York is the financial center of this country and nearly all banks keep a deposit with some New York bank, against which they can draw their drafts as they have calls for them. This is called selling New York Exchange. At certain seasons of the year there is a general movement of crops and farm products from west to east, these will be sold in the east, and checks, certificates of deposit and cashier's checks on New York banks will be received for them by the western shipper. These he will deposit in his western bank and as soon as deposited he can immediately check against them. The bank receiving these exchanges will forward them to its New York correspondent bank for credit. At this time it may be that there is but little call from its customers for New York drafts. Consequently, it will under such conditions have a larger balance to its credit in New York than it wishes or can use, for anything above what it can use would be idle capital, and banks to earn the most, must keep their money moving.

On the other hand there are seasons when the West is buying extensively of the East, that it is difficult for the western banks to maintain a balance in New York sufficient to meet the demands that are made upon them for New York exchange. In Chicago, there are certain large dealers and shippers, like Swift & Co., Armour & Co., and certain members of the Board of Trade, who daily have large amounts of New York exchange to deposit. On the other hand there are a large number of merchants, such as Marshall Field & Co., Mandel Bros., and others, who are constant buyers of New York exchange. The banks endeavor to get a fair division of customers, that is, to get some customers that are sellers of New York exchange and some that are buyers; in this way the New York account is kept stable without being obliged to send the actual money by express to adjust it. This equilibrium of customers cannot always be preserved, and as a result certain banks are constant sellers of New York exchange, while other banks are constant buyers of it. A portion of the account of these large shippers and merchants is eagerly sought after. They usually divide their business and carry accounts at several banks. In case a Chicago bank is short on New York exchange it may call up one of its heavy depositors of such exchange and ask him if he can't give them a large amount of New York exchange to-day. Not being able to get sufficient from its customers it must look elsewhere. It will probably then inquire of other banks who may have more than they need. If they are successful in securing it a voucher will be drawn for it and this voucher is sent through the clearing house. The New York draft received will be forwarded immediately by mail for credit and drafts will be sold against it immediately.

It sometimes happens that owing to this ebb and flow of credit from east to west and from west to east, practically all of the Chicago banks are in need of New York credit, or a majority of them have too much New York credit. If a bank has too large a balance there and takers of it are not plenty it will offer it at a discount. If it does not have enough and it is hard to secure it will offer a premium. If need be the actual money may be sent by express either to or from New York but the charge to bankers for this service is $1.00 per thousand. The time required is two days and the interest for this period is figured at 10 cents making a total charge of $1.10 per thousand. This serves as a limit to the rates of exchange and the rates of New York exchange quoted in the daily papers rarely exceeds $1.00 discount or $1.00 premium. Sometimes the two-days' time is a consideration and the rate goes to $1.15 or even $1.25. These quotations are per $1000.

The daily papers in Chicago quote the rates on New York exchange. By observing this the shifting of credit back and forth between the East and West can be noted. It is thus an index of the course of business.

In Chicago there is a broker who makes it his business to inform the banks by 10:00 A. M. what banks have exchange to sell and what banks wish to buy. For this service he is paid a small fee per $1000, but which aggregates him a good return for his trouble.

While New York exchange may be at a premium, yet if a customer has a New York draft to deposit he will only get credit for its face. If he wishes to buy New York exchange he must usually pay a small fee for it regardless of the course of exchange. If a customer keeps a large balance to his credit, he can usually get what drafts he wishes without extra fees, but the ordinary customer pays a small fee.

FOREIGN EXCHANGE.

Dealings in Foreign Exchange in this country are limited in the interior to a few of the principal banking institutions, while the bulk of such transactions is confined to the seaboard—mainly New York. In the latter metropolis a number of large European financial institutions have branch offices and others are represented by firms in whom they are financially interested. Their dealings in the aggregate amount to millions daily and it is through their agency that the balance of trade between this and other countries finds its ebb and flow. We export and import commodities, and when the value of the one exceeds the other the difference must be settled in money—the world's money; gold or its equivalent; hence the necessity for agents skilled in the knowledge of the financial affairs of other countries as well as of their own. These agents are generally referred to in the daily market reports as foreign bankers, though most of the members of these international firms are men of American birth and parentage.

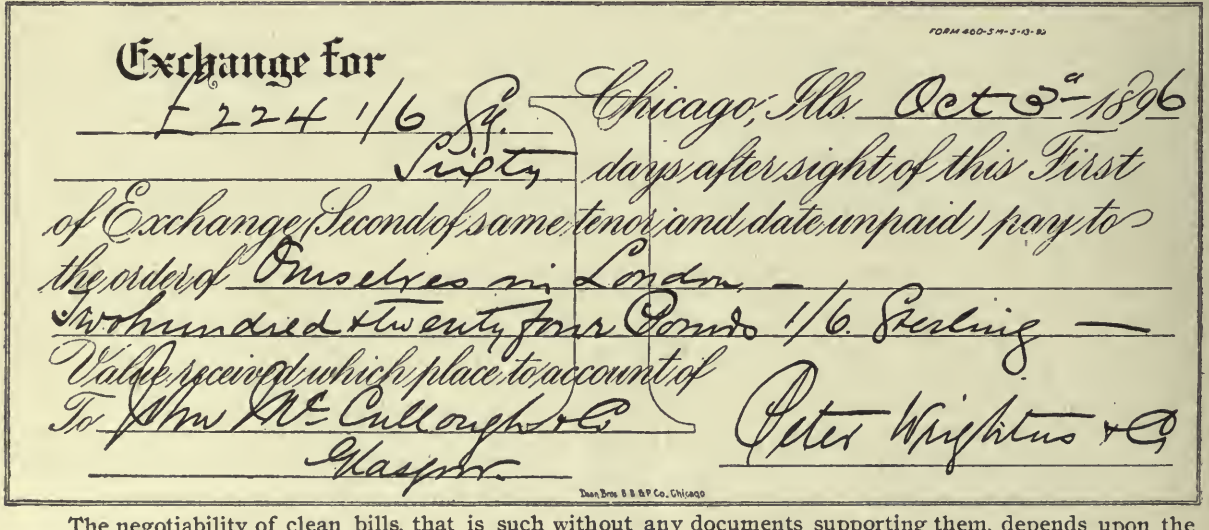
Foreign Exchanges are worked by means of Cable Transfers, Sight and Time Drafts, Commercial Credits, Travelers' Credits, Shipments of gold and silver coin or of gold and silver bullion, and Foreign currencies.

Cable Transfers are transactions that find their consummation as quick as electricity can work. Money is paid into a bank in London with instructions to be paid over to a fourth party, say in Chicago. With a very few words in cipher the London banker instructs his Chicago correspondent to pay John Jones a certain amount, and in case John Jones is within easy reach, it is possible that the duration of the entire transaction from incipiency to finish may not have been more than twenty minutes.

Bills of Exchange are divided into two classes: Bankers' bills and Commercial bills, and again both classes are divided into demand and time bills. Bankers' bills are, as the name implies, those drawn by banks or bankers. They command higher prices than Commercial bills owing to the fact that the makers and drawees are well-known financial institutions, and that their ultimate redemption is reasonably assured. This class of bills is eagerly sought after by importers and others having indebtedness to settle abroad. As a rule they are drawn on demand, at 30, 60 or 90 days' sight, seldom longer than the latter period. They are issued in sets of three—first, second and third of exchange.—In the case of long time bills, sixty or ninety days sight, the first of exchange is frequently sent to the domicile of the drawees for acceptance, there to be held subject to the call of the duly endorsed second or third of exchange, and is so marked on its face, while cross lines are drawn on the back to prevent its being endorsed by inadvertance; at the same time an annotation is placed on the face of both second and third of exchange that "The first of exchange is held by N. M. for acceptance, subject to the call of the duly endorsed second or third of exchange." This method would be adopted by a merchant having a balance to settle in South America, and who would wish to minimize, as far as possible, the loss of interest on the money while in transit. By buying a sixty days' sight bill on London, and sending the first of exchange to a London bank for acceptance, and at the same time starting the second and the third of exchange, duly endorsed, on its mission to South America, either of the latter would reach London about the time of the maturity of the bill, and the merchant would have received the interest in the lower price paid for the sixty days sight bill as against the cost of a demand bill.

Commercial Bills, (Form 1,) are those drawn by merchants in reimbursement of the sale of merchandise, and are either clean or documentary bills, issued on demand or on time. Clean bills are generally drawn in settlement of balances, while documentary bills are made to cover specific shipments.

FORM 1. FIRST OF A COMMERCIAL BILL.



The negotiability of clean bills, that is such without any documents supporting them, depends upon the financial standing of the makers, while documentary bills as a rule, under ordinary market conditions, find a ready sale, as the goods against which the bill is drawn are pledged as security for the ultimate payment of the bill, and for the purpose of placing this condition beyond a doubt, a special document called a *letter of hypotheca-*

tion is attached. (Form 2.) As a further precaution to all interested parties insurance is provided to cover the merchandise against all risks, marine, fire, loss and partial damage, and such insurance is embodied in a certificate issued by some insurance company of established reputation, and as a rule is made payable to the insured or order. The last and most important document attached to this class of bills is the Bill of Lading made out in the name of the shipper and by him endorsed in blank. As the goods are deliverable at point of destination only upon surrender of the Bill of Lading, it follows that in case of default in payment the parties holding the Bill of Lading can obtain the goods and dispose of them by sale without having recourse to expensive legal process. Documentary bills are as a rule made out in duplicate or triplicate, and are readily merchantable when accompanied by the following documents:

I.—Bills of Lading in duplicate or triplicate, issued by a transportation company to the order of the shipper, and by him endorsed in blank.

II.—Certificate of Insurance in duplicate payable in case of loss to the order of the insured and by him also endorsed in blank.

III.—Letters of Hypothecation pledging the goods shipped, as security for the ultimate payment of the bill and containing conditions as to the disposal of the documents, whether such are to be surrendered to the drawee upon acceptance or upon payment of the bill of exchange, and also providing for a rate of interest to be rebated to the drawee in case he should desire to retire the bill prior to maturity. Additional documents are sometimes required to cover specific cases or to conform to customs regulations in foreign ports, such as *Certificates of analysis* as in the case of iron ore, flax-seed, cotton oil, kerosene, etc. *Certificates of origin*, where discrimination is practiced against products of certain countries. *Certificates of inspection*, in grain shipments. *Certificates of microscopic inspection* in meat shipments. *Weight notes*, *invoices*, etc., etc.

FORM 2. LETTER OF HYPOTHECATION.

Chicago, October 3d 1896.

TO WHOM IT MAY CONCERN:

Sirs: We *have this day sold to the* **FIRST NATIONAL BANK,** *a Bill of Exchange*

for £224 1/6-

on Wm McCulloch & Co Glasgow.

against a shipment of 7 Bbls Meat.—

The agreement with the **FIRST NAT'L BANK,** *is that the Bill of Lading is lodged as Collateral security for the acceptance and payment of this draft.*

In case the drawees decline to accept, or if the bill be not paid at maturity, then you are hereby authorized at any time, at your discretion, to place the property covered by said Bill of Lading, as above, in the hands of your Brokers, for sale on account of whom it may concern, and apply the proceeds toward the payment of the Bill, and in case of any deficiency hereby agree to pay the amount of such deficiency to the **FIRST NAT'L BANK,** *on demand; and also, that if you should require the transfer of the "Policy of the Marine Insurance" the same shall be given, and in case of refusal to transfer by the parties drawn on, then you are to have the privilege of effecting a special insurance, for cost of which you are to have a lien on the above merchandise.*

It is understood that in the event of the Bill being paid under discount, rebate of interest shall be allowed at the rate of one-half of one per cent per annum above the advertised rate of interest for short deposits allowed by the leading Joint Stock Banks of London.

Yours respectfully,

Peter Wright & Co.

Insured in Chicago.—

Commercial credits are used for the purpose of importing merchandise, and are granted by banks and bankers to importers of approved standing, and enable the sellers to place themselves in funds immediately upon shipment of the commodities purchased. They are as a rule available by draft of the shipper upon some banking center—London, Paris, Amsterdam, Hamburg or Antwerp—at sight, thirty or sixty days, three months, or four months; and for coffee and tea purchases where the goods are shipped by sailing vessel, at six months sight. Such drafts must as a rule, be accompanied by Bills of Lading, Insurance Certificates or Policies of Insurance, Consular Invoices, and any other special documents which may be required. When such documents are found in order and surrendered, the draft is accepted by the bank prescribed in the letter of credit for account of the bank of issue, and can then be negotiated by the shipper at most favorable rates, as such bills also come under the head of Bankers' Bills. One set of the documents evidencing the shipment of the commodities purchased is, as a rule, sent to a custom house broker designated in the Letter of Credit, for account of the issuing bank, while the remaining documents are sent to the bank itself. The custom house broker attends to the clearance of the goods immediately upon the arrival of the vessel, pays the duties when dutiable, and forwards or stores the goods as the bank may direct. Inasmuch as the bank issuing the letter of credit has a lien upon the goods until a settlement is had with the importer, great care must be exercised in the handling of the documents to prevent the bank's

interest in anyway being jeopardized, and consequently each step must be jealously and religiously watched to prevent the title of the property slipping beyond the bank's control. As the importer is virtually using the bank's credit, a commission is charged for this service, gauged by the life of the drafts, and settlement is had sufficient time prior to maturity to enable a remittance to reach the banking point where the acceptance is domiciled.

Travelers' Letters of Credit are used by persons traveling from one place to another, and similar to Commercial Letters of Credit are available by draft on a banking center, generally London, in which case they are issued in Pounds Sterling. On a fly sheet or on a separate letter of introduction called the *Letter of Indication*, is printed a list of the correspondents of the issuing bank, and at any one of the cities or towns designated, the holder can negotiate his drafts until the sum for which the Letter of Credit is issued is exhausted. With the last draft the Letter of Credit is taken up, canceled and returned. The holder immediately upon receiving the Letter of Credit is required to sign his name in a special place provided on the face of the Letter of Credit or upon the Letter of Indication, and this signature serves as a guide to the bankers in the various parts of the world in determining the rightful ownership of the letter. As a travelers' Letter of Credit is supposed to be used for personal expenses, comparatively small sums only are drawn at a time, and as drafts are negotiated, the amounts are endorsed on the Letter of Credit itself by the bank or banker, thus enabling each successive correspondent to perceive at a glance to what extent the credit had been used. As a matter of convenience and safety this method of carrying money surpasses all others. Another form of travelers' credit is the *Circular Note*, which is an English institution, and has found but few imitators elsewhere. A Letter of Introduction with signature of the holder, and a list of correspondents is furnished to the traveler, together with a certain number of drafts or notes issued for stated amounts, generally in multiples of Ten Pounds Sterling, engraved in a more or less intricate design to prevent counterfeiting, and are made out payable to the order of the holder of the letter of indication.

Shipments of gold coin and gold bullion generally take place to settle balances of trade between two foreign countries, and is evidence of a balance against the country from which they are made. Thus the parity of exchange between the United States and Great Britain is 48665, *i. e.*, $4.86 and $\frac{65}{100}$ cents for the pound sterling, and when the price of Sterling falls below this point, it is said the exchanges are in favor of the United States, and when it rises above, it is against us. Favorable exchange means that we are exporting more of our products than we are importing, and proportionately as exchange falls our balance is increased until it reaches a point where the rate is so far below the parity as to enable the debtor nation to include the cost of shipping gold bullion or gold coin. The cost of such shipments being about ⅜ of one per cent., the price of Sterling Exchange would have to fall to about 484¾ before gold could be imported into this country without loss, and *vice versa* Sterling Exchange would have to rise to about 488½ before it could be exported. The chief depository of the gold of the world is the so-called Old Lady of Threadneedle Street, the Bank of England, and a withdrawal of the yellow metal for export, even in its incipiency is viewed with more or less alarm. Immediately measures are adopted to make withdrawals more difficult, gentle ones at first, and if these do not prove effective then more stringent ones; thus during the era of an adverse balance in 1896, the price of American gold coin was successively advanced from 76 shillings 3d per ounce to 76 shillings 8d per ounce, and these measures not retarding the outflow, the minimum rate of discount was raised from 2 per cent., at which figure it remained stationary for over three years, to 2½ and to 3 per cent.

The stock of gold in the vaults of the Bank of England consists in bar gold, sovereigns and foreign coins. These latter are not melted down as is commonly supposed, but are kept separately in bags of 500 ounces each. Each denomination of coin has its price, expressed in shillings and pence according to its fineness. Should an export demand for gold to the United States arise, eagles and double eagles are bought in preference to other coin or bullion, as they would be immediately available as money upon arrival in this country, whereas other coins or bar gold would first have to pass through the Government assay office, entailing a serious delay in times of stringency, and considerable expense. The eagle and double eagle weigh, in theory, respectively 258 and 516 grains at nine-tenths fine, but as all coins suffer more or less by abrasion, and are not even true weight when leaving the mint, it is impossible to make up parcels of 500 ounces by tale of the coins; they are, therefore, weighed in bulk, and in order to make up the exact weight in each bag, clippings of the coin are added until the desired result is reached.

In conclusion, a few words in explanation of quotations in the daily papers would not be inopportune. Such quotations generally read as follows:

		60 days.	Sterling demand.	Cable.
Posted rates		481½	484½	
Actual	Bankers	481	484	484½
	Commercial	480¼	483¼	

		60 days	demand
Actual	Bankers ....francs	519⅜	517½
	Commercial.... "	520	518⅛
Actual	Bankers.... marks	94⅛	94¾
	Commercial.... "	93⅞	94½

Sterling posted rates are arbitrary rates, fixed by certain prominent foreign bankers for the settlement of contracts or obligations, payable in Pounds Sterling in this country, such as acceptances on account of importers under commercial credits, sterling drafts and other settlements. The term "actual rates" speaks for itself, and are the rates at which actual trades have been made. The difference between bankers' bills and commercial bills has already been explained. *Sterling rates* are quoted for so many dollars and cents for one pound sterling, and is lower for time bills than for demand bills, as the interest is included in the price.

Francs are quoted at so many francs and centimes for one dollar.

Marks are quoted at so many cents for four marks.

THE CLEARING HOUSE.

It has been seen that in the ordinary business of a day a bank cashes many checks and drafts on other banks in the same city. They, in return, get many of its checks. In a large city there may be fifty such banks, each of which has in this manner cashed checks on the other forty-nine. To get the cash on these checks would necessitate a messenger of the bank making a trip to each of these banks. This would not only be an enormous expense, for we must remember that each of the banks would be doing the same thing, but the continual flow of money in the hands of messengers through the streets would be a dangerous practice. To avoid all this and simplify these settlings the clearing house was organized.

So convenient and satisfactory has it been found to be that they are now found in all large cities. It is an association formed by the different banks interested. A manager is elected, and a room that is suitable is provided. Here, at a given hour (in Chicago 11 A. M.), each bank that is a member sends two clerks: one is called a settling clerk and the other a specie clerk. The specie clerk brings the drafts and checks on other banks, properly assorted and arranged, and the settling clerk brings a ticket showing the amount of those that are against each bank. This ticket is handed to the manager. As a ticket is deposited with the manager, he places in his proof opposite the name of that bank the total gross amount due from the clearing house to that bank, but it yet remains to be determined the amount of checks and drafts that will be presented by the other banks against this one. To ascertain this the settling clerks take positions behind the counter, each one at his own designated position, and the specie clerks with their packages of vouchers stand on the outside. At a given signal each specie clerk moves forward until he comes opposite to a settling clerk, to whom he hands a package of vouchers drawn on his (the settling clerk's) bank. He also hands him a list of these vouchers and their total. If found correct, the settling clerk will receipt him by signing his name in the column headed "Receipts" in Form No. 2.

Form No. 2.

No 18.

CHICAGO CLEARING HOUSE.

FROM

CHICAGO NATIONAL BANK

CLERK'S STATEMENT 189

	No.	BANKS	DR. AMOUNTS	RECEIPTS
	1	First National Bank,	4 62 5 40	1
	2	National Bank of America,	12 56	2
	3	Merchants National Bank,	11 600	3
	4	Nor. Western Nat. "	1 450	4
	5	Commercial Nat. "	394 79	5
	6	Union National "	1 450	6
	7	Mer. Loan & Trust Co.,	15 612 15	7
	8	Corn Exchange Bank,	98 63	8
	10	Metropolitan Nat. Bank,	2 946 50	10
	11	Hibernian Banking Ass'n,	747 54	11
	12	National Bank of Illinois,	14 564	12
	13	Bank of Montreal,	8 000	13
	14	Hide & Leather Nat. Bank,	44 16	14
	15	Union Trust Co.,	27 41	15
	16	American Exch'g Nat. B'k,	1 122	16
	17	Home National Bank,	5 000	17
	18	Chicago National Bank,		18
	19	Continental National Bank,	13 624 50	19
	20	Atlas National Bank,	1 125	20
	21	Fort Dearborn Nat. Bank,	456 80	21
	22	Globe National Bank,	58 49	22
	23	Nat. Bank of the Republic,		23
	24	Bankers Nat. Bank,		24
	25	Bank of Commerce,		25
	26			26
	27			27
			82 995 23	

This occupies but a moment, and at another signal each specie clerk moves forward before the next settling clerk, where the same operation is repeated. When the specie clerk has in this manner made the rounds he has a receipt from all the banks on whom he brought vouchers, and each settling clerk has received and receipted for all vouchers drawn on his bank. As each specie clerk passed before a settling clerk he would enter in the "Bank's Cr." column, in Form No. 3, and opposite the name of the bank represented by that specie clerk, the amount of vouchers on his bank handed him by that clerk. When through, each column will be footed and the difference will show whether his bank owes the clearing house or it owes him, and how much. The "Bank's Dr." column was filled out before he left the bank, and represents the amount of vouchers against each bank that the specie clerk took to the clearing house. After verifying his work he will make out a balance ticket Form No. 4 and hand to the manager.

The manager will take these balance tickets and enter the amounts in his proof opposite the name of the bank whose number the ticket bears, each bank in the Clearing House being known in all matters by a number. The "Bank Cr." column in his proof was made up before the clearings began from the tickets that were handed

Form No. 3.

CHICAGO CLEARING HOUSE.

SETTLING CLERK'S STATEMENT, 18

Debit Balance	No.	BANKS.	Credit Balance	BANKS DEBIT			BANKS CREDIT		
	1	First National Bank,		4	628	40		218	40
	2	National Bank of America,			12	56	5	623	29
	3	Merchants' National Bank,		11	600			56	
	4	Nor. Western Nat. Bank,		1	480			142	18
	5	Commercial Nat. Bank,			394	79	13	627	83
	6	Union National Bank,		1	452				
	7	Mer. Loan and Trust Co.,		15	612	15	1	121	16
	8	Corn Exchange Bank,			98	63			
	10	Metropolitan Nat. Bank,		2	946	50			
	11	Hibernian Banking Ass'n,			747	84	18	625	
	12	National Bank of Illinois,		14	564				
	13	Bank of Montreal,		8	000			500	
	14	Hide & Leather Nat. Bank,			44	16		97	15
	15	Union Trust Co.,			27	41	4	840	
	16	American Exch'g Nat. Bank,		1	122				
	17	Home National Bank,		5	000			113	12
	18	Chicago National Bank,							
	19	Continental Nat. Bank,		13	624	50	10	013	43
	20	Atlas National Bank,		1	125			256	
	21	Fort Dearborn Nat. Bank,			456	80	10	129	61
	22	Globe Nat. Bank,			58	49		801	15
	23								
	24								
	25								
Total Clearings:		*Footings,*		82	995	23	157	164	32
		Balance,		74	169	09			
		Proof,		157	164	32	157	164	32

him by the settling clerks when they entered. The "Bank Dr." column will now be made up from the "balance tickets" just handed him. It is clear that these columns when footed should balance.

The settling clerk now takes his statement back to his bank and it has in Chicago until 12:30 P. M. in which, if the balance is against it, to make it good. This it must do by sending the actual money to the Clearing House. If the balance be a credit one it has until 12:45 P. M. in which to send for it. Money sent to meet a debit balance

is receipted for by the manager as he receives it and money to meet a credit balance is paid to the bank messenger on presentation of the bank cashier's receipt properly signed.

Form No. 1. CREDIT TICKET.

CHICAGO CLEARING HOUSE.

BANK No. 18 Chicago, Aug 20, 1896.

CREDIT

CHICAGO NATIONAL BANK, - - $ 821995 23

Amount of checks to Clearing House this day per Messenger.

James L. Church
TELLER.

Form No. 4. BALANCE TICKET.

BALANCE TICKET.

No. 18. Chicago Clearing House 189

Amount Received, $

Amount Brought, $

Debit, $ *Balance Due Clearing House.*

Credit Balance due
CHICAGO NATIONAL BANK, $

Settling Clerk.

Form No. 5. RECEIPT TICKET.

RECEIPT TICKET.

Bank No. 18

CHICAGO CLEARING HOUSE Aug. 20, 1896.

Received from Chicago National Bank
Seventy Four thousand,
One Hundred Sixty Nine and 99/100 Dollars,
in full for balance due the Associated Banks this day.

$

W. D. O'Street
Manager.

Forms No. 1, 2 and 3 are made up at the bank before leaving for the clearing house. No. 1 is complete and from it the manager makes up the "Banks Cr." column of his proof-sheet. No. 2 is the sheet on which receipts

are taken for the vouchers delivered. The "Bank's Dr." column of No. 3 is completed at the bank. "Bank's Cr." column is filled in by the settling clerk as the vouchers paid by other banks are delivered to him. The difference between the footings of "Bank's Dr." and "Bank's Cr." columns is what his bank owes the clearing house or the clearing house owes the bank. In the case shown in the cut, his bank owes the clearing house $74,169.09. He then makes out a ticket to that effect and hands it to the manager. From these tickets the manager completes his proof.

From this brief description of the workings of a Clearing House its utility and its advantages in the saving of time as well as its security can readily be seen. The amount of vouchers going through the House daily is a good index of the volume of business being transacted. Hence we see weekly reports in the newspapers of the amount of clearings in all the large cities in comparison with the amount for the corresponding week in the previous year.

WORTHLESS CHECKS.

A bank crediting a check drawn on another bank has no means of knowing whether the drawer has funds on deposit sufficient to meet the check. It is sent, however, in the regular course of business to the clearing house, and is received by the settling clerk and receipted for along with others in the same package. He takes it to his bank when it is found that there are not sufficient funds on deposit to meet it. This must be determined and the check returned to the bank from whom received by 2 o'clock, and a settlement is made for it between the banks direct.

BANK MESSENGERS.

To do their collecting of notes and drafts and to present for collection or acceptance all kinds of paper the bank employs one or more messengers. If a party on whom he is to call is out or cannot be seen he leaves a notice, similar to the form given herewith, properly filled out. If it is a paper requiring protest the bank's notary will present the paper again or endeavor to do so, and then if not paid or accepted as the case may be he will protest the paper.

If a draft is used for the purpose of collecting an account instructions should be given not to protest. See page 37.

NOTICE TO CALL.

First National Bank.

M ..Your Name.. CHICAGO, ..Date.. 189...

PLEASE CALL TO-DAY AND PAY ~~ACCEPT~~ A NOTE ~~DRAFT~~ AS STATED BELOW:

VERY RESPECTFULLY,

G. M. WILSON, CASHIER.

DRAFT DRAWN BY ..... $.....

" " ..... $.....

" " ..... $.....

NOTE FAVOR OF ..Name of payee.. $ Amount.

" " ..... $.....

Checks offered in payment of Notes and Drafts MUST BE CERTIFIED.

BANK CLOSES AT 3 P. M. SATURDAYS AT 12 M. SHARP.

PRESENT THIS NOTICE TO THE NOTE TELLER, WINDOW 2.

3M. 12-3-95.

THE HALF-CENT.

It is the rule in business that in every computation where the result is one-half cent or more, a cent is added, but if less than one-half cent it is dropped. This rule applies to each item in a bill, though the result may make a difference of several cents in the footing. Although it must be admitted that many houses, in their desire to show a spirit of fairness to their regular customers, adopt the rule of "Give and take"—that is, they take the half cent one time and give it the next. But the general rule is as stated above.

Another rule in this connection is that the party doing the figuring, or whose duty it is to make the computation, takes the half-cent in his own favor. Thus in figuring discounts, if the discount be $6.37½ he drops the half-cent, or takes it, as the case may be.

BUILDING AND LOAN ASSOCIATIONS.

Somewhat akin to savings banks in their objects are building and loan associations, but they are conducted on quite a different plan. Like savings banks they enable the earners of low wages to put aside their small savings and by combining these with those of others, get that higher rate of interest which only an aggregation of capital can command. As the title would suggest, one of their objects is to enable their members to build homes. For this purpose, some of the members must be investors, that is lenders, and others borrowers. They exist by virtue of special state statutes, and the rules governing their organization and management differ, but they have a general similarity.

They are corporations and are managed by their officers. The par value of a share of stock is usually $100.00. This is paid for in monthly installments of usually fifty cents per share. These monthly payments constitute

the paid up capital of the concern and the money it has to loan. If one thousand shares of stock be sold, its monthly income from that source would be $500.00. This money it loans to members only. Investing members, that is, those who do not wish to borrow from the association, keep on paying until what they have paid and their share of the profits amount to $100.00 per share, when the stock is said to have matured, and they are paid the par value of the stock in cash, and the stock is cancelled. The time necessary for the stock to mature depends of course on the amount of the monthly payment, and the profits earned by the association. It usually takes an association requiring a fifty-cent monthly payment about ten years to mature its stock. In ten years a member would have paid in $60.00, and the balance of $40.00 would be his profit. The money paid in has been in use an average of five years. It can thus be seen that the profits are large. It has the further advantage of enabling a person who can save only fifty cents per month to make immediate use of it, and to the best advantage. The profits are made by loaning to its members. A member, we will say, owns a lot clear of incumbrance, and desires to build a home upon it costing about $1000.00. He will join an association, taking out ten or more shares of stock, the par value of which will be at least $1000.00. He applies for and gets a loan from the association for $1000.00. For this he gives as security his stock as a pledge, and a mortgage or trust deed on the lot. The money will be paid out as the house is built and not before. For the loan he will be charged from 6 to 8% per annum, interest payable monthly, and a premium of say, 25%. This premium may be deducted in advance, and only $750.00 paid him, or as is often the case, the entire $1000.00 will be loaned him, and he must return $\frac{1}{100}$ of the premium each month for one hundred months. One who has borrowed under these conditions would pay to the association, monthly as follows:

Dues on ten shares @ 50 cents	$5.00
Interest on loan of $1000.00 @ 6%	5.00
Premium $\frac{1}{100}$ of total	2.50
TOTAL	$12.50

At the end of about ten years his stock should be matured, and that will just cancel his loan and his mortgage will be released. Should it take ten years to mature his stock he has paid in $1,500 but he has had the $1000.00 and the use of it, and has had the privilege of paying off his loan in monthly installments.

In some associations the rate of premium charged is not fixed, but the members bid for it, and the one paying the highest rate secures it.

Provision is often made that a member may withdraw by giving, say, thirty days' notice, and paying all his obligations to the association. In that case he gets what installments he has paid, and usually 6% interest thereon for the time it was in the association.

Loans are also made by some associations on the stock as a pledge. A member having stock on which he has paid for several years may pledge it to the association, which will loan him a certain per cent. of its withdrawal value.

Usually every three months what is called a new series of stock is started. This is to make the association a perpetual institution, and to place those joining it at the same time on an equal footing.

CURRENCY CERTIFICATES.

Conservative bankers keep a certain amount of cash always on hand to meet any unusual demand that may be made upon them. To obviate the necessity of counting this money again and again, and to settle balances against them in the clearing house, any legal tender currency may be deposited by a bank in the U. S. treasury or any sub-treasury in sums of $10,000.00, or any multiple thereof, and there will be issued to it currency certificates for a like sum. They are issued only in amounts of $10,000.00, and are negotiable among banks by endorsement. The certificate contains the name of the bank to whom issued, and is signed by the treasurer and register of the treasury, and if issued from a sub-treasury is countersigned by the assistant treasurer. The bills are engraved as are other currency bills and contains blanks for the name of the bank to be written in. If desired, the bank depositing the legal tender currency may have the identical currency deposited, laid aside, to be paid it or its endorsee on presentation of the certificate.

These certificates are only used by the large banks in the larger cities.

CLEARING HOUSE CERTIFICATES.

In times of business depression it is often the case that depositors become suspicious of the financial reliability of their bank. Thus in 1893, though in most cases without foundation, the confidence of the people in the banks was shaken, and many depositors rushed to their banks to withdraw their deposits, thus making what is called "a run on the bank" Few, if any banks keep on hand an amount of cash sufficient to pay all of their depositors in full, for a portion of these deposits must be loaned to meet the expense of caring for the depositors' accounts. When the bank is unable to pay its checks on demand it must close its doors. The failure of one bank causes loss of confidence in banks in general. In such times the clearing house may pass a resolution permitting any member to bring in its securities and collaterals on which it has loaned, and in their stead the clearing house

will issue to it clearing house certificates. These certificates cannot of course be used in paying checks over the counter, but they can be used in payment of the daily clearing house balances. Not a few of a bank's checks come through the clearing house, and the certificates enable the bank to make use of its entire capital to meet current demands.

LETTER OF CREDIT.

A person going abroad will not desire to carry on his person in coin the amount he will need to meet the expenses of his trip. He does not know just where and when he will need a certain amount. Evidently some instrument calling for money at all of the places he will visit, and requiring his endorsement to negotiate it would be desirable. To meet this demand large city banks issue letters of credit, payable in all the large cities of Europe. On the back of the letter is a list of the banks where money can be drawn upon it. The tourist pays his money to his banker here and takes his letter. Arriving in London he is in need of 50£. He enters the bank of the London correspondent named on the back of the letter, and draws his draft on the bank issuing the letter, and in

LETTER OF CREDIT.

First National Bank of Chicago

No. 1739. Chicago, May 16. 1894

Gentlemen.

This letter will be presented to you by Martin Beem, in whose favor we beg to open a credit with you collectively for the sum of Five Hundred **Pounds Sterling,** to which extent be pleased to furnish payments in sums as required, inscribing the amount so paid on the back of this letter. In reimbursement you will take his draft on the City Bank of London, inserting therein the date and number of this credit, which we engage shall meet with due honor.

Your charges are to be paid by the bearer hereof.

Requesting for him your best attention, we have the honor to be

Gentlemen,

£ 500. Your obedient servant,

L. J. Gage,
Cashier.

This Credit is in force until January 1st, 1895.

Signature of Mr. Martin Beem.

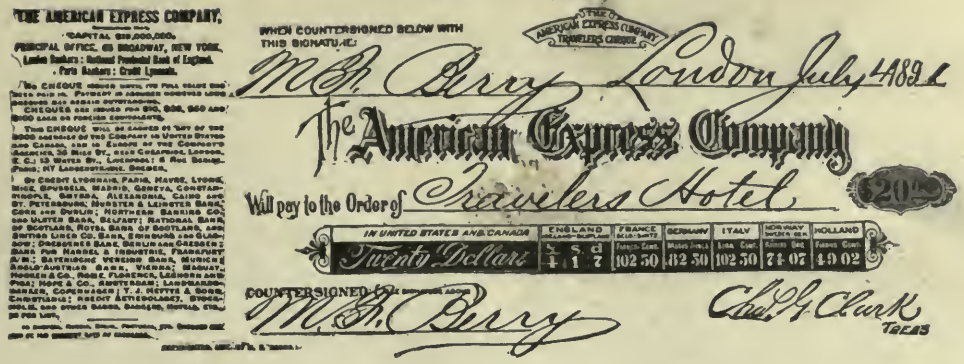
This letter must be returned with the last draft.

favor of the London bank. On this draft the London bank gives him the money and endorses on the back of the letter the amount paid on it. The letter thus shows at all times the amount due on it.

TRAVELERS' CHEQUES.

The American Express Company issue travelers' cheques which are designed to be used by travelers the same as money. They are issued in denominations of $10, $20, $50, $100 and $200, with the exact equivalent of money in the principal countries of Europe printed on the cheque. These cheques can be used as money and are accepted by steamship companies, hotels, etc. without discount. A cheque not used will be redeemed by the company. The rates charged, if for use in foreign countries, is one-half of one per cent. They also issue a "Travelers' cheque credit;" by this means any quantity of money up to the amount of the cheque can be obtained in the principal cities of Europe.

TRAVELER'S CHEQUE.



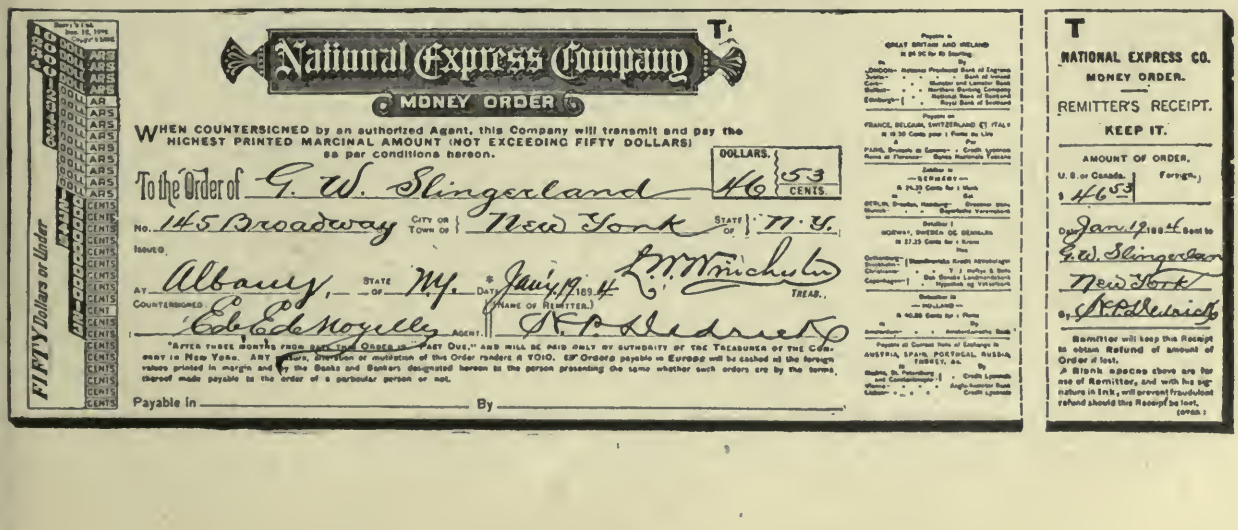
EXPRESS MONEY ORDERS.

All the express companies issue money orders payable in the United States and a few of them issue orders that are payable at certain places in foreign countries. The method of purchasing these orders is very simple. Give the agent your name and the name and address of the party to whom you wish the order payable and upon receipt of the value of the order and the charges he will issue to you the order and a receipt for it. This receipt you should preserve, for in case the order itself is lost you can secure the return of its value on presentation of the receipt and the execution of an indemnity bond. No order is issued for more than fifty dollars. If it is desired to send more than fifty dollars, more than one order must be purchased. The ease, simplicity and safety with which the express companies handle this business has compelled the Post Office department to abandon its old system of orders and adopt one similar to that of the express companies. The charges for express orders are as follows:

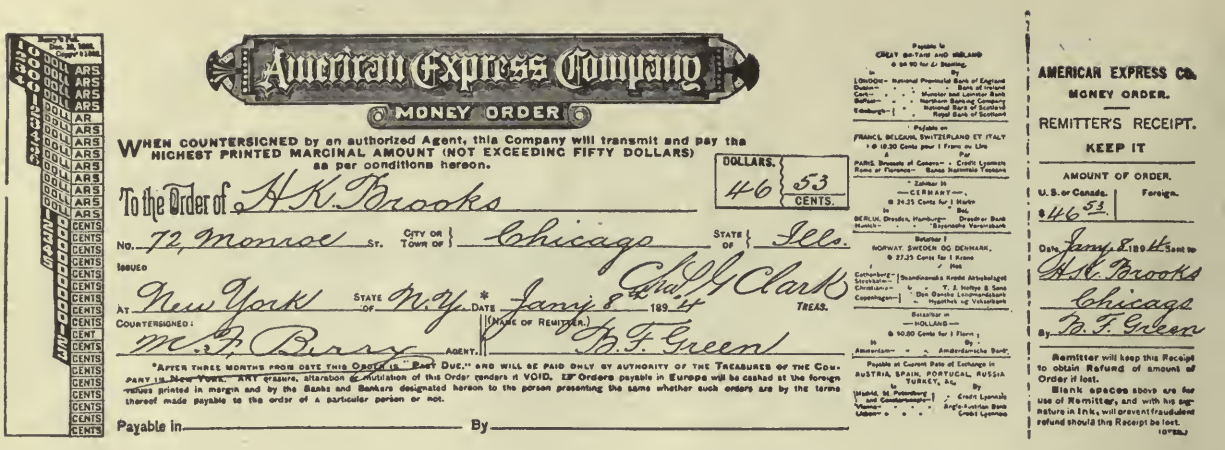
Not over $ 5.00	5 cts.
Not over 10.00	8 "
Not over 20.00	10 "
Not over 30.00	12 "
Not over 40.00	15 "
Not over 50.00	18 "
Not over 60.00	20 "
Not over 75.00	25 "
Not over 100.00	30 "

The orders issued by the different companies vary somewhat in form but they are substantially the same. They can of course be deposited in the bank the same as other vouchers. They can when received be re-sent and banks everywhere accept them from depositors without discount. The payee should endorse an express order before depositing it. The United States and American Express Companies sell order books containing 5, 10, 20 or 50 orders, so arranged that the purchaser may himself issue an order for an amount from $1.00 to $50.00. On the left end of the order will be noticed the means used to prevent the raising of the order. The order is so torn as to show the amount. This system is now used by the U. S. on their postal orders. These orders are often made use of by people having no bank account. Money can thus be sent from one side of town to the other when a check would be used if the sender had a bank account.

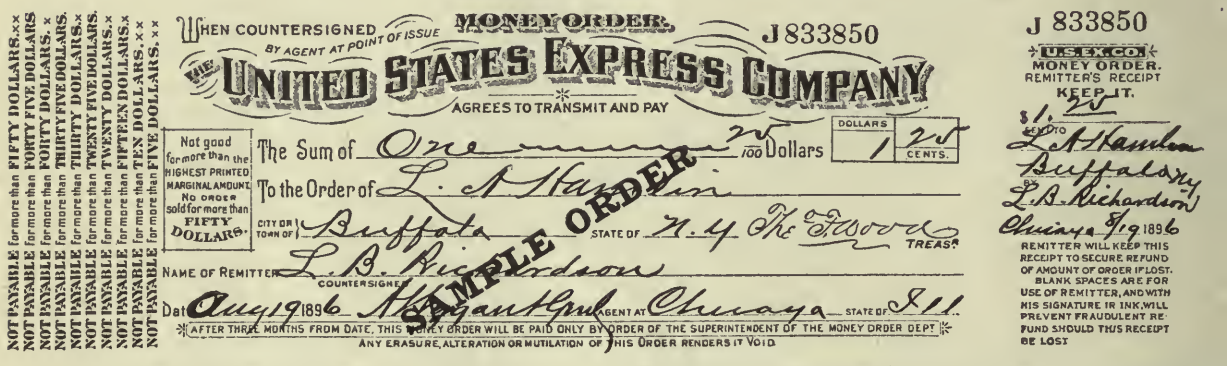
NATIONAL EXPRESS CO.'S MONEY ORDER.



AMERICAN EXPRESS CO.'S MONEY ORDER.


American Express Company
MONEY ORDER
WHEN COUNTERSIGNED by an authorized Agent, this Company will transmit and pay the HIGHEST PRINTED MARGINAL AMOUNT (NOT EXCEEDING FIFTY DOLLARS) as per conditions hereon.
DOLLARS. 46 53 CENTS.
To the Order of A. K. Brooks
No. 72 Monroe St. City or Town of Chicago State of Ills.
Issued
At New York State of N.Y. * Date Jany 8 1894
Countersigned: M. F. Berry Agent.
Chas. G. Clark Treas.
(Name of Remitter) B. F. Green
"After three months from date this Order is "Past Due," and will be paid only by authority of the Treasurer of the Company in New York. Any erasure, alteration or mutilation of this Order renders it VOID. Orders payable in Europe will be cashed at the foreign values printed in margin and by the Banks and Bankers designated hereon to the person presenting the same whether such orders are by the terms thereof made payable to the order of a particular person or not.
Payable in By
AMERICAN EXPRESS CO. MONEY ORDER. REMITTER'S RECEIPT. KEEP IT
AMOUNT OF ORDER. U.S. or Canada. $46 53 Foreign.
Date Jany 8 1894 Sent to A. K. Brooks Chicago By B. F. Green
Remitter will keep this Receipt to obtain Refund of amount of Order if lost.
Blank spaces above are for use of Remitter, and with his signature in ink, will prevent fraudulent refund should the Receipt be lost.

* UNITED STATES EXPRESS CO.'S MONEY ORDER.


When Countersigned By Agent at Point of Issue MONEY ORDER. J 833850
The United States Express Company
Agrees to Transmit and Pay
Not good for more than the HIGHEST PRINTED MARGINAL AMOUNT. No order sold for more than FIFTY DOLLARS.
The Sum of One 25/100 Dollars
DOLLARS 1 CENTS 25
To the Order of L. A. Hamlin
City or Town of Buffalo State of N.Y. The Wood Treas.
Name of Remitter L. B. Richardson
Countersigned
Date Aug 19 1896 Agent at Chicago State of Ill.
SAMPLE ORDER
After three months from date, this money order will be paid only by order of the Superintendent of the Money Order Dept.
Any erasure, alteration or mutilation of this Order renders it void.
NOT PAYABLE for more than FIFTY DOLLARS. NOT PAYABLE for more than FORTY FIVE DOLLARS. NOT PAYABLE for more than FORTY DOLLARS. NOT PAYABLE for more than THIRTY FIVE DOLLARS. NOT PAYABLE for more than THIRTY DOLLARS. NOT PAYABLE for more than TWENTY FIVE DOLLARS. NOT PAYABLE for more than TWENTY DOLLARS. NOT PAYABLE for more than FIFTEEN DOLLARS. NOT PAYABLE for more than TEN DOLLARS. NOT PAYABLE for more than FIVE DOLLARS.
J 833850
U.S. EX. CO.
MONEY ORDER. REMITTER'S RECEIPT. KEEP IT.
$1. 25
Date Aug 19 1896 Sent to L. A. Hamlin Buffalo N.Y. By L. B. Richardson Chicago Aug 19 1896
REMITTER WILL KEEP THIS RECEIPT TO SECURE REFUND OF AMOUNT OF ORDER IF LOST. BLANK SPACES ARE FOR USE OF REMITTER, AND WITH HIS SIGNATURE IN INK, WILL PREVENT FRAUDULENT REFUND SHOULD THIS RECEIPT BE LOST

* This order when issued would be so torn off on the left hand side from the stub as to show only "not payable for more than five dollars."

ABOUT REGISTERED LETTERS.

To register a letter or package it should be plainly addressed and also have on it the name and address of the sender so that if it cannot be delivered it may be returned in thirty days. Present the letter or package properly addressed to any Post Office for all Post Offices are registered offices and request it to be registered. The fee is eight cents in addition to lawful postage and must invariably be prepaid. The postmaster receiving a registered package issues a receipt for it and each clerk who handles it in course of transmission receipts for it to the one from whom he receives it. In this manner it can be traced in case of loss. The government takes every precaution possible to guard the safety of registered matter, but it does not absolutely insure it and in case the package is lost through fire, theft or otherwise it will not reimburse the loser. When the package is delivered the receiver signs two receipts, one on a card which is returned to the sender and the other on a slip of paper which is retained by the department. Both receipts must be signed in ink and not in pencil. In case the letter or package is receipted for by some one other than the addressee he must first sign the name of the addressee and then his own name.

POSTAL MONEY ORDERS.

A postal money order is a draft drawn by one postmaster on another at a distant place. The orders are numbered and a private letter of advice, giving full particulars as to number, amount, name of remitter and of payee, is mailed by the postmaster who issues, to the postmaster on whom the order is drawn. The order will not be paid until the letter of advice is received. When the order is presented it must correspond with the letter of advice. To obtain a postal order the sender must fill out an application on a blank furnished him by the office. The payee must be identified before the amount of the order will be paid to him. Postal orders are issued for cash only. Not even certified checks are accepted. To deposit a postal order in a bank, sign the receipt on the face and do not endorse it to the bank, for to obtain the money thereon, they would be obliged to sign the receipt. In case they received, as they do, a large number of them daily, it would entail a vast amount of labor on them.

At the top of page 35 are shown the face and back of the application which must be filled out by one desiring to purchase a money order for remittance to any part of the United States.

FACE OF APPLICATION

Stamp of Issuing Office

Dollars Cents

$

(Form No. 6001)

No.

The Postmaster will insert here ..... the office drawn on, when the office named by the remitter in the body of this application is not a Money Order Office.

Spaces above this line are for the Postmaster's record, to be filled in by him.

Application for Domestic Money Order

Spaces below to be filled in by purchaser, or, if necessary, by another person for him

Amount

..... Dollars ..... Cents

Pay to Order of } .....
(Name of person or firm for whom order is intended)

Whose Address is } No. ..... Street

Post Office } .....

State .....

Sent by .....
(Name of Sender)

Address of sender } No. ..... Street

PURCHASER MUST SEND ORDER (ON BLUE PAPER) TO PAYEE

BACK OF APPLICATION

Fees for Money Orders drawn on Domestic Form

Payable in the United States (which includes Hawaii and Porto Rico) and its possessions comprising the Canal Zone (Isthmus of Panama), Guam, the Philippines and Tutuila, Samoa; also for Orders payable in Bermuda, British Guiana, British Honduras, Canada, Cuba, Newfoundland, the United States Postal Agency at Shanghai (China), the Bahama Islands, and certain other Islands in the West Indies mentioned in Resigter of Money Order Post Offices.

For Orders From	$ 0.01 to $ 2.50	..... 3 cents.
From	$ 2.51 to $ 5.00	..... 5 cents.
From	$ 5.01 to $ 10.00	..... 8 cents.
From	$10.01 to $ 20.00	.....10 cents.
From	$20.01 to $ 30.00	.....12 cents.
From	$30.01 to $ 40.00	.....15 cents.
From	$40.01 to $ 50.00	.....18 cents.
From	$50.01 to $ 60.00	.....20 cents.
From	$60.01 to $ 75.00	.....25 cents.
From	$75.01 to $100.00	.....30 cents.

Memoranda of Issuing Postmaster:

.....

.....

.....

NOTE.—The maximum amount for which a single Money Order may be issued is $100. When a larger sum is to be sent additional Orders must be obtained. Any number of Orders may be drawn on any Money Order Office; but if Orders are drawn in excess of $200 on any one day upon an office of the 4th class, notice of the fact by letter (or Form 6037) is to be promptly sent the Department by the issuing Postmaster so that provision may be made for payment.

Applications must be preserved at the office of issue for four years from date of issue.

(EDITION Jan., 1909.)

Not all post-offices are "Money Order offices;" only offices doing a considerable business would be likely to have funds on hand sufficient to meet these orders on demand. But one endorsement of an order is permitted by law. An order being lost or destroyed, a duplicate may be obtained by either the sender or payee. Orders must be presented within one year from the date of issue. After that time a duplicate must be obtained. To avoid carrying money travelers often purchase postal orders on other cities and have them drawn payable to themselves. The department also issues international orders, that is, orders on the post-offices in foreign countries. The rates are as follows:

$10.00 or less	10 cts.
Over $10.00 and not exceeding $20.00	20 "
" 20.00 " " 30.00	30 "
" 30.00 " " 40.00	40 "

And so on to $100.

Orders are not drawn on Great Britain for more than $50.00.

EXPRESS COMPANIES.

There are four large express companies who do the bulk of the express business of this country. There are also five smaller companies that do a considerable business. An express company makes a contract with a railroad company for the express privileges of the road for a certain time, and for this pays a certain sum. Owing to the rapidity with which goods are transported in this manner, and to the responsibility of the companies and their promptness in delivery, it has grown to be a popular means of transportation, and higher rates are willingly paid than for the slower means of freight. In the larger towns express matter is delivered at the consignee's place of business. This of itself is an advantage over shipments by freight, for the railroads deliver at their warehouses.

In addition to transporting merchandise and valuables the express companies issue money orders, collect drafts, act as agent for the purchase of goods, distribute advertising matter, carry deeds and mortgages, delivering the same on receipt of a certain amount; in fact, they make themselves almost indispensable to the business community.

COST OF SHIPPING MERCHANDISE BY EXPRESS.

It is often desirable to know in advance the cost of shipping a certain article by express. If it is an article of merchandise it is easily ascertained. As has been said, each express company publishes a rate book. This book gives a list of all the towns on its lines, together with the rate per hundred on merchandise to that point. Less than one hundred pounds will be proportionately more but if it be less than one hundred pounds the rate is graded according to a scale which is also given in each rate book. This scale is as follows :

GRADUATED TABLE OF RATES.

WHEN RATE IS ☞	.40	.50	.60	.75	1.00	1.25	1.50	1.75	2.00	2.50	3.00	3.50	4.00	4.50
Packages not over...	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25	1 lb. 25
Over 1 lb. " ...	2 25	2 25	2 25	2 25	2 25	2 25	2 25	2 25	2 25	2 30	2 30	2 30	2 30	2 30
2 " ...	3 25	3 25	3 25	3 25	3 30	3 30	3 30	3 35	3 40	3 45	3 45	3 45	3 45	3 45
3 " ...	4 25	4 25	4 25	4 30	4 30	4 30	4 35	4 40	4 45	4 50	4 55	4 60	4 60	4 60
4 " ...	5 25	5 25	5 25	5 30	5 35	5 40	5 40	5 45	5 50	5 55	5 65	5 65	5 65	5 70
5 " ...	7 25	7 30	7 30	7 35	7 35	7 40	7 45	7 50	7 55	7 65	7 70	7 75	7 75	7 85
7 " ...	10 25	10 30	10 30	10 35	10 40	10 45	10 50	10 55	10 60	10 75	10 75	10 90	10 90	10 100
10 " ...	15 25	15 30	15 30	15 35	15 40	15 50	15 60	15 70	15 80	15 85	15 100	15 100	15	110
15 " ...	20 25	20 30	20 30	20 35	20 45	20 55	20 65	20 70	20 80	20 90	20 100	20 115	20 115	20 125
20 " ...	25 25	25 35	25 35	25 40	25 50	25 60	25 70	25 75	25 90	25 100	25 110	25 125	25 130	25 150
25 " ...	30 25	30 35	30 35	30 45	30 55	30 65	30 75	30 85	30 100	30 110	30 125	30 145	30 150	30 160
30 " ...	35 30	35 40	35 40	35 45	35 65	35 70	35 80	35 90	35 100	35 120	35 135	35 150	35 160	35 180
35 " ...	40 30	40 40	40 40	40 50	40 60	40 75	40 85	40 100	40 100	40 120	40 145	40 165	40 175	40 200
40 " ...	45 30	45 40	45 40	45 50	45 65	45 85	45 90	45 100	45 100	45 125	45 150	45 175	45 200	45 225
45 " ...	50 30	50 45	50 45	50 55	50 70	50 90	50 100	50 100	50 100	50 125	50 150	50 175	50 200	50 225
50 " ...	55 35	55 45	55 50	55 60	55 75	55 100	55 110	55 110						
55 " ...	60 35	60 50	60 55	60 65	60 80	60 110	60 115	60 120						
60 " ...	65 35	65 50	65 60	65 70	65 85	65 115	65 125	65 130						
65 " ...	70 35	70 50	70 60	70 75	70 90	70 125	70 135	70 140						
70 " ...	75 40	75 50	75 60	75 75	75 100	75 125	75 150	75 150						
75 " ...	80 40	80 50	80 60	80 75	80 100	80 125	80 150	80 160						
80 " ...	85 40	85 50	85 60	85 75	85 100	85 125	85 150	85 170						
85 " ...	100 40	100 50	100 60	100 75	100 100	100 125	100 150	100 175						

When the rate per 100 lbs. is $2.00 or more, charge pound rates for 50 lbs. or over. But the charge on a package less than 50 lbs. in weight must not be greater than the charge for 50 lbs.

If less than $2.00 per 100 lbs., charge graduated rates.

If the rate per hundred be $2.50 look in the column in the scale headed $2.50, then down in that column to the weight of the package opposite this will be found the rate.

The rate per hundred for merchandise is from Chicago to

Atlanta, Ga	$3.75	Indianapolis, Ind	$1.25
Atchison, Kan	2.00	Jacksonville, Fla	5.00
Augusta, Ga	4.75	Kansas City, Mo	2.00
Augusta, Me	3.00	Lincoln, Neb	2.75
Albany, N. Y	2.25	Milwaukee, Wis	0.60
Austin, Tex	5.50	New Orleans, La	4.25
Bowling Green, Ky	2 50	Newark, N. J	2.50
Baltimore, Md	2.25	Omaha, Neb	2 00
Boston, Mass	2.50	Portland, Me	3.00
Cairo, Ill	2 00	Peoria, Ill	1.00
Columbus, O	1 50	Philadelphia, Pa	2.25
Cincinnati, O	1.50	Pittsburg, Pa	1 75
Cleveland, O	1.50	Providence, R. I	2.50
Denver, Col	6.00	Springfield, Mass	2 50
Des Moines, Ia	1.75	St. Paul, Minn	2.00
Davenport, Ia	1.25	Springfield, Ill	1.00
Detroit, Mich,	1.25	Sioux City, Ia	2.00
Dallas, Tex	4.25	Scranton, Pa	2.50
Evansville, Ind	1.75	Salem, Mass	2.25
Ft. Scott, Kan	2 75	Topeka, Kan	2.75
Galveston, Tex	5.50	Toledo, O	1.25
Grand Forks, N. D	4 25	Wilmington, Del	2.25
Hartford, Conn	3.00	Wheeling, W. Va	1.75
Hutchinson, Kan	3.75	Washington, D. C	2.25

The above are the rates on merchandise, if the goods are bulky, difficult to handle, or the risk be great, a rate and one-half or double rate may be charged.

HOW TO SHIP BY EXPRESS.

Often one of the duties of an office apprentice is to attend to the shipping by express. It is therefore something that should be thoroughly understood by all. The smaller towns having only one railroad will probably have but one express company, the one having the franchise on that railroad. In the larger cities all the companies will be represented. When shipping from a town having but one company you must of course ship by that company, no matter if the destination be on another company's line. In this case the first company will at some junction point turn the package over to the second company, who will deliver it. In the larger cities where the companies are all represented no company will accept the shipment except it be also represented at the des-

tination. You must then be able to determine what company or companies are represented at the destination points. If two or more are represented shipment can be made by any of them; if but one, then by that one. Shippers' guides are published and will be found in the offices doing much shipping. These give among other things the name of the company represented in every town in the country. Each express company also publishes and distributes to its patrons free of charge a "Rate Book" giving alphabetically by states the name of every town in which it is represented. Look through the rate book of each company until one be found containing the name of the point of destination. If you are not a regular shipper and do not have a receipt book the agent will write you a receipt on request, and in case of loss or damage to the goods it would be well to have it.

COPY OF C. O. D. ENVELOPE.

American Express Co.

$ *Amt of Bill* For Collection.
$ _____ Ch's for Return of Money.
$ _____ Total Am't to be Returned.

From *Your Name*
Address

CHICAGO, ILLS., *Date* 18__

On *J. D. Miller & Co.*
Iowa City,
Ia.

C. O. D.

Billed to _____

Collect and Return to _____

INSTRUCTIONS TO AGENTS.

BILL INCLOSED IS TO BE COLLECTED ON DELIVERY OF GOODS.

☞ Return proceeds with this Envelope, stitched with twine and well sealed with wax, by first express after payment.

Do not deliver the goods accompanying this bill until you receive the pay therefor, or are ordered IN WRITING to the contrary by the shipper and such order endorsed by the office making the shipment.

Be careful to notice what money you receive and as far as practicable, send forward the same that is collected. Examine the invoice enclosed, AND FOLLOW THE SPECIAL INSTRUCTIONS OF THE SHIPPERS, if any are given on the bills.

If goods are refused, or the parties cannot be found, notify the office from whence received, within one week, with names and dates, and await further instructions.

Perishable property, such as Oysters, Fish, Fresh Meats, Fruits, Live Poultry, &c., if refused by consignees, sell immediately to best advantage for account of owner.

NOTICE TO SHIPPERS.

If the money to be collected from the consignee on delivery of the property described herein is not paid within thirty days from the date hereof, the shipper agrees that this Company may return said property to him at the expiration of that time, subject to the conditions of its receipt for the shipment, that he will pay the charges for transportation both ways, and that the liability of this Company for such property, while in their possession, for the purpose of making such collections, shall be that of warehousemen only.

REMARKS.

Collect Return Charges.

Having ascertained the company by which you can make the shipment, fill out in their receipt book a blank receipt for the package, leaving the column for the signature blank. The company furnishes these receipt books to its patrons free of charge. It also furnishes a "Call Card" which should now be hung out in a previously agreed upon place, where it can easily be seen from the street by the collector, who will call on his rounds for the package. The package should be ready for instant delivery and the receipt book ready for his signature. If the express is to be prepaid the package should be so marked; also so signified in the receipt book. In this event the collector will take up the receipt book, and on the following day, when the charges have been determined, a collector will return the receipt book and collect the charges.

C. O. D. BY EXPRESS.

A package to be sent C. O. D. by express must be plainly marked on the wrapper C. O. D. $.....and the receipt book should also be marked. Two bills or invoices of the goods should be made out. Mark one Duplicate and send it by letter to the consignee. Enclose the other in a C. O. D. envelope, which will be furnished you by the company, and which should be delivered with blanks properly filled out to the collector along with the package. The envelope is self-explaining as to what blanks should be filled out. If you desire the consignee to also pay the cost of returning the money to you, write "Collect" in remark space at bottom of envelope, otherwise you must pay it when delivered to you. This is a very reliable and convenient method of transporting goods, for the goods will not be delivered until paid for, and if not taken at all they will be returned to you.

The object of sending goods C. O. D., is that the consignor may be sure of getting his money before he is obliged to deliver the goods. The express companies are in this case both carriers and collectors. Privilege of examining the goods before paying for them may be given the consignee, but this privilege will not be given by the company, until requested to do by the consignor. The shipper must sign the request and it must be endorsed by the agent at the point of shipment. The request also releases the company from all losses incidental to such examination.

SENDING MONEY BY EXPRESS.

Money to be sent by express should be enclosed in an envelope furnished by the company. The consignee must place the money in the envelope himself for the agent is not permitted to address the envelope, nor handle or count the money. The company seem content to take his word for the contents. The agent will seal the package with waxen seals so that it cannot be tampered with without breaking a seal. Each clerk through whose hands it goes receipts for it so that in case of loss it can easily be traced. The charges for sending money in this manner depends on the amount and on the distance it is to be sent. The larger the amount the greater their risk, and the longer the distance the greater the labor and cost of transporting.

ENVELOPE FOR MONEY.

MONEY ORDERS

are sold at all Agencies of this Company in the United States and Canada, for any amount, and without the formal application incident to the use of other forms of Money Orders.

Cashed at over 20,000 places **throughout the world.**

Accepted on deposit by Banks and Bankers and received by Merchants, Hotels, Railroad Companies and all classes of the Business public.

An absolute and positive security against loss in the remittance of money through the mails, as a receipt is given Remitter which will insure a refund.

American Express Company.

100 Jan. 1894. From CHICAGO, State of ILL.

$ 360 00

For F. F. Judd
Peoria
Ill

Contents NOT COUNTED by Agent and ENVELOPE SEALED IN MY PRESENCE.

C. R. Brown
Shipper.

TO SHIPPER: Agents of the AM. EX. CO. ARE FORBIDDEN TO COUNT THE CONTENTS OF OR TO ADDRESS THIS ENVELOPE.

SHIPPER must ENTER HEREON the EXACT AMOUNT ENCLOSED, FULLY ADDRESS the envelope. SIGN HIS NAME in space provided for that purpose, AND GUM DOWN THE FLAP.

SHIPPER MUST SEAL THE ENVELOPE with his PRIVATE SEAL or the COMPANY'S OFFICE SEAL.

Coin must not be enclosed in this envelope in excess of $5 IN SILVER or $25 IN GOLD, which amounts must first be placed in a smaller envelope and securely sealed before enclosing in this. LARGER AMOUNTS MUST BE BAGGED.

In general the cost of transporting $1,000.00 in currency is about one half of the cost of transporting one hundred pounds of merchandise over the same route. The rate for $1,000.00 face value of silver is the same as the rate on one hundred pounds of merchandise to the same point, but never less than $1.00 per $1,000.00. Bankers who ship large amounts of currency and coin get a special rate.

SHIPPING BY FREIGHT.

One of the purposes for which railroads exist is the transportation of freight. The railroad company's bill for this service is known as an "Expense bill."

It is immaterial to the railroad whether the charges on freight are paid at one end of the line or the other, except when the value of the goods shipped is less than the amount of the freight charges, in which case the charges must be paid or guaranteed by the shipper, or some other responsible person, before the goods start. The expense bill is receipted by the agent and delivered to the consignor or consignee, whoever

EXPENSE BILL

Standard Lbr Co
Chicago
Ills.

To CHICAGO, MILWAUKEE & ST. PAUL RAILWAY CO., Dr.

Chgo 7/23 1894 Frg. No. 53838

Initial P. Co. Car 1935 Date 7/21 W. B. 6340 From Minneapolis Minn

FOR TRANSPORTATION AND CHARGES ON	WRIGHT	RATE.	FRT. CHARGES.	ADVANCES.	PREPAID
Lumber		10			
OR	36800		3680		

Transferred from Car No. Consignor Brown Lbr Co

Received Payment, M. C. Seegert Agent. Cartage, Total Charges, 3680

pays the charges, as a simple receipt for the money, just as any merchant would receipt an invoice or statement and deliver it to the purchaser on payment of the cash.

The railroad freight department does a cash business. No goods will be delivered except for cash or upon a responsible guarantee that the cash will be paid at once. This guarantee is often made by draymen and expressmen who make a business of delivering freight, collecting at the place of business of the consignee instead of at the freight office.

Prepaid Freight. Advanced Charges.

If the shipper wishes to pay the freight charges, he may pay the amount to the freight agent at point of starting. The shipment will then be marked "Prepaid" or "Charges paid" and no collection made at the destination point. Some firms which sell goods F. O. B. purchaser's location, however, prefer to have the purchaser pay the freight and deduct the amount from his invoice.

When one railroad company turns a shipment over to another company after having carried the goods a part of the way, the first company has a claim for freight charges for the work it has done. These charges are "advanced" by the railroad receiving the goods and the consignee must pay them. "Freight and advanced charges collect" is an instruction to the agent at destination to collect from the consignee the freight charges on his road plus any "advanced charges."

Bill of Lading.

A bill of lading (abbreviated B/L) is a contract between the transportation company and the shipper regarding the transportation of a certain shipment of goods. It is in effect a receipt given by the railroad

FORM OF ORIGINAL STRAIGHT BILL OF LADING

C. R. I. & P. Railroad Company

STRAIGHT BILL OF LADING—ORIGINAL—NOT NEGOTIABLE.

Shipper's No. 1

Agent's No.

RECEIVED, subject to the classifications and tariffs in effect on the date of issue of this Original Bill of Lading, at Chicago, Ill. March 17, 19— FROM H. T. Raynor

the property described below, in apparent good order, except as noted (contents and condition of contents of packages unknown), marked, consigned and destined as indicated below, which said company agrees to carry to its usual place of delivery at said destination, if on its road, otherwise to deliver to another carrier on the route to said destination. It is mutually agreed, as to each carrier of all or any of said property, over all or any portion of said route to destination, and as to each party at any time interested in all or any of said property, that every service to be performed hereunder, shall be subject to all the conditions, whether printed or written, herein contained (INCLUDING CONDITIONS ON BACK HEREOF) and which are agreed to by the shipper and accepted for himself and his assigns.

The rate of freight from ..... to ..... is in Cents per 100 lbs.

If ... Times 1st	If 1st Class	If 2d Class	If Rule 25	If 3d Class	If Rule 26	If Rule 28	If 4th Class	If 5th Class	If 6th Class	If Special per ...	If Special per ...

(Mail Address—Not for purposes of Delivery.)

Consigned to C. I. Brown

Destination, Peoria State of Ill. County of .....

Route, ... Car Initial ..... Car No. .....

No. PACKAGES	DESCRIPTION OF ARTICLES AND SPECIAL MARKS	WEIGHT (Subject to Correction)	CLASS OR RATE	CHECK COLUMN	If charges are to be prepaid, write or stamp here "To be Prepaid."
1	Chiffonier crated				
1	Dressing Table "				Received $ ..... to apply in prepayment of the charges on the property described hereon.
1	Dresser "				
					Agent or Cashier.
					Per ..... (The signature here acknowledges only the amount prepaid.)
					Charges Advanced: $ .....

H. T. Raynor Shipper. ..... Agent

Per [Student sign here.] Per .....

(This Bill of Lading is to be signed by the shipper and agent of the carrier issuing same.)

UNIFORM BILL OF LADING—Standard form of Straight Bill of Lading approved by the Interstate Commerce Commission by Order No. 787 of June 27, 1908.

company and a contract making stipulation as to the freight charges and defining and limiting the carrier's liability. Bills of lading are made out in triplicate and signed by both shipper and railroad company.

Large shippers usually have on hand their own supply of bills of lading, and for their own convenience fill them out in advance, all but weights, rates, and the railroad company's signature; this avoids delay at the freight depot, as all the receiving clerk has to do is to sign and number the three forms, hand back two copies, and retain one. Smaller shippers, however, use bills of lading supplied by the railroad company. Shippers need not fill out the bills of lading themselves, unless they so desire.

As a matter of actual practice, weights and rates are usually not filled in by the freight clerk at the time the freight is delivered to the depot by the shipper, but are ascertained later. Consequently the two copies which the shipper receives do not show weights and rates. What a thing weighs is a matter of fact,

and the rate is a matter of law, so the omission of these two items from the forms returned to the shipper is not material. Weight is subject to correction and the consignee may refuse to accept a shipment until incorrect weights have been corrected or allowed for. Rates are prescribed by the Interstate Commerce Commission and are published by the railroads in formal tariff schedules, called Freight Classifications; so that if a rate has been incorrectly entered on a bill of lading this is also subject to correction by either the railroad company or the consignee.

If the consignor wishes to prepay the freight, however, or if for any other reason it is necessary or desirable that he know the weight and rate in advance, the receiving freight clerk will fill in the weight and have the rate filled in by the proper official at the time of signing the bill of lading for the company.

A "Straight" bill of lading, a form of which is shown herewith, is always used when the goods shipped are to go straight to the consignee. "Straight" bills of lading are made out for delivery to the consignee and are non-negotiable.

The three bills which constitute the set are headed respectively "Original," "Shipping Order," and "Memorandum." The "Original" and "Memorandum" go to the consignor. The "Shipping Order" is retained by the railroad company. It is required by law that they be printed upon white paper, 8½ inches wide. Reproductions of the three headings are shown below.

HEADINGS FOR THE THREE FORMS (STRAIGHT B–L)

A

Uniform Bill of Lading—Standard form of Straight Bill of Lading approved by the Interstate Commerce Commission by Order No. 787 of June 27, 1908.

Railroad Company.

STRAIGHT BILL OF LADING—ORIGINAL—NOT NEGOTIABLE.

Shippers No.....

Agents No.....

RECEIVED, subject to the classifications and tariffs in effect on the date of issue of this Original Bill of Lading. Etc.

B

For use in connection with the Standard form of Straight Bill of Lading approved by the Interstate Commerce Commission by Order No 787 of June 27, 1908.

Railroad Company.

THIS SHIPPING ORDER must be legibly filled in, in ink, in indelible Pencil, or in Carbon, and retained by the Agent.

Shippers No.....

Agents No.....

RECEIVE, subject to the classifications and tariffs in effect on the date of issue of this Shipping Order. Etc.

C

For use in connection with the Standard form of Straight Bill of Lading approved by the Interstate Commerce Commission by Order No. 787 of June 27, 1908.

Railroad Company.

THIS MEMORANDUM is an acknowledgment that a bill of lading has been issued and is not the Original Bill of Lading, nor a copy or duplicate, covering the property named herein, and is intended solely for filing or record.

Shippers No.....

Agents No.....

RECEIVED, subject to the classifications and tariffs in effect on the date of the receipt by the carrier of the property described in the Original Bill of Lading.

Etc.

When the shipper receives the "Original" and "Memorandum" bills of lading signed by the railroad company, he usually retains the "Original," and mails the "Memorandum" to the consignee as evidence that the goods have been shipped. Should the consignee be unknown to the freight agent at the receiving point, the agent would refuse to deliver the property except upon presentation of the "Original" bill of lading. If for this reason or some other, the consignee should ask the consignor to send him a bill of lading, the consignor would have to mail him the "Original," retaining the "Memorandum."

Order Bill of Lading

An "Order" bill of lading is used when the shipment is consigned *to the order of* some party who is to transfer it by endorsement to the party for whom the goods are intended. It is usually made out to the order of the *shipper himself*, who wishes to make collection from the consignee before he will endorse the bill of lading ("Original") over to him. This collection is usually made through a bank, by means of a draft against the consignee. An "Order" bill of lading may, however, be made out to the order of some one acting as an agent for the shipper, or to some one who wishes to sell to a third party without unloading the freight from the cars. Sometimes a jobber sends to a wholesale house an order which is to be shipped direct to a

customer from whom the jobber wishes to collect before delivery. In this case the wholesale house would ship direct to the town of the jobber's customer, but would consign the goods to the order of the jobber, who would then draw upon his customer, and when the money was forthcoming would endorse the bill of lading over to him.

The three bills which constitute a set of "Order" bills of lading are headed respectively "Original," "Shipping Order," and "Memorandum," the same as the "Straight" bills of lading. They differ from the "Straight" bills of lading in the following particulars:

Color.—The "Original" must be yellow. The other two must be blue.

"*Consigned to Order of*" must appear in place of the words "consigned to."

Extra Spaces must be allowed for the name and address of the person for whom the goods are intended, the space for the name being preceded by the word "Notify." It becomes the railroad's business to notify this person of the arrival of the goods, so that he may take steps to pay the shipper for them (usually through the bank, as previously stated) and get the bill of lading.

An Extra Paragraph must be inserted in addition to all that appears on the "Straight" form, which reads: "The surrender of the original *ORDER* bill of lading properly endorsed shall be required before the delivery of the property. Inspection of property covered by the bill of lading will not be permitted unless provided by law or unless permission is endorsed on the original bill of lading or given in writing by the shipper."

NOTICE OF FREIGHT RECEIVED.

When the shipment arrives at its destination the agent at destination either mails to the consignee a "notice of freight received" printed on the back of a postal card, as shown, or delivers at his office a printed

Great Western Transportation Co.

(Your town) Station Date 189

Your Name. Chicago.

The following property consigned to you from ..... has arrived at this depot and is now ready for delivery.

CAR	ARTICLES	CHARGES
	60 bbls. 8 bxs. 16 bags. } Groceries	(Amt.)

Which is now at your risk. Please call, pay charges and remove property within 24 hours or same will be subject to storage or delivery to warehouseman.

L. Mitchell Agent.

TO AGENT G. W. T. CO.

Deliver the above freight to .....

..... who is hereby authorized to receipt for same.

..... Consignee.

N. B.—Unless you call for the freight yourself, please fill out and sign the foregoing order.

form similar in content. The consignee, immediately upon receipt of a notice of freight received, will give the notice to his drayman with instructions to call for the package.

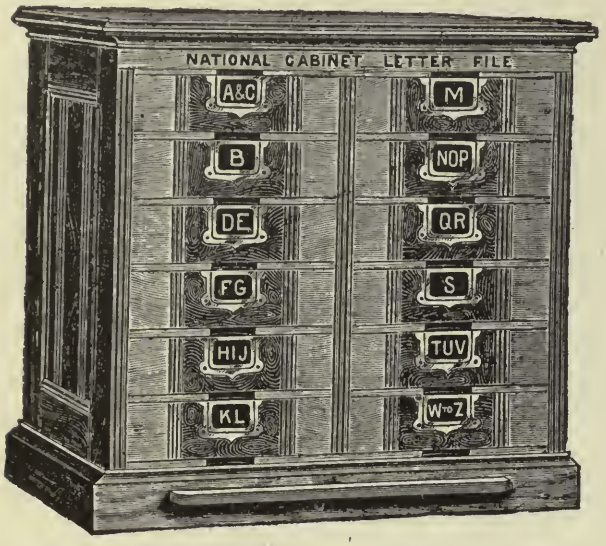
FAST FREIGHT LINES.

Under the old plan of shipping if the route lay over several lines of road when the freight came to the end of one line it was transferred to another car on the next line. To expedite shipments separate corporations were organized for the purpose of furnishing cars and doing business on several lines of road. By this means quicker time could be made than by the railroads direct. Desiring to ship by fast freight, ascertain the line doing business over the route in contemplation and mark the package via that line. These fast freight lines operate their own cars, and make favorable arrangements with the railroads over which they run for hauling them. They are understood to be prosperous institutions. It is said that many of the railroads are interested in them, and for this reason they secure favorable terms. Nothing is saved in the cost of shipping this way, but it is usually more expeditious. Orders received to be sent by "fast freight" are understood to be by one of these lines. They load cars for large towns which go through unbroken on fast trains.

CORRESPONDENCE.

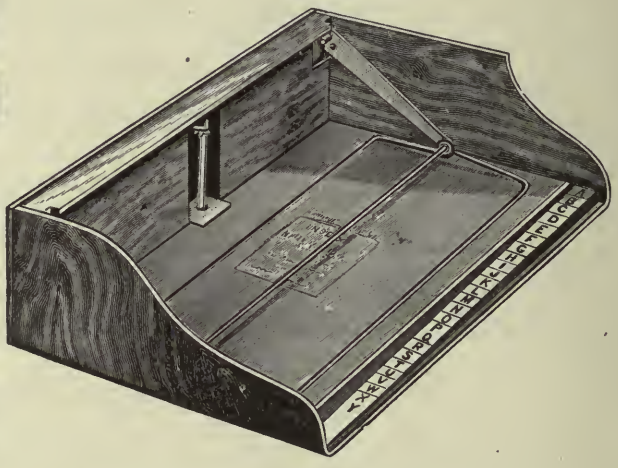
Nothing is of more importance to the average business house than the manner in which its correspondence is carried on. Especially is this true of the wholesale house where a large amount of its business must be done in this manner.

CABINET LETTER FILE.



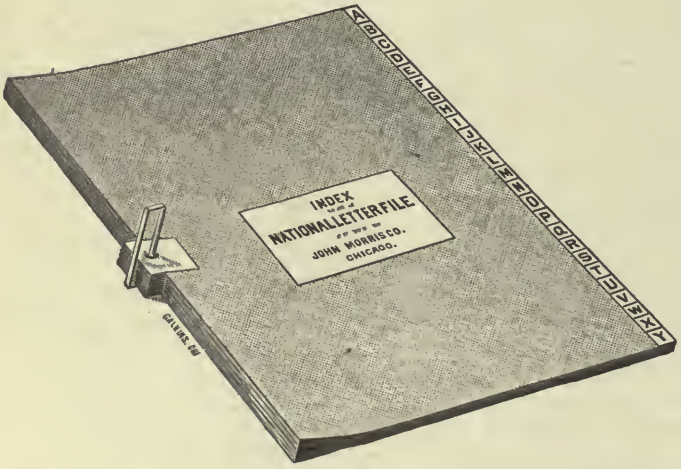
Business men have found that it is necessary to preserve and file for future reference not only every letter received but a copy of every letter sent. In this way they have a complete duplicate of both sides to a correspondence. In case any dispute should afterwards arise as to what was written in this connection, they are not in doubt for a moment. We will first consider the letters and orders written by us: In case a typewriter is in use it should contain a "copying ribbon." If the letter be written with a pen then it should be done with copying ink. When written it is then ready for copying in the "letter book." This is usually a book of blank tissue paper leaves.

DRAWER.



Its leaves should be paged and it should contain either in the front or back a good vowel index. To copy a letter moisten the first vacant leaf in the letter book, first placing an oiled sheet under it to prevent the moisture from going through to the leaf below, and on this moistened leaf lay the letter face down. It is well to lay an oiled sheet or common blotter on top of this. Close the book and put it in the press, leaving it there but a few moments will be sufficient if it be screwed down tight. To moisten the leaves as described above there are many devices, among them a camels-hair brush and moistened cloths. Care must be taken to get the proper amount of water on the leaves. If too much water be used the ink will run and the letters will be blurred and indistinct. If an insufficient amount be used the copy will be dim and in some places wanting. A little care will soon determine the moisture proper for the ink and paper you use. Several letters may be copied at the same time and in the same manner. When a letter is copied, or at the earliest convenient time, it should be indexed.

A FILER.



In many houses the invoices are written in copying ink and copied in this manner, in a large book with ruled columns. This serves as a sales book and has the advantage of being an exact reproduction of the invoices. Footings are carried along and postings made from this the same as from an ordinary sales book.

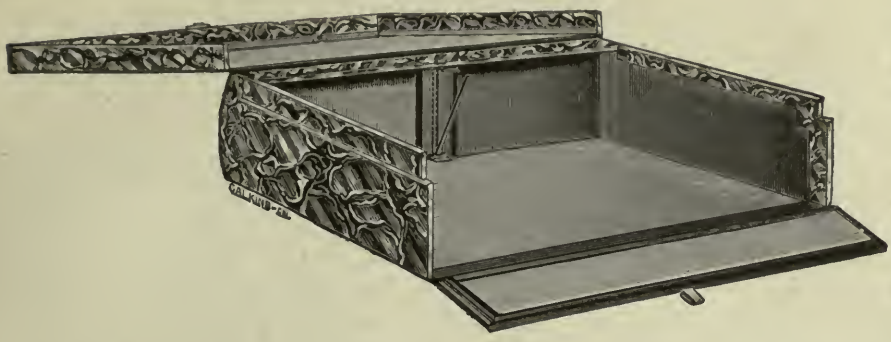
Sometimes it is desirable to make a number of duplicate copies of the same letter or document. If the ink used be good it can be done in the manner just described or it may be done by the carbon process.

FILING CORRESPONDENCE.

The correspondence received by a house after being answered is filed according to some system by which it may be easily located in case it is needed for reference. There are many systems in vogue but undoubtedly the cabinet system is the most convenient and

satisfactory. It consists of a cabinet of as many drawers as the size of the correspondence demands. In each drawer is a "filer" with leaves indexed by letters on the front edge. A letter is filed by placing it unfolded between the proper leaves. This is usually determined by the initial letter of the writer's name. Thus a letter written by Thomas Arnold would be filed under the A leaf and so on; but if the cabinet be a large one it will be still further subdivided, and a glance at the index may show that it should be filed under the Arn leaf. When the filer completely fills the drawer of the cabinet it is detached therefrom by means of a simple device at the back, and it is then lifted out and into a transferred volume and a new filer is put into its place in the cabinet. These transfer cases are numbered consecutively. On the bottom of the drawer of the cabinet is pasted a blank record to be filled out showing to what numbered "transfer cases" each of its filers has been transferred. This is to assist in finding a letter received a considerable time since. This record also shows the day when the first letters were placed in each filer and the date of its transfer. By this means one can lay his hands in an instant upon letters received years before.

Transfer Case.



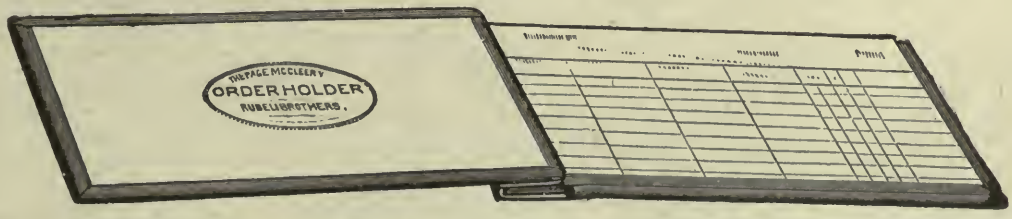
Not only are letters filed in this manner but frequently a drawer is set aside and labeled for "Paid Bills," "Receipts," etc.

FILING ORDERS.

Nothing is more important in the matter of records than that every order received should be filed for future reference. An order is the customer's proposition; the filling of it, your acceptance of that proposition. There are many plans and devices in use for this purpose. Many use the ordinary cabinet letter file system, one or more drawers being set aside for this purpose.

When the orders are taken verbally by salesmen, either in the store or at the customer's place of business, they can be taken on uniform blanks prepared for that purpose. One of the most satisfactory systems of this kind is the Page-McCleary system. It is generally used in the wholesale grocery, hardware and drug businesses, and also in the printing and book binding trades. The order is copied on to a blank form as shown in the illustration. After being Ok'd by the credit man it is put with others in a patent holder, and in this shape goes through all necessary hands until it is returned to the office from the shipping department. From it the bill clerk makes his bill and extends the amounts in the blank. The blank with all information it furnishes is taken from the holder and placed in its proper position in a patent binder, which serves as a salesbook, and from it the item is posted direct to the customer's account in the ledger. But one order is entered on a sheet.

Order Holder.



The order, as received from the salesman on the sheet (which he carries with him), is registered by name and number only in a register. The purpose of the register is to keep track, where necessary, of the time taken to ship goods and to guard against loss of order or neglect to bill same.

The order sheet is then placed in the holder which makes a temporary book to be used while the order is being selected, shipped and billed. The holder protects the sheet from being torn, soiled or lost. After the goods are selected by the stock clerk and checked in the column provided on the order sheet, weights entered and necessary notations made by selector and shipping clerk, the holder and order sheet are returned to the office, and the bill is made; the extensions are also made on the order sheet and footed, and the bill verified. The bill clerk then marks the date billed in proper space on sheet. The order sheet is now taken from the *temporary holder* and put in the *permanent* binder. In this permanent binder, (which is equivalent to a day book) the finished business of each day follows in consecutive order. The binder is paged, and the charges are made directly from this binder into the ledger, or in exceptional cases are journalized and then posted.

SHIPPING BLANK.

COUNTRY DEPARTMENT.

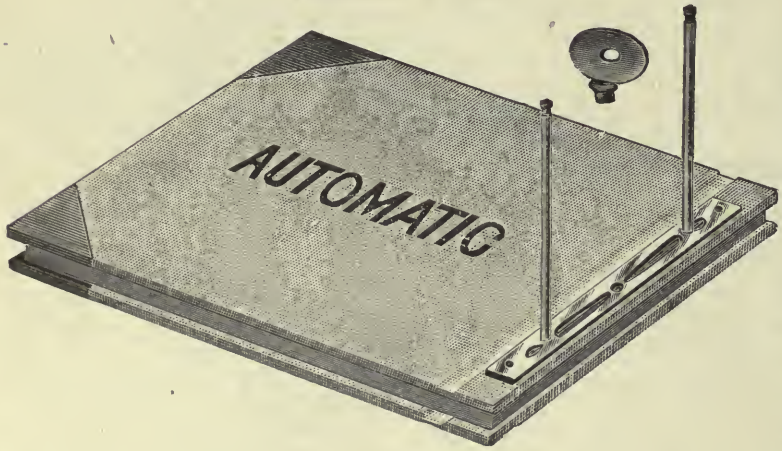
WM. D. BROWN & CO.
WHOLESALE GROCERS.

ORDER NO. 167 — TERMS Reg. C.
DATE SOLD 8/1/9—
SALESMAN Hunter
PAGE 647
DATE BILLED 8/1
LEDGER FOLIO 842.
SOLD TO Hamer Bros.
TOWN AND STATE Waterloo Iowa.
SHIP BY C. & N. W. Ry

	SHIPPER'S CHECK	QUANTITY	REGISTER NO.	WEIGHT	PRICE	SALESMEN MUST NOT USE THESE COLUMNS					
	✓	5	bbls Gran Sugar 312 316 334 338	1595	4⅞	77	75				
	✓	3	" C. " 336 329 319	984	4⅝	40	59				
	✓	5	cases B & M Corn	10	90	9					
	✓	10	" Roy. Str. Beans	20	70	14					
	✓	1	ch B. T. Jap. Tea #48	69	25	17	25				
	✓	1	case Perf. B. Powder #1	20%	4.60	3	68				
	✓	1	sk J & M. Coffee	108	29	31	32				
	✓	1	bbl Honey Dew Syrup	62	25	15	50				
	✓	5	" Pills Burys Best Flour 48s	5	4.10	20	50				
	✓	1	butt Star Tobacco	24	39	9	36				
			AMOUNT FORWARD			238	95				

Thus we have taken the original entry of the salesman, added to it the necessary credit notations, the check marks of the selector and shipper, the extensions of the bill clerk and marked the date of bill. We have then entered it in a day book mechanically by making it a leaf of the binder.

PERMANENT BINDER.



This describes the course of handling an ordinary order. Where orders are shipped incomplete, or where there are alterations or substitutions, or where the order is taken for future shipment, or to be manufactured, there are various modifications of this system; also in very large houses where the business is separated into departments, where each salesman's business is kept separate, where profits are figured from day to day, where the business is divided alphabetically, or into territories, there are still other modifications and changes necessary; and also in houses of the largest calibre there are certain conditions and modifications to the system to enable all work to be completed, posted, profits figured, etc., before the order is placed in the binder.

COMMERCIAL AGENCIES.

Manufacturers, wholesalers and jobbers have frequent occasion to know the worth and credit standing of their customers, for much of the business in these lines is done on credit. Other things being equal the house that makes no bad debts is the more successful. To place in their hands as full and complete information as possible touching the responsibility, credit and prospects of success of their customers is the business of Commercial Agencies. These agencies are vast concerns extending over the entire country and having agents or reporters in every city and in almost every village. Traveling reporters are also employed who are constantly collecting information in reference to the standing of persons asking for credit for merchandise. This information is arranged and classified by states and districts and published in large quarto volumes. A person desiring such information may become a subscriber to the agency upon the payment of a certain fee. He can subscribe for a certain district or districts or for the United States, in which case the charge is greater. When he becomes a subscriber the Agency *loans* him a volume of its reports covering the territory for which he has subscribed. This report does not give opposite a firm's name its reported standing, but instead there will be found one or two letters or figures. The meaning of these letters and figures is determined by reference to a key. There is not only economy in the plan but it serves to keep the information for the exclusive benefit of the subscriber. In addition to a volume of reports a subscriber is entitled to a certain number of special reports on firms about whose standing he wishes to know more that given in the reports. Applications for special reports are made on blanks furnished for that purpose and are signed by the number of the subscriber instead of by his name. The object of this is, if the request should be lost or mislaid and fall into the hands of others, not even the one inquired about could tell who had asked for the report.

The reports of the Commercial Agencies are in general so reliable and fair that a subscription to one is considered by wholesalers and manufacturers as a necessary item of expense for the year. The reliable debtor is anxious to secure a "good rating" with the agency, and in most cases does not consider it impertinent when asked by an agency reporter to make a detailed statement of his business affairs. Some agencies also do a general collecting business. This they can do economically through their vast army of agents that are to be found everywhere.

BILLING.

When a bill of goods is sold or when services, especially professional services, have been rendered, it is customary for the creditor to render the debtor an itemized statement or bill of his charges. This is called a bill or invoice. When it is for goods sold either term applies, but if it be for services rendered it is called a bill.

BILL.

Kobe, Japan.
San Francisco, 3 Pine Street

Chicago, July 20th 1896

Messrs. Sprague, Warner & Co
Chicago

John C. Siegfried & Co.
42 River Street.

TERMS { 4 months Note to your own order. or Cash less 3 per cent. Settlements to be made within 10 days.

(S)	#4/5	15 ½chs Gunpowder Tea lbs 3%	1244	20¢	$248	80
		Tare (S) 4/5 = 24 lbs 8/107, 4/108, 1/109, 1/106, 1/101, = 160# Tare 15/24 360 1244 net				
		Held in Warehouse to order.				

Salesman
— Gottlieb —

BILL.

Chicago, July 20th 1896

Messrs. Chase & Sanborn
Chicago

Bought of A. H. BLACKALL & SON,



IMPORTERS & DEALERS.
COFFEES TEAS AND SPICES
STORES
105 MADISON ST. 956 W. MADISON ST.

Terms: _____ Pay your Express Charges and Exchange

	#				NET			$	
C	7	14	84chs	Sundried Japan	80	1120#	12¢	134	40
A B C D	5	23	"	Panfired "	82	1886	13½	254	61
W	4	25	"	Japan Congou	54	1350	20	270	
								$659	01
					3%				

Salesman
Nelson

Houses usually have bills with printed heads. If the bill has many items a longer bill will be used. Bills are cut from foolscap paper, size 14x17 inches, their width being 8½ inches. When they are cut two from a sheet they are called halves, when four from a sheet they are called fourths, and when six from a sheet, sixths. The printed heading will contain the name, address, and usually the business of the creditor, and a blank space for the date, name and address of the debtor, also the terms on which the goods are sold. If the bill be for services rendered at different times the columns at the left of the bill should be used for the dates on which the services mentioned on the same line were rendered. If the bill be for goods sold the small column at the left should be used for the number of articles. The first column to the right is for the amount of each item, and the second column for the total. The bill should state in the body the price of each item per pound, barrel or otherwise. If goods are billed by the pound and there are several packages of various weights, the weight of each package should be shown in

MEMORANDUM OF CREDIT.

CHICAGO, Oct. 8th, 1896

J. W. Butler Paper Co.

WHOLESALERS AND JOBBERS.

218 MONROE STREET.

To Mr. L. Mitchell, Dr.

For overcharge on bill 10/2.	$1.65

detail and also the total. In general the bill should be so clear that even a stranger to the transaction could interpret it. It should also be in such form that the debtor could easily verify it. When the bill is paid it should be receipted by the creditor on the bottom. Thus the bill and its receipt go together and should be carefully filed for future reference. Bills from importing houses are usually more or less complicated and we have shown two of them.

CREDIT MEMORANDA.

It sometimes happens that a seller may have billed goods to a buyer at a higher rate than he should have done; or it may be the goods are damaged or not up to the grade expected; or some of them may have been returned. In such cases the seller will send the buyer a credit memorandum of the amount he acknowledges as due the buyer as an offset or credit. The object is to keep the buyer's account exactly the reverse of the sellers. When the goods were sold the seller charged the buyer the full amount of the bill, to save changing this charge on the ledger, he gives the buyer a credit for the correction. The buyer should therefore credit the seller with the full amount of the bill and debit him for the amount of the correction. Houses doing much billing usually have credit memoranda with printed headings, and these are usually printed on paper of a color other than that of their bills.

STATEMENT.

CHICAGO, Oct 1, 1897

Mr. Geo. H. King
295 N. Clark St.

ESTABLISHED 1869

In Account with

John Moore & Co.

FINE INTERIOR MOULDINGS.

Peoria & Kinzie Sts.,

1897					
Aug	1	To Bal. Yr. rend			73 54
	12	" Mdse	15 25		
	25		26 40		
Sept	13		73 20		
	26		46 54		161 39
					234 93
		Cr			
Aug	31	By Cash	50		
Sept	15		90		
	20		25		165
					69 93

PLEASE EXAMINE THIS STATEMENT AND REPORT ERRORS IF ANY IMMEDIATELY

MONTHLY STATEMENTS.

Promptly on the first of each month the merchant sends to each of his debtors a statement of his account, showing the date and amount of each purchase during the past month. It is a summary of the bills sold and the payments made thereon during the month. Retailers do not always render an itemized bill at time of each pur-

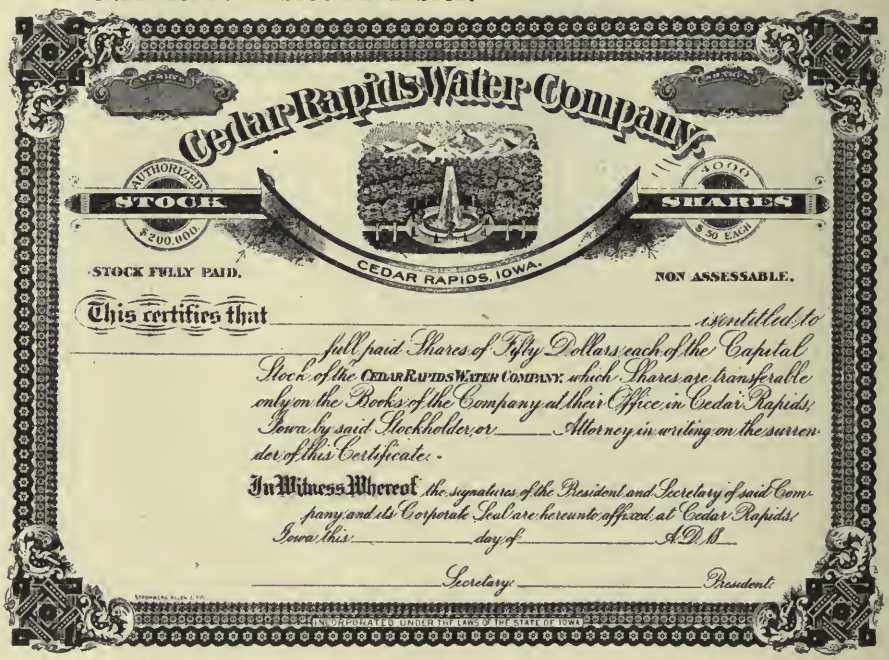
chase ; in that case the statement should contain a detailed list of the articles purchased together with date of purchase of each article and its price. This is called an itemized statement. When a check is sent in settlement of the balance of the statement, the statement should be sent along with it to be receipted and returned. Statements usually start with the balance, if any, due from last month's account. Some firms print on the bottom of their statements a notice that the statement is sent whether the balance is due or not, that the debtor may make comparison with his account and that for so much of the account as may be due they will be pleased to receive remittance. Sometimes also the statement is made that unless a remittance be received for the balance by a certain date they will draw upon him for the balance. Promptness and regularity in issuing monthly statements assists materially in the prompt collection of accounts. It is therefore promptly attended to by the systematic business man.

CORPORATIONS.

Many business enterprises which cannot be successfully conducted by the individual or a partnership, can be by a corporation. A partnership is dissolved by the death of a partner, but a corporation is not dissolved by the death or transfer of the stock of a shareholder. Business enterprises requiring a large amount of capital, and consequently the co-operation of a large number of investors cannot be conducted as a partnership. A partner is personally liable for the debts of a partnership, hence there would be a timidity on the part of capitalists to invest in a large undertaking organized as a partnership. On the other hand a stockholder is not usually liable for the debts of the corporation if his stock be fully paid. In some States he is liable to be assessed an amount equal to the amount of his stock. This is called "double liability."

CERTIFICATE OF STOCK AND STUB.

No. of transfer_____
No. of Certificate_____
No. of Shares_____
To whom issued
_____
_____
Dated_____
From whom transferred
_____
Received Certificate No._____
for_____ Shares
this____ day of_____
_____
_____
_____



ORGANIZATION.

Corporations are organized for almost all purposes for which men engage in business. They may be organized by special act of the legislature, or in the manner described in a general law for that purpose. Many State constitutions prohibit their legislatures from granting charters by special act. While the laws of various states differ, yet the usual method of organizing a corporation is for three or five persons to agree on the organization they wish, its name, amount of capital required, place of business, nature of business, etc. This they set forth in an application to the Secretary of State on a blank furnished by that officer. He then issues to the organizers a commission entitling them to solicit subscriptions for the stock of the proposed corporation. When the stock is fully subscribed for they call a meeting of the stockholders to elect a board of directors, etc.

The organization being completed, the commissioners make report of their doings in a written report duly acknowledged, to the Secretary of State, who then issues a charter which is recorded in the office of the recorder of deeds. The corporation is then authorized to do business.

VOTING.

In voting each stockholder has as many votes as he holds shares of stock. Consequently if one holds a majority of stock he can control an election and he is said to hold a controlling interest. In some states in voting for directors, if there are three directors to be elected, and a stockholder has ten shares, he has thirty votes, and these he can vote for one candidate, or distribute them as he likes. This is called the cumulative system, and is to give the minority a representation.

OFFICERS.

The board of directors are elected by the stockholders, but the directors elect their own officers. The corporation is managed by the board of directors. The by-laws usually describe the duties of each officer.

STOCK.

When a subscriber for stock pays for the same according to agreement, there is issued to him one or more certificates of stock. These certificates are the only evidence the holder has of his interest in the corporation. They may be sold and transferred as personal property. When sold they are endorsed, giving the secretary the power to make a record of the transfer on the books of the company. The old certificate is taken up by the secretary, and pasted on the stub of the stock book from which it was originally torn. A new certificate is then issued to the purchaser of it.

When stock in a company is subscribed for, it may be agreed that the shareholder is not to pay the full value of the stock. The *par* value of stock is the face value of it. The market value is the price at which it will sell on the market usually quoted at a certain per cent. of the par value.

Preferred stock is stock that has a preference over other stock in the matter of dividends. That is, dividends are paid on it up to a certain per cent. whether the ordinary stock is entitled to any or not.

Common stock is stock that is not preferred.

There are many reasons for issuing preferred stock: a company may be on the eve of bankruptcy, and in order to induce outside capital to come to their assistance they increase the capital stock, making the new stock preferred.

TRANSFER.

For Value Received _____ hereby Sell, transfer and assign to _____

_____

the Shares of Stock within mentioned and authorize _____

to make the necessary transfer on the Books of the Company

Witness ___ hand and Seal this _____ day of

_____ 18____

Witnessed by

_____ _____

_____

Watered stock is that of a corporation capitalized for more than its assets are actually worth.

This is a reprehensible practice, and cannot but deceive all subsequent holders of the stock. Sometimes the Company's franchise provides that when their dividends exceed a certain per cent. of the capital stock, then their rates of tariff to the public must be reduced. To avoid this the capital stock is increased or watered, and distributed among the stockholders in proportion to their holdings, and the rate of dividend is thereby reduced.

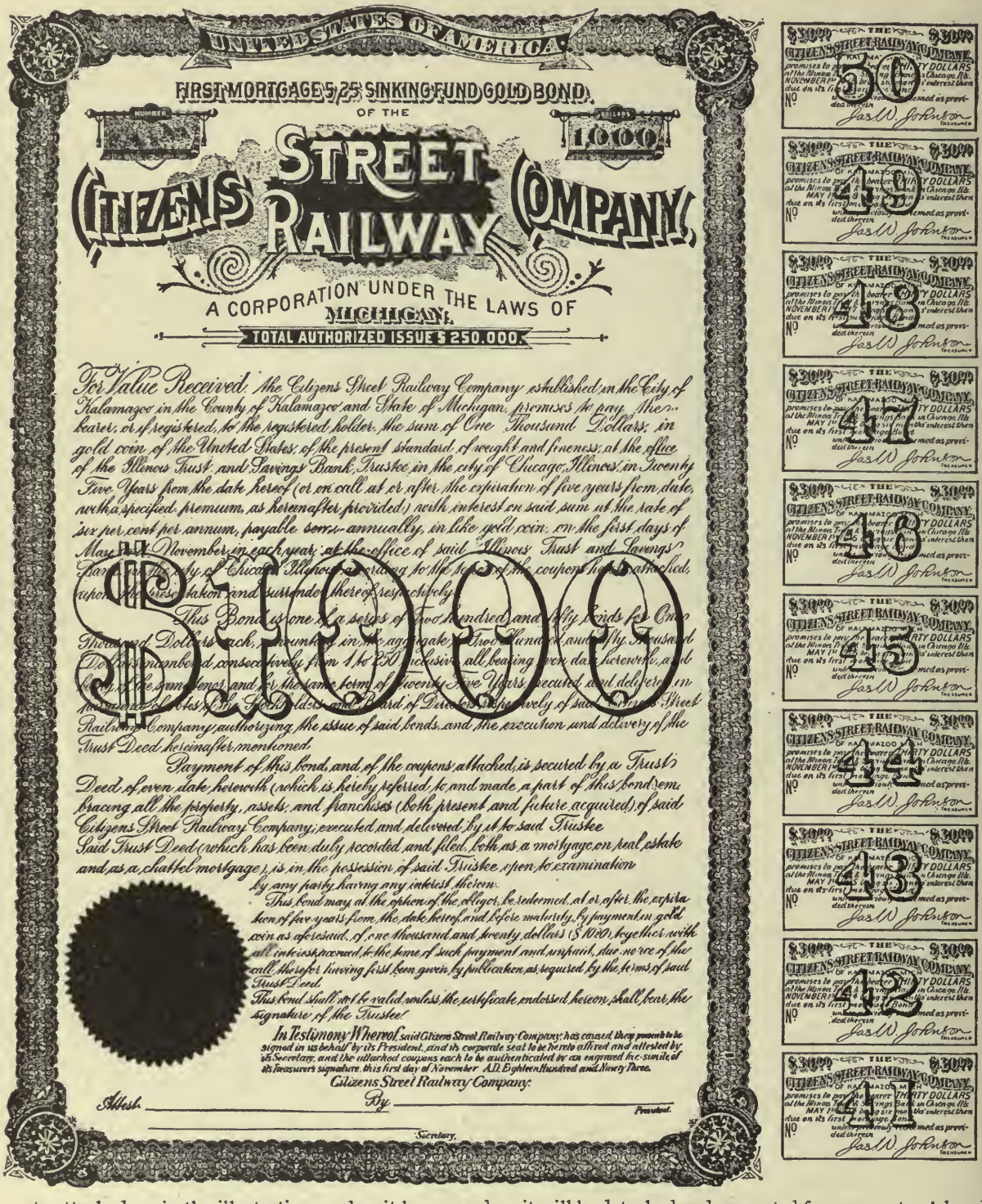
Cumulative stock is that form of preferred stock on which the company has agreed to pay past dues and unpaid preferences, before paying any dividend on the common stock, sometimes preferred stock is written that it will participate in the profits if any with the common stock beyond the point of preference. When this is the case the preferred stock is at all times quoted higher on the market than the common. When the preferred stock gets nothing beyond the preferred point, then it may be at one time quoted higher and at another time lower than the common.

Treasury stock is the Company's own stock held by them and unsold. The laws of some states require stock to be fully taken before a charter will be issued, but the law provides for afterwards increasing the capital stock, and it may be sold as the money may be needed in the business.

BONDS.

Bonds are the written sealed obligations of an individual, corporation or municipality. A corporation like an individual may wish to go in debt on an investment. Say it wishes to borrow $100,000. It will give a trust deed to some one as trustee, on its real estate and other property. This trust deed is conditioned to secure one hundred

$1000 bonds. These bonds are payable to bearer, and draw a certain rate of interest. They will be sold to whomsoever will buy them. They are negotiable in form, being payable to bearer, and are bought and sold on the market. The higher the rate of interest they bear and the better the security, the higher the market value will be. The interest is usually payable semi-annually or quarterly. For each payment of interest there will be a coupon


UNITED STATES OF AMERICA.

FIRST MORTGAGE 5 25 SINKING FUND GOLD BOND.

OF THE

NUMBER

DOLLARS 1000

CITIZENS STREET RAILWAY COMPANY.

A CORPORATION UNDER THE LAWS OF MICHIGAN.

TOTAL AUTHORIZED ISSUE $250.000.

For Value Received, the Citizens Street Railway Company established in the City of Kalamazoo in the County of Kalamazoo and State of Michigan, promises to pay the bearer, or if registered, to the registered holder, the sum of One Thousand Dollars, in gold coin of the United States of the present standard of weight and fineness, at the office of the Illinois Trust and Savings Bank, Trustee, in the city of Chicago, Illinois, in Twenty Five Years from the date hereof (or on call at or after the expiration of five years from date, with a specified premium, as hereinafter provided) with interest on said sum at the rate of six per cent per annum, payable semi-annually, in like gold coin, on the first days of May and November in each year, at the office of said Illinois Trust and Savings Bank in the City of Chicago, Illinois, according to the tenor of the coupons hereto attached, upon the surrender thereof as they severally become due.

$1000

This Bond is one of a series of Two Hundred and Fifty Bonds for One Thousand Dollars each, numbered in the aggregate from One Hundred and Fifty Thousand to Two Hundred and Fifty Thousand, consecutively from 1 to 250 inclusive, all bearing even date herewith, and being of like tenor and effect, and of the same form, except as to number, executed and delivered in pursuance of a resolution of the Board of Directors of said Citizens Street Railway Company, authorizing the issue of said bonds, and the execution and delivery of the Trust Deed hereinafter mentioned.

Payment of this bond, and of the coupons attached, is secured by a Trust Deed of even date herewith (which is hereby referred to and made a part of this bond) embracing all the property, assets, and franchises (both present and future acquired) of said Citizens Street Railway Company, executed and delivered by it to said Trustee. Said Trust Deed (which has been duly recorded and filed, both as a mortgage on real estate and as a chattel mortgage), is in the possession of said Trustee, open to examination by any party having any interest therein.

This bond may, at the option of the obligor, be redeemed, at or after the expiration of five years from the date hereof, and before maturity, by payment in gold coin as aforesaid, of one thousand and twenty dollars ($1020), together with all interest accrued to the time of such payment and unpaid, due notice of the call, the terms of such redemption having first been given by publication, as required by the terms of said Trust Deed.

This bond shall not be valid unless the certificate endorsed hereon shall bear the signature of the Trustee.

In Testimony Whereof, said Citizens Street Railway Company has caused these presents to be signed in its behalf by its President, and its corporate seal to be hereto affixed and attested by its Secretary, and the attached coupons each to be authenticated by an engraved fac-simile of its Treasurer's signature, this first day of November A.D. Eighteen Hundred and Ninety Three.

Citizens Street Railway Company.

Attest. _____ By _____ President.

_____ Secretary.

$30.00 THE CITIZENS STREET RAILWAY COMPANY. $30.00

THIRTY DOLLARS

No 30 Jas W. Johnson Treasurer

$30.00 THE CITIZENS STREET RAILWAY COMPANY. $30.00

No 45 Jas W. Johnson Treasurer

$30.00 THE CITIZENS STREET RAILWAY COMPANY. $30.00

No 15 Jas W. Johnson Treasurer

$30.00 THE CITIZENS STREET RAILWAY COMPANY. $30.00

No 47 Jas W. Johnson Treasurer

$30.00 THE CITIZENS STREET RAILWAY COMPANY. $30.00

No 46 Jas W. Johnson Treasurer

$30.00 THE CITIZENS STREET RAILWAY COMPANY. $30.00

No 25 Jas W. Johnson Treasurer

$30.00 THE CITIZENS STREET RAILWAY COMPANY. $30.00

No 44 Jas W. Johnson Treasurer

$30.00 THE CITIZENS STREET RAILWAY COMPANY. $30.00

No 43 Jas W. Johnson Treasurer

$30.00 THE CITIZENS STREET RAILWAY COMPANY. $30.00

No 42 Jas W. Johnson Treasurer

$30.00 THE CITIZENS STREET RAILWAY COMPANY. $30.00

No Jas W. Johnson Treasurer

note attached, as in the illustration, and as it becomes due, it will be detached and presented for payment. A bond having these coupons attached is called a Coupon Bond. If the bond be taken to the office of the company, and the name of the owner and number of the bond be recorded, the bond is then said to be a Registered Bond. It will then only be paid to the rightful holder thereof. Companies sometimes also appoint a trust company to register their stock. They then have a transfer office and a register office, and the stock must be presented at both places when a transfer is made.

A *Sinking Fund* is one designed to gradually extinguish a certain debt of a corporation. The term is common with municipal corporations. Thus a corporation may owe $100000 in bonds, due in twenty years. They will probably begin at once to accumulate a sinking fund to liquidate the obligation when due, for to raise this amount in a single year may be an impossibility. A certain proportion of the net earnings or income will be set aside for this purpose.

First Mortgage Bonds are secured by the first mortgage on the property, and are a lien prior to later ones. There may be several mortgages on the same property, and each will have priority in its order. If it be desired to consolidate these into one large mortgage, all of whose bonds will be on an equal footing, such bonds may be called *Consolidated Bonds.* The British Government did this in its case, and these bonds are called Consols, an abbreviation of Consolidated.

A *Funded* debt is one that has a permanent fund provided for its payment. Thus a municipal corporation may levy a tax to pay the interest on a certain debt. The term is frequently applied to bonds that are floated at a lower rate of interest to raise money to pay off bonds bearing a higher rate.

An *Unfunded or Floating* debt is one that is not secured by mortgage, but is of a temporary nature to be paid off with current income.

ABOUT CORPORATIONS.

While the advantages of a corporation over a partnership or even a joint stock company, in many cases are numerous and substantial, yet the well posted business man will not fail to bear in mind the helplessness of the minority holders of the stock. The holder of a few shares is usually illy prepared on account of lack of funds, to protect himself against the power and influence of the majority. For example: One or more persons own a safe majority of the stock of a company, and have abundant means at their control aside from this. The remainder of the stock is distributed in small holdings among people of small means. The majority are able to elect a majority or all of the board of directors, and these directors elect the officers who are to manage the business and fix their salaries. As the business becomes more prosperous, the salaries are raised, so that there are no dividends at all or at least very small ones. The result is the stock is depressed on the market, and the small holders depending in a measure upon the dividends, are glad to sell out at any price offered by the majority. If they are not willing to sell out but assume a belligerent air, the company can be easily bankrupted by bad or careless management. Judgments may be entered against the company. On a sale of the assets the majority having the means stand by, and purchase the entire business at a low figure. They then proceed to reorganize it, leaving out the smaller holders. The proceeds of the sale being barely sufficient to pay the indebtedness of the old company, there is nothing left for the original stockholders. While the above is not the history of all companies, yet it is not of unfrequent occurrence, and it is well for the business man to understand the possibilities and responsibilities of the ownership of stock.

THE CHICAGO STOCK EXCHANGE.

A stock exchange is an organization to facilitate the dealing and trading in stocks, bonds, and other similar securities. The New York Stock Exchange is the largest and by far the most important and influential of the many exchanges of this country. In recent years the Chicago Exchange has grown in importance and in the volume of its business, until to-day, it too, is a power in the field of finance. From the fact that the larger business enterprises are almost invariably corporations and that these stocks are held by the wealthy, one has not far to go to learn the secret of the interest which these exchanges excite in the business world. They differ some in the details of their doing business but have a general similarity. The Chicago Stock Exchange is a joint stock company whose membership is limited to four hundred and forty-five members. These members are brokers who buy and sell stocks and bonds in the exchange on commission, as well as members who deal on their own account. The government is vested in a governing committee, consisting of a president and twenty-four members. The initiation fee for members is $2,500. Members are not allowed to buy or sell any stock or security other than government bonds at a less variation than one-eighth of one per cent.

COMMISSIONS.

Commissions are computed on the par value of the security and a minimum rate must be charged in every case. The charge on stocks will not be less than twelve and one-half cents per share, and on bonds not less than one-eighth of one per cent. The exceptions to these rules are: Stocks selling at over $200 per share, the commission shall be twenty-five cents per share. If at or over $300 per share, the commission shall be fifty cents per share. If at or over $500 per share, one dollar per share. On all sales of less than fifty shares the commission is double the usual amount, and on all bond sales of less than $5,000 the commission is one-fourth of one per cent. In no case shall the commission be less than $2.00. The commission on government bonds is one-sixteenth of one per cent.

TERMS USED.

Members are of three classes: The *Scalpers*, or those who buy and sell for themselves and not on commission, and who close up all their trades each night. *Speculators* also deal for themselves but hold for a rise or decline as the case may be. *Commission Merchants* deal for others on a commission, and rarely trade for them

selves. *Listing Stock* is having it placed on the *list* of regular stocks traded in by the exchange. A company desiring to have its stock listed, makes application to the listing committee, in writing, stating all the facts in reference to the standing of the company, time and place of dividend, the address of transfer office or offices, the amount of indebtedness, etc. The fee for listing is $100.00. The exchange will not call or deal in the stock of any company, a registry of whose stock is not kept in some responsible bank or trust company, and which will not agree to give at least thirty days' notice of an intended increase in the number of its shares.

It is evidently to the advantage of a company to have at all times a market value for its stock, hence companies of any considerable capital are eager to have their stock listed on the exchange. In New York, stock to be listed must be engraved in steel and not lithographed. In fact it is the custom to so engrave all stock to be actively traded in on the Chicago exchange. The list is called daily, and bids and offers are made for the stock as called. This is where the "bid" and "asked" quotations come from that are quoted in the daily market reports.

A *Margin* is the security given by a customer to his broker usually about 5%.

Settlement day is the last day of each month, when all trades that were bought for "the account," that is, not to be paid for or delivered until settlement day, must be settled up.

A *Bull* is a member who has bought stock to hold, or for future delivery, and who is therefore anxious for the price to go up.

A *Bear* is one who has sold stock for future delivery and is therefore anxious for the price to decline.

An operator is "short" when he has sold stock he does not possess, and "long" when he has bought stock.

A *Pool* is a combination of men who join in an effort to secure and maintain control of a certain line of stock.

"Buyer's option" is applied to a contract in which the purchaser has the choice of taking a stock within a certain specified time. "Seller's option" is the reverse of this.

"To cover" is to buy in stock to fill a contract in which the operator is "short." It applies equally well whether the trade has proven profitable or otherwise.

A "limited order" is one given by a customer to his broker and which fixes a price beyond which he will not go. A "stop order" is one given by a customer when buying stock on a margin to sell it out if it declines below a certain point. It has the effect of limiting the customers' risk on the transaction.

A *Corner* exists when a clique has secured control of a certain stock and then forces the price far above its real value.

ORDER.

ORDERS GOOD ONLY FOR THE DAY IN WHICH THEY ARE GIVEN, UNLESS SPECIFIED.

These transactions are made subject to the rules and customs of the exchange at the place of contract, and the right is reserved to close the transaction when the margins are exhausted, or nearly so, without giving further notice.

C. A. WHYLAND & CO.,
10 AND 12 PACIFIC AVE.

TIME 9.45 CHICAGO, Sept. 8th, 1896

To C. A. Whyland & Co.

Buy 100 Shs. Manhattan 84 1/2

D. J. Davis

METHODS OF BUYING.

When a member buys or sells stocks or bonds "cash," it means that the securities are to be delivered, and the cash paid the day of the trade. To buy or sell "regular," means that the settlement is to be made the following day. To buy or sell for "the account," means that the settlement is to be made the last business day of the month. "Seller three" means the seller is to have the option to deliver the stock within three days. "Buyer three" means the same except that the buyer has the option to pay for and demand delivery within three days.

METHOD OF DEALING IN SECURITIES.

A customer having determined to deal in a certain stock, will select a reliable broker. If he believes the stock is about to rise in value, he will buy. If he looks for a decline, he will sell. This being settled in his own mind, he will write out an order to his broker on a blank furnished him by the broker.

This order he will accompany by the required margin of say 5 or 10%. If the order be for 100 shares, par value, $10000—the margin may be $1000. The broker goes upon the floor of the exchange and buys or sells the stock either "*cash*," "*regular*" or for "*the account*" as he may be directed. On his return to the office at the close of the session, a confirmatory notice is sent to the customer notifying him of the purchase or sale. If the purchase or sale be *cash* the broker must receive or deliver the stock at once. If it be a purchase, when the stock is delivered to the broker, he will be obliged to put in with the margin sufficient of his own money to pay for the stock. The margin is taken to protect the broker against a possible decline in the market. The broker retains the security unless fully paid for by the customer. In case the broker should need funds, he may hypothecate the stock for a loan at the bank. The security enhancing in price, the customer may give the broker an order to sell. A statement of account will then be rendered the customer by the broker. Interest will be charged for the amount of his own money the broker had in the deal, and commissions for both buying and selling. At any time, the customer may, by paying the balance of the purchase price demand the delivery of the security. When stock is delivered, it is endorsed on the back by the holder, and must be witnessed by a member of the board. The member witnessing will of course be the broker for the seller. The object is to have the genuineness of the certificate authenticated by a responsible party. The certificate will first be taken to the transfer office and then to the register office.

In the case shown in the illustrations an order was given the broker by D. J. Davis, Sept. 8th, to buy 100 shares of Manhattan Railway stock. (See form.) A margin of $750 was required in this case. This was to protect the broker in case the stock should decline in value while held by him. The broker executed the order at once on the floor of the exchange, buying the stock "regular" at 84½. It will be seen that the broker was obliged to put in $7,100 of his own money to secure the stock. On the 18th this stock being quoted higher on the exchange the customer gave an order to the broker to sell, which was done at 86½. This closed the transaction and a statement of the account was then rendered the customer. (See form.) The commissions at 12½c per share for buying and 12½c. for selling, amount to $25. The interest on the purchase money is $14.08, leaving a net profit of $160.92.

We solicit and will receive no business except with the understanding with our customers, that in all cases the intent to receive and deliver property bought and sold by us, is contemplated and understood.

These transactions are made subject to the rules and customs of the Exchange at the place of contract and the right is reserved to close the transaction when the margins are exhausted, or nearly so, without giving further notice.

STATEMENT.

IN ACCOUNT WITH **C. A. WHYLAND & CO.**

STOCKS, BONDS AND LOCAL SECURITIES.
10 PACIFIC AVENUE, CHICAGO.

DR. D. J. Davis CR.

DATE.		PRICE.	AMOUNT	DAYS	INT.	DATE.		PRICE.	AMOUNT.	DAYS	INT.
1896 9/8	100 Manhattan	84½	8450 00	10	14 08	1896 9/18	100 Manhattan	86½	8650 00		
	Comm.		25 00								
	Int		14 00								
	Gain		160 92						8650 00		
			8650 00								
							Ledger Cr		7 50		
							Gain		160 92		
							Balance Cr.		91 09 92		

CHICAGO, Sept 18 1896

If the trade be in bonds, interest to day of sale goes to the seller in addition to the sale price. In New York all unpaid interest goes to buyer. Hence on New York exchange the same bonds are always quoted higher than in Chicago, except immediately after payment of interest. The price of stocks increases as dividend days approach for the dividend goes with them up to day transfer office is closed to make ready for the dividend.

A broker may receive an order to sell stock, looking for a decline, when, if the buyer should demand the stock, it can be bought at a lower price to complete the trade. This is called "selling short." In some cases a broker having sold stock and having none on hand, resorts to borrowing it. He will borrow it from a friend leaving his check for it at the market price, with the understanding that the stock will be returned when demanded.

To facilitate trading for "the account," a clearing house department is organized. Like a bank clearing house, this enables a broker to substitute another broker in his place. Or if he has sold and bought, the one may be made to cancel the other.

The "ticker" has become an important factor in stock exchange transactions. The market of stocks is extremely sensitive to outside influences. The demand for a stock in Liverpool or New York, or a mere rumor of a possible decline in the earning power of the corporation is information eagerly sought for, and has an immediate effect on the price of the stock. This information as to sales in New York is communicated by the "ticker."

These are small instruments found in every broker's office, and connected by wire with an office of the company furnishing them. Unlike the telegraph instrument, from which the message is taken by sound, the "ticker" prints it on a narrow strip of paper that can be read by anyone. These "tickers" are found on the floor of the stock exchange, and reports of sales are immediately made known in all the business centers of the country.

THE SPECULATIVE TRADE.

Members of the stock exchange claim that in every transaction on the Exchange, the actual delivery of the security is contemplated. However, should one sell "short" and then fail to make delivery as required in his contract, he is liable, as in all cases, to pay damages for a breach of his contract. The measure of damages would of course be the difference between the price of the sale and the lesser market price of the day.

Members claim a difference between such transactions and those where no delivery is ever contemplated. The latter are prohibited by the laws of the State and the rules of the Exchange. Still it must be admitted that there is considerable business done in this manner. Such transactions amount to a wager in which the buyer wagers that the stock will appreciate, and the seller that it will decline. Much of this sort of business is done by means of "Puts," "Calls" and "Straddles."

A "Put" is a contract wherein the maker of it agrees, within a certain date, to make a contract to take a certain number of shares of stock at a certain price.

A "Call" is the reverse of a "Put" and entitles the holder to all advance above price of call.

A "Straddle" is the sale of a privilege to either buy or sell. These, it will be seen, each constitute a privilege, and this privilege or option is paid for.

THE BOARD OF TRADE.

One of the great financial institutions of the west, and one having a great influence upon the destiny and welfare of the whole people, is the Chicago Board of Trade. Here is the source of market quotations on cereals and hog products, and here it is that the grain dealers and producers of the country look for facts on which to determine the prospects for a rise or decline in prices of grains.

Much criticism has been urged against the Board by many well meaning people, and it has even been accused of being a gambling institution. But this imputation is denied vigorously by its members. It is claimed that were it not for the Board the producer would be at the mercy of the millers, who would only buy as their needs might demand. As it is, the owner of wheat can always find a cash buyer for it.

ORGANIZATION.

The Board of Trade was organized as a corporation at a time when special charters were permitted, and it was fortunate enough to secure from the legislature one of these charters conferring special privileges. The objects of the association are: To maintain a commercial exchange; to promote uniformity in the customs and usages of merchants; to inculcate principles of justice and equity in trade; to facilitate the speedy adjustment of business disputes; to acquire and to disseminate valuable commercial and economic information.

GOVERNMENT.

The government of the Board is vested in a board consisting of a president, two vice-presidents and fifteen directors. The usual provisions are made for different committees. The fee for membership is $10,000, but a membership may be bought up from a member for about $500. A transfer fee of $25 is charged.

No one but a member can make any trades the floor of the exchange. In fact, admission to the floor is only granted under strictly defined restrictions. Members of the board only deal on the floor with members, and a member may act as a broker only as between other members. When he represents an outsider he must deal with a member as the principal to the transaction and not as an agent. For all transactions, therefore, made on the floor for an outsider, he is personally responsible.

COMMISSIONS.

For selling car load lots of wheat, rye and barley in store, free on board cars or vessels, on track, delivered, or to be shipped from any other point, the minimum commission is one cent per bushel. For selling car-load lots of corn in store, corn otherwise than in store, oats in car-load lots, or for selling canal-boat loads of grain in store afloat, or free on board vessels, one-half cent per bushel. "In addition to the foregoing rates there shall be charged the legal rate of interest on all advances; also the established rates of insurance upon all merchandise held in store or otherwise carried."

For the purchase or sale, and for the purchase and sale of property for immediate or future delivery, whether the contract for purchase or for sale be first made, as follows: On all kinds of grain in 1,000 and 5,000 bushel lots or multiples thereof, one-fifth of one cent per bushel. On mess pork in lots of 50 and 250 barrels or multiples thereof, 5 cents per barrel. For the purchase and shipment of grain by vessel: On rye and barley, one-half of one cent per bushel; on other grains, one-quarter of one cent per bushel; for the purchase and shipment of grain one-half cent per bushel.

INSPECTION.

The grain and provision business in Illinois is regulated by statute. This statute provides for a board of Railroad and Warehouse Commissioners. This board establishes grades of grain and provisions and appoints inspectors to examine and officially grade the same.

The chief inspector keeps a set of books in which is entered an accurate account of all grain inspected, showing the quantity and quality of each variety, and the amount of inspection fees chargeable thereon. The fees for inspection are: For inspection on arrival, thirty cents per car-load; ten cents per wagon-load; forty cents per thousand bushels from canal boats or vessels; and one-fourth of one cent per bushel from bags. For inspection from store: Fifty cents per thousand bushels to vessels; thirty-cents per car-load to cars, and per car-load to teams; or ten cents per wagon-load to teams.

CERTIFICATE OF INSPECTION.



STATE OF ILLINOIS.

OFFICE OF THE Chief Inspector of Grain FOR THE CITY OF CHICAGO.

Chicago, SEP 26 1896

This Certifies That according to the records of this office there was inspected on the above date by 2nd Assistant Inspector on Gal. Div. C. & N-W. Rail Road

Car No. 5342 New Three (3) Hard Winter Wheat.

CLAIMS FOR DAMAGES AGAINST INSPECTORS SHOULD BE FILED IN THIS OFFICE BEFORE THE GRAIN INSPECTED SHALL HAVE BEEN UNLOADED OR HAVE LEFT THIS DEPARTMENT.

D. W. Andrews
Chief Inspector.
Per

REGISTRAR.

The Warehouse Registrar keeps a registration book for each elevator, and in this is entered a correct list of grain that is received. This information is furnished by the inspector. When a warehouse receipt is received from the elevator by the commission merchant, it is taken to the office of the Registrar to be registered. The Registrar then compares the receipt with the report of the inspector, and if there be no discrepancy it is stamped across the face with the Registrar's stamp. In this way a check is kept on the Elevator Co. to prevent the issuing of fictitious receipts. By the rules of the Board of Trade, a warehouse receipt from an elevator of "Class A" must be registered before it can be legally tendered in settlement of a trade.

GRADES.

The statute gives the Warehouse Commissioners power to establish fixed grades of grain and of provisions. They have established four grades of wheat and corn, five for barley, and three for oats and rye.

This classification is based on the size, color and plumpness of the grains and its dryness and freedom from dirt or other foreign substances. Nearly all the grain traded in, and for which quotations are made, is graded as No. 2.

SHIPPING GRAIN.

A car of grain will be loaded by a western buyer for shipment to a commission merchant in Chicago; the railroad issues for it a Bill of Lading; the shipper forwards this Bill of Lading to the consignee. When the grain arrives in Chicago it is placed by the company on their inspection tracks, and the consignee notified. Here the state inspector enters the car, inspects and fixes the grades of the grain. A return of this inspection is made as hereinbefore explained. At this point also an employee of the consignee takes a sample of the grain from each car, and this sample is immediately shown on the floor of the Exchange, that intending buyers may inspect it. The car is held a reasonable time for the orders of the consignee, who may have sold it for reshipment. If not disposed of, it will be sent to an elevator, and there unloaded by the elevator company free of charge, and a warehouse receipt is issued for it. To avoid disputes as to weights, the Board of Trade has appointed an official weigh-master, and his weights are accepted as binding. He issues a Weigh Master's Certificate. The fees for weighing are paid by the shipper. The warehouse receipt, when registered, as has been explained, and properly endorsed, is then a legal tender in settlement of trades on the Exchange. Dealings on the Board of Trade are in fact dealings with warehouse receipts.

The Elevator Company will not deliver the receipt until the expense bill duly receipted by the Railroad Company is produced. The object of this is apparent.

WAREHOUSE RECEIPT.

THE CHICAGO RAILWAY TERMINAL ELEVATOR COMPANY.

No. 1 5000 Bush. — lbs.

CITY ELEVATOR.

Chicago. JUL 6 1894



Received in Store from 6 Cars

FIVE THOUSAND. — Bushels

of Two Corn

to the order hereon of Weare Commission Company. JUL 6 1894

and the surrender of this receipt and payment of charges thereon.

Louis Wagner.

It is hereby agreed by the holders of this receipt that the grain herein mentioned may be mixed with other grain of the same quality by inspection. Loss by Fire or heating at owners risk.

REGISTERED JUL 6 1894 REGISTRAR

Countersigned

This grain is subject to our advertised rates of storage

THE CHICAGO RAILWAY TERMINAL ELEVATOR COMPANY.

By Charles [illegible]

Secretary. Treasurer.

BLANELY & ROGERS, CHICAGO

STORAGE RATES.

Storage rates on grain are ¾-cent for the first ten days, and ¼-cent more for each additional ten days or part thereof. The rules of the Board of Trade provide that ¾-cent storage must go with the first purchase of the grain, so that the country shipper has no storage to pay, providing he has his grain sold within the first five days after storage begins; for in selling grain in store, the seller must give five days without additional storage to the buyer. If the shipper holds it from six to fifteen days, he would be charged ¼-cent per bushel for the second ten days, and the buyer will pay for the first ten days.

SLIP FOR MARGIN DEPOSIT.

NORTH-WESTERN NATIONAL BANK.

Chicago, Oct. 27, 1886

MARGIN CERTIFICATES WANTED

By O. C. Rubin

⊕ 12,000-4-12-'88

FOR DEPOSITOR AND	AMOUNT.
G. E. Brown & Co	800.
Smith & White	1500.
Total, $	2300

Entered Farrington Teller.

NORTH-WESTERN NATIONAL BANK.

Chicago, Oct. 27, 1886

MR. GEORGE F. STONE,
Sec'y Board of Trade of the City of Chicago.

O. C. Rubin

has deposited approved check for Margin Certificates, which we will issue to-day in accordance with your rules as follows:

FOR DEPOSITOR AND	AMOUNT.
G. E. Brown & Co	800
Smith & White	1500.
Total, $	2300.00

Farrington Teller

THE CUSTOMER.

A person having determined to buy or sell grain on the Board will select a reliable broker, and give him an order to buy or sell as the case may be. The order may be for a fixed price or at the market price. Grain may be bought for delivery any given month, and most of the contracts are for future delivery. May, September and December are the favorite months for which grain is bought for delivery. Thus "May wheat" means wheat bought for delivery any day of the following May. In case a purchase is for "cash," it shall if purchased before 1:15 P.M. be deliverable before 2:30 P. M. same day.

When grain is bought for delivery in a certain month, it is deliverable any day of that month on which the Board holds a session, at the option of the seller.

Having received the order, the broker will go upon the Board and execute it. If the order be to purchase or sell at the market price, there will be no difficulty in executing it, but if to buy or sell at or below a stated figure it may be impossible.

ON THE BOARD.

The method of doing business on the Board is much the same as on the Stock Exchange. There are several "pits" on the floor, each being the center for trading in a certain kind of grain. Thus there is the "Wheat Pit," and the "Provision Pit," etc.

Each broker holds in his hand a small card called a "bought and sold" card. This card is ruled into columns. On the one side he records his sales and the other his purchases. The broker he deals with does the same. This memorandum consists of the amount and kind of grain, when deliverable, name of broker bought of or sold to, the price and the number (not the name) of the customer for whom the contract was made.

At the close of the day these cards are returned to the office, and handed to clerks to enter up. To each customer will be sent a "confirmatory notice" giving a list of trades made for him that day, and to each fellow-broker with whom he has had trades that day, he will also send a small slip giving a list of their trades for the day. These Confirmation Slips are the only vouchers that pass between brokers.

Confirmation Slips.

Chicago,.....*18*

We hereby confirm **PURCHASES** *made by us to-day, under the rules of the Chicago Board of Trade, as follows, of*

.....

Amount.	Kind of Property.	Delivery.	Price.	

COUNSELMAN & DAY,

Per.....

Chicago,.....*18*

We hereby confirm **SALES** *made by us to-day, under the rules of the Chicago Board of Trade, as follows, to*

.....

Amount	Kind of Property.	Delivery.	Price.	

SCHWARTZ, DUPEE & CO.,

Per.....

Should a broker receive grain bought for a customer he would be obliged to pay for it largely with his own money, but he can easily hypothecate the warehouse receipts at the bank where they will advance him 90% of the market value of the grain represented. Should the price decline he would be obliged to refund on call a portion of the loan to keep the security good. A large business is done in these demand loans at the Chicago banks.

We have seen that, as between the broker and the customer, the broker demands a margin to cover fluctuations in the market. If grain is bought for a customer and the market declines, the broker may "call" for more margin, and when it declines to the amount of the margin already up, the broker is privileged to sell the grain and close the deal. It must be borne in mind that as between the brokers they act as principals and not as agents. The rules of the Board also permit each broker to a deal to require the other to put up a margin or security that he can and will fulfill his contract at maturity. This security of 10% may be deposited with the treasurer of the association or with an approved bank. When deposited, the bank issues a special certificate of deposit, and sends a notice of the same to the secretary of the Board of Trade.

The current market value of property traded in is conspicuously posted each day in the settlement room. This serves as a basis for the adjustment of all contracts settled on that day.

THE OPEN BOARD.

The Open Board is a separate organization from the regular Board, but while the smallest order that will be considered on the regular Board is five thousand bushels, an order for one thousand will be accepted on the open Board.

BUCKET SHOPS.

On the Board an actual delivery of the grain or produce is contemplated, but there has sprung up a class of dealers, keepers of "Bucket Shops," where no delivery is contemplated. No grain is bought or sold. The speculator gives his order to one of these Bucket Shop keepers, but the order is simply a wager that the grain will advance or decline, as the case may be. The Bucket Shop charges a commission and is in fact, at the same time, the other party to the contract. The quotations are taken from the regular Board by means of "tickers." They are called Bucket Shops on account of the small orders they will accept.

TERMS.

The terms used on the Board are in most cases the same as on the Stock Exchange and will be found on page 74.

CLEARING HOUSE.

As has been said, the brokers deal among themselves as principals. They have frequent dealings with each other and to facilitate settlements among themselves they have organized a Clearing House department. This is conducted somewhat like the regular clearing house and the balance against a member is settled by a certified check A clearing house sheet is ruled for debits and credits and has on it the names of all members. This sheet is filled out at the office and accompanied by a certified check for a debit balance is sent to the clearing house department daily. A small fee is charged for each settlement.

POSTAL LAWS AND REGULATIONS.

Domestic mail matter is divided into four classes: first, second, third and fourth.

FIRST CLASS.

First class matter consists of letters, postal cards, and all matter wholly or partially in writing, whether sealed or unsealed (except manuscript copy accompanying proof sheets of the same). All matter sealed or otherwise closed against inspection is also of the first class.

The Rate for first class matter is two cents per ounce or fraction thereof. Postal cards one cent each. Drop letters two cents per ounce or fraction thereof when mailed at letter-carriers offices, and one cent for each ounce or fraction thereof at offices where free delivery is not established.

SECOND CLASS.

Second class matter is newspapers and other periodical publications which are issued at stated intervals, and as frequently as four times per year.

The Rate on second class matter when sent by the publisher from the office of publication or when sent from a news agency to actual subscribers or to other news agents, is one cent per pound or fraction thereof. When sent by other than the publisher or news agent the rate is one cent for each four ounces or fraction thereof. The rate on newspapers (except weeklies) and periodicals not exceeding two ounces in weight when deposited in a letter carrier office for delivery by its carriers, is uniform at one cent each; if weighing more than two ounces two cents each. Newspapers (other than weeklies) and periodicals, when deposited by other than publishers or news agents in a letter carrier's office, for delivery by them, are charged one cent for four ounces or fractional part thereof.

THIRD CLASS.

Third class matter is books, circulars and other matter wholly in print (not included in second class matter) proof sheets, corrected proof sheets and manuscript copy accompanying the same.

"Printed matter" is the reproduction of characters upon paper by any process except that of handwriting, not having the character of an actual correspondence.

A circular is a printed letter, which according to internal evidence, is being sent in identical terms to several persons. The date, name of addressee and sender may be inserted and it is still a circular.

The Rate of postage on third class matter is one cent for each two ounces or fractional part thereof.

FOURTH CLASS.

Fourth class matter is merchandise and all matter not included in the preceding classes.

The Rate on fourth class matter is one cent an ounce or fractional part thereof.

FIRE INSURANCE.

Almost every one, sooner or later, becomes the holder of a fire insurance policy. The rights and duties of a holder are then of importance to him.

The business of insuring against loss by fire is almost wholly done by large corporations. These corporations have an organization among themselves called "The Board of Underwriters," for the purpose of fixing rates. A Company which is a member of this organization is called a Board Company. A local board is maintained by the local agents of alm st every hamlet. The State Board sends a committee, composed of skilled members to a village, and each business block is rated. A rate is also placed on the contents of each story. No Board Company is permitted to take a risk at less than the board rate.

The contract between the insured and the insurers is the Policy; consequently the holder of a policy should read it carefully. It matters not what the agent may have said the policy insured against, the policy itself is still the only thing that may be used to determine the contract. The policy is valid if delivered, even if the premium be not paid. The insured must have an insurable interest in the property at the time the policy is written.

A policy not permitting repairs will be rendered void during the time repairs are being made, but the weight of decisions is that the liability will begin again when the repairs cease, unless the repairs have materially changed the character of the risk.

If you hold a mortgage on a piece of property consisting partly of buildings, you should see to it that the mortgage contains a provision requiring the mortgagor to keep the buildings insured for a certain sum, and in your favor. This provision should further give you the authority to insure it if the mortgagor does not, and to add the cost thereof to the mortgage debt. The language of such a policy is: "Loss if any on this policy payable to A. B., mortgagee, as his interest may appear." It is usual to write a policy for three years for twice the rate for one year; or for five years for three times the rate for one year. If you sell property that is insured the policy should be cancelled at once, or transferred by consent of the company to the buyer; otherwise, in case of a loss by fire, the company will not be obliged to pay any one. If you take a policy for a long term you may cancel it at any time, and ask for a refund of the unearned premium. The company will retain for the period the policy is in force at the high rate of a short term, and refund you the balance. The company also has the right to cancel the policy on giving the insured a notice sufficient to enable him to place his insurance elsewhere. When the company cancels the policy, the refund is pro rata of the term.

There are four clauses that are frequently inserted by insurance companies in policies, and it is very important that the holder of a policy should understand their meaning and effect. They are known as follows: The 75 per cent co-insurance clause; the ¾ loss cause; the ¾ value clause; and the Average clause.

THE 75 PER CENT. CO-INSURANCE CLAUSE.

Reads as follows: "It is a part of the consideration of this policy, and the basis upon which the rate of premium is fixed, that the assured shall at all times maintain a total insurance on the property insured by this policy of not less than 75 per cent of the total cash value thereof, (as covered under the several items of the policy), and that failing to do so, the assured shall become a co-insurer to the extent of such deficiency, and in that event shall bear his proportion of any loss occurring under this policy." Under this clause, when the sum insured is less than 75 per cent of the value of the property, and the loss is less than the amount insured, then the company will pay such a proportion of the loss as the face of the policy bears to 75 per cent of the value of the property.

THE THREE-QUARTER LOSS CLAUSE.

This clause inserted in many country policies is as follows: "It is agreed and understood to be a condition of this insurance that in case of any loss or damage under this policy this company shall not be liable for an amount greater than three-fourths of said loss, not exceeding the sum herein named, the other one-fourth to be bourne by the insured; and in the event of other insurance on the property covered by this policy, this company shall not be liable for more than its proportion of three-fourths of such loss or damage." It is the evident intention to make the owner lose one-fourth of any loss that may occur. Under the 75 per cent co-insurance clause the owner can recover for the entire loss up to the amount of policies, provided he keeps policies in force to the amount of 75 per cent of the value; but under the three-quarter loss clause he cannot in any event save himself from loss should one occur.

THE THREE-QUARTER VALUE CLAUSE.

This reads: "It is understood and agreed to be a condition of this insurance that in the event of loss or damage by fire to the property under this policy, this company shall not be liable for an amount greater than three-fourths of the actual cash value of each item of property insured by this policy, (not exceeding the amount insured on such item), at the time immediately preceding such loss or damage; and in the event of additional insurance—if any is permitted hereon, then this company shall be liable for its proportion only of three-fourths such cash value of each item insured at the time of the fire, not exceeding the amount insured on each such item." Under this clause the insured will get the full value of his loss if it be equal to or below three-fourths of its value, but under the three-quarter loss clause he would not.

44. If a bank, other than your own, notifies you that it has for collection your note, what is the best method of paying it?
45. What form of endorsement must now be used when depositing checks, bank drafts, etc.?
46. What recent changes have been made in this, and why?
47. Explain how you would proceed if you wished to purchase a bank draft on New York?
48. In whose favor is it best to have such drafts drawn, and why?
49. What is done with bank drafts when they are paid?
50. Why does one bank have the right to draw on another?
51. What bank drafts are in most frequent use and why?
52. You have purchased a bank draft for $100 payable to your own order and desire to remit it to Buck, Whitmore & Co., Scranton, Pa.; what form of endorsement is preferable, and why?
53. Write the form of endorsement proper when you are leaving a note with a collection agency for collection.
54. Why is this form the best?
55. Write an endorsement designed to transfer the title to the paper, but to incur no liability.
56. Suppose you receive a check payable to order and it is endorsed, Pay (your name) and signed. Is this check still negotiable?
57. You hold H. T. Clarke's note for $500, and it is past due. He pays you $125 as part payment on Nov. 25 1896. Write the endorsement for it.
58. What is the objection to endorsing another's paper?
59. What is the objection to exchanging notes?
60. You have notes not yet due and are in want of ready cash. Describe two methods of raising money on these notes.
61. Write all the forms necessary to complete No. 60.
62. What is a Judgment Note and why is it to be preferred to an ordinary note?
63. What would be your objection to giving such a note?
64. Write J. A. Stephen's draft at 15 days' sight for $326.24 on yourself.
65. Accept the above draft dating your acceptance the day following the date of the draft.
66. Why should some drafts be presented for acceptance?
67. What drafts need not be accepted?
68. Write an acceptance payable at your bank.
69. What is the object of making an acceptance payable at your bank?
70. Is the practice to be commended?
71. H. H. Garver, of Peoria, Ill., owes you on account past due $56.25. How would you proceed to collect this by means of a draft?
72. Draw the above draft and make the proper endorsement, if any.
73. Why is a draft in the above case more apt to be honored than an ordinary dunning letter?
74. To what bank would you send the above draft?
75. Is there more than one way of handling it, and if so, what is the other?
76. A customer orders from you $58.50 worth of goods and directs you to draw on him through his bank for the amount of the bill. Explain fully how you would do it.
77. In what ways can money be remitted?
78. Nothing being said to the contrary where is a debt due, at the debtor's place of business or at the creditor's?
79. Suppose you remit B, of Denver, to balance your account and the letter is lost; whose loss is it?
80. When is it permissible to remit stamps?
81. When is a registered letter a proper means to remit money?
82. In case of the loss of a registered letter who would be the loser?
83. What is the fee for registering a letter and may a package be registered?
84. Under what circumstances are registered letters most used?
85. When is it proper to send a creditor your personal check and when not?
86. Why is the receipt of personal checks so annoying to a wholesale house?
87. When may a personal draft be sent on account?
88. What is there to commend a bank draft in remitting?
89. What bank drafts are most generally accepted at par, and why?
90. What is the cost of a bank draft?
91. What is the maximum amount for which a postal order will be issued?
92. What are the advantages and disadvantages in using a postal order?
93. How do you prepare a postal order for deposit in a bank?
94. How far is a postal order negotiable?
95. What are express orders and for what can they be used?
96. For what amounts may they be had?
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118. You purchase in a store a bill of goods for $7.65 and offer in payment half dollars, quarters and dimes, must the seller accept the coins? Why?
119. What is the effect of making a good tender?
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154. Describe the Treasury Note, tell what it is, how it is secured, and how many there are in circulation.
155. What are Silver Certificates, how are they secured, and how many are there in circulation?
156. How may they be obtained, and are they a legal tender?
157. How does the face of a Greenback read?
158. How does the face of a Treasury note read?
159. How does the face of a Gold Certificate read?
160. How does the face of a Silver Certificate read?

44. If a bank, other than your own, notifies you that it has for collection your note, what is the best method of paying it?
45. What form of endorsement must now be used when depositing checks, bank drafts, etc.?
46. What recent changes have been made in this, and why?
47. Explain how you would proceed if you wished to purchase a bank draft on New York?
48. In whose favor is it best to have such drafts drawn, and why?
49. What is done with bank drafts when they are paid?
50. Why does one bank have the right to draw on another?
51. What bank drafts are in most frequent use and why?
52. You have purchased a bank draft for $100 payable to your own order and desire to remit it to Buck, Whitmore & Co., Scranton, Pa.; what form of endorsement is preferable, and why?
53. Write the form of endorsement proper when you are leaving a note with a collection agency for collection.
54. Why is this form the best?
55. Write an endorsement designed to transfer the title to the paper, but to incur no liability.
56. Suppose you receive a check payable to order and it is endorsed, Pay (your name) and signed. Is this check still negotiable?
57. You hold H. T. Clarke's note for $500, and it is past due. He pays you $125 as part payment on Nov. 25 1896. Write the endorsement for it.
58. What is the objection to endorsing another's paper?
59. What is the objection to exchanging notes?
60. You have notes not yet due and are in want of ready cash. Describe two methods of raising money on these notes.
61. Write all the forms necessary to complete No. 60.
62. What is a Judgment Note and why is it to be preferred to an ordinary note?
63. What would be your objection to giving such a note?
64. Write J. A. Stephen's draft at 15 days' sight for $326.24 on yourself.
65. Accept the above draft dating your acceptance the day following the date of the draft.
66. Why should some drafts be presented for acceptance?
67. What drafts need not be accepted?
68. Write an acceptance payable at your bank.
69. What is the object of making an acceptance payable at your bank?
70. Is the practice to be commended?
71. H. H. Garver, of Peoria, Ill., owes you on account past due $56.25. How would you proceed to collect this by means of a draft?
72. Draw the above draft and make the proper endorsement, if any.
73. Why is a draft in the above case more apt to be honored than an ordinary dunning letter?
74. To what bank would you send the above draft?
75. Is there more than one way of handling it, and if so, what is the other?
76. A customer orders from you $58.50 worth of goods and directs you to draw on him through his bank for the amount of the bill. Explain fully how you would do it.
77. In what ways can money be remitted?
78. Nothing being said to the contrary where is a debt due, at the debtor's place of business or at the creditor's?
79. Suppose you remit B, of Denver, to balance your account and the letter is lost; whose loss is it?
80. When is it permissible to remit stamps?
81. When is a registered letter a proper means to remit money?
82. In case of the loss of a registered letter who would be the loser?
83. What is the fee for registering a letter and may a package be registered?
84. Under what circumstances are registered letters most used?
85. When is it proper to send a creditor your personal check and when not?
86. Why is the receipt of personal checks so annoying to a wholesale house?
87. When may a personal draft be sent on account?
88. What is there to commend a bank draft in remitting?
89. What bank drafts are most generally accepted at par, and why?
90. What is the cost of a bank draft?
91. What is the maximum amount for which a postal order will be issued?
92. What are the advantages and disadvantages in using a postal order?
93. How do you prepare a postal order for deposit in a bank?
94. How far is a postal order negotiable?
95. What are express orders and for what can they be used?
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158. How does the face of a Treasury note read?
159. How does the face of a Gold Certificate read?
160. How does the face of a Silver Certificate read?

161. How does the face of a Bank Bill read?
162. How much pure gold is there in a gold dollar?
163. How much alloy is there in a gold dollar?
164. Name our gold coins now being coined?
165. What is the weight of a silver dollar and how much of this is pure silver?
166. If bar silver is quoted in the market at 66 cents per ounce, what is the value of the silver in a dollar?
167. What is the size of a silver dollar?
168. Give two tests for detecting counterfeit coins?
169. Give the indications of a counterfeit bill?
170. Describe the teller's method of counting currency.
171. Describe the two methods of manipulating the bills.
172. Describe the teller's method of counting coin.
173. In depositing coin in a bank what ones will they weigh?
174. How much will they deduct if a coin be light in weight?
175. What is the law on the abrasion of coins?
176. Why do not banks weigh all coin received and deduct for light weight?
177. What is the financial center of the world?
178. What is meant by Exchange?
179. Why is Exchange on New York sometimes at a discount?
180. Why is Exchange on New York sometimes at a premium?
181. What class of dealers are frequent buyers of Exchange, and what are frequent sellers?
182. How do banks endeavor to maintain their Exchange accounts?
183. What practically limits the rate of Exchange?
184. What does the quotation on Exchange indicate?
185. What effect does the rate of Exchange have on the purchaser of small Exchanges?
186. How do banks usually treat their depositors in the matter of Exchanges?
187. Where and how are foreign transactions settled?
188. What is the balance of trade?
189. Name the different means by which foreign exchanges are worked?
190. Describe a cable transfer.
191. Into what classes are Bills of Exchange divided?
192. What are Bank bills, Banker's bills, Commercial bills?
193. Which commands the highest price?
194. What class of dealers are purchasers of Foreign Exchanges?
195. What class have exchanges to sell?
196. How are Commercial bills drawn and why?
197. What is a clean bill?
198. What are documentary bills?
199. Upon what does the value of a clean bill depend?
200. Upon what does the value of documentary bills depend?
201. What are the documents that usually support a documentary bill?
202. What is a letter of hypothecation?
203. When three bills are drawn is each supported by documents or only one?
204. What is a Letter of Indication?
205. What is the exact relation between our money and the English pound?
206. When is Exchange in our favor and when against us?
207. What is the cost of shipping gold abroad?
208. What is the highest rate of Exchange at which gold can be imported?
209. What is the lowest rate of Exchange at which gold can be exported?
210. What is meant by the Bank of England raising the rate of discount, and for what purpose is it done?
211. Why do demand bills command a higher price than time bills?
212. What are posted rates?
213. What are actual rates?
214. Explain the objects of a clearing house.
215. Explain the method of doing its business.
216. What does the settling clerk take with him?
217. Why is the amount of clearings announced daily, and what does an increase or decrease in the amount indicate?
218. In case a bank runs a worthless check through the clearing house, how is the matter settled?
219. How are debit balances settled?
220. What are the duties of a bank messenger?
221. What is the rule of business in reference to the half cent?
222. What are Building and Loan Associations?
223. How do they differ from Savings Banks?

224. Explain how you could use them as a lender.
225. Explain how you could use them as a borrower.
226. What would your monthly payment be for a loan of $2,500 if the interest was 8% and the premium 20%, payable in equal parts for 100 months, and the dues 50 cents per share?
227. What are currency certificates and by whom are they used?
228. What are clearing house certificates and by whom are they issued and used?
229. Why are they issued?
230. What is a Letter of Credit, and by whom is it used?
231. What are Travelers' Cheques, by whom are they issued, and for what purpose?
232. What fee is charged for them?
233. Contrast them with Letters of Credit as to cost, convenience, etc.
234. What is an Express Money Order, by whom are they issued, and for what purpose?
235. What is the largest order that will be issued?
236. What is the cost of an Express Order?
237. How far is an Express Order negotiable?
238. Contrast Express Orders with Post Office Orders as to cost, convenience, negotiability, etc.
239. In depositing an Express Order, how do you endorse it?
240. How do these orders provide against their being raised?
241. Explain how a package may be registered.
242. What is the cost of registering?
243. What security is there for a registered package?
244. Trace a registered package to its destination, explaining fully how it is followed.
245. Explain fully the system of issuing Postal Money orders.
246. How do you proceed to buy such an order?
247. What is the letter of advice?
248. What is the rule as to identification of a payee?
249. How do you endorse a postal order to deposit it in your bank?
250. What are the fees for a postal order?
251. How far is such an order negotiable?
252. Why are not all offices "Money Order offices"?
253. What is the business of Express companies?
254. What are the advantages and disadvantages of using the express instead of the railroad?
255. How can a shipper determine in advance the cost of shipping by express?
256. What would be the cost of shipping 561bs. of merchandise from Chicago to Davenport, Ia.?
257. Of 28 lbs. to Hartford, Conn.?
258. Of 85 lbs. to Wheeling, W. Va.?
259. Explain in detail how you would prepare a package and ship it by express?
260. How would you determine by which company it should be sent?
261. Explain the Receipt book and how it is handled.
262. How is a "prepaid package" handled?
263. Explain in detail how you would prepare and send a package C. O. D.
264. What is the object of sending goods in that manner?
265. How do you fix it that the consignee must pay return charges on the money?
266. When you receive an order for goods to be sent C. O. D. is it proper that the consignee should be obliged to pay return charges, and if so why?
267. How is money sent by Express?
268. What is the cost of so sending money?
269. How is a lost package traced, and if not recovered who would be the loser?
270. Explain the manner of shipping goods by freight.
271. How should the goods be marked?
272. What is the freight receipt and how does it differ from a bill of lading?
273. Explain how houses handle the duplicate freight receipt book.
274. Why will not banks accept a freight receipt?
275. What is the Expense bill?
276. What notice is given by most roads of the arrival of goods?
277. How do railroads take receipts for goods delivered?
278. What is a Bill of Lading?
279. What is a Way bill?
280. What arrangements can a consignee make to have his goods delivered?
281. How far is a Bill of Lading negotiable?
282. What is the object of a Bill of Lading?
283. How does the company guard against two bills of lading being issued for the same goods?
284. Explain how a draft and bill of lading are used together.

285. If you were engaged in buying and shipping grain and had a small capital, explain how you could best handle all your capital with the least loss of time.
286. What is meant by "consigned to shipper's order?"
287. How can you ship C. O. D. by freight?
288. What are fast freight lines?
289. What is gained by shipping by them?
290. How are copies of both sides of a correspondence kept?
291. Explain in detail how letters and documents are filed.
292. Explain how letters are copied.
293. What is a common method of filing orders?
294. Who fills out the order?
295. Explain in detail from the receipt of the order until it is filed away.
296. What are the advantages of the system?
297. Who fills in the price?
298. What may the last column be used for?
299. What is a Commercial Agency?
300. How is their information collected?
301. Who has need of the services of such an agency?
302. Explain what information may be gotten from their book of reports.
303. What further information can be obtained?
304. How and upon what terms may it be obtained?
305. Whose business is it to send a Bill of Account?
306. Wherein does a Bill differ from an Invoice?
307. What should a Bill contain?
308. What is a Quarter Bill?
309. Write a bill for labor performed on different days.
310. Write a bill for 5 barrels of sugar, each barrel being of a different weight and at 4¼c per pound.
311. What is a credit memorandum, and for what is it used?
312. What is a statement, and wherein does it differ from a bill?
313. Write a statement with two credits and three debits.
314. When is it customary to send statements?
315. In case there is a balance due from previous month, how is it shown?
316. How does a corporation differ from a co-partnership?
317. Which is to be preferred and why?
318. How is a corporation organized?
319. What is the usual liability of a stockholder?
320. What is meant by a special charter?
321. To whom should application be made for a charter?
322. Who are directors, and how are they chosen?
323. What are the organizers of a corporation called?
324. How do stockholders vote?
325. What is the cumulative system of voting, and what is its object?
326. What are the by-laws, and what should they contain?
327. What evidence does a stockholder have to show his interest?
328. How is stock transferred?
329. What is preferred stock?
330. What is common stock?
331. Name a reason for issuing preferred stock.
332. What is watered stock?
333. What is cumulative stock?
334. What is Treasury stock?
335. What are bonds and how do they differ from stocks?
336. What is a coupon bond?
337. What is a registered bond?
338. What is a register office?
339. What is a transfer office?
340. What is a sinking fund?
341. What are First Mortgage Bonds?
342. What are consolidated bonds?
343. What is a funded debt?
344. What is a floating debt?
345. Explain how the minority holders of stock may be "frozen out."
346. What is the Chicago Stock Exchange?

347. What is a stock broker?
348. What commissions are paid brokers?
349. What is a "scalper?"
350. What is a speculator?
351. What is listing stock, and how is it done?
352. Is it to the advantage of a corporation to have its stock listed, and if so, how?
353. How do the quotations "bid" and "asked" quoted in the market reports, arise?
354. Define "margin" and explain who gives it.
355. What is buying "cash?"
356. What is buying "regular?"
357. What is buying "for the account?"
358. What is settlement day?
359. What is meant by the terms "bulls," "bears," "longs" and "shorts?"
360. What is "covering?"
361. What is a stop order?
362. What is a corner?
363. What is "seller three"?
364. Explain in detail how you would give an order to a broker, how it would be executed, delivered and paid for?
365. What papers would pass between you?
366. Why are "puts" and "calls" not permitted under the rules?
367. What is the Board of Trade?
368. What are its objects?
369. How is it governed?
370. What commissions are paid?
371. Trace a car of grain from the country station until sold on the board for export or consumption.
372. Explain the duties of grain inspectors.
373. What is registering a receipt?
374. What are grades and who establishes them?
375. What is a warehouse receipt and what part does it play on the board?
376. What are the rules in reference to storage?
377. Explain how business is done "on the board."
378. Explain how business is done between the brokers.
379. What security does one broker have of another?
380. What is the Open Board?
381. What is a Bucket Shop?
382. Into how many and what classes is domestic mail matter divided?
383. Of what does the first consist and what is the rate?
384. Of what does the second class consist, and what is the rate?
385. Of what does the third class consist, and what is the rate?
386. Define a circular.
387. Of what does the fourth class consist, and what is the rate?
388. What is the limit of weight in mailable matter?
389. What is the "Board of Underwriters?"
390. How is a mortgage secured as to insurance?
391. What is the language used in the policy in such a case?
392. Can the insured surrender his policy, and if so, what rebate can he get?
393. What is the 75 per cent. co-insurance clause?
394. Explain the three-quarter loss clause.
395. Explain the three-quarter value clause.
396. Explain the average clause.
397. When do policies expire?
398. Explain how messages are sent by telegraph.
399. What are "night messages?"
400. What would be the cost of sending a message of 13 words from Chicago to Omaha, Neb.?

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